



CHENNAI PETROLEUM CORPORATION LIMITED
(A Government of India Enterprise and Group Company of IOCL)

**Manali, Chennai-600 068,
TAMILNADU.**

**M&C DEPARTMENT-MATERIALS
TENDER DOCUMENT**

**FOR
Procurement of Temperature Transmitters

(NATIONAL COMPETITIVE BIDDING)
CPCL Tender Reference No. C17A250004**

Note:

Bidder shall not alter the CPCL tender document. In case, it is found that the CPCL tender document is altered, then CPCL reserves the right to reject the offer.



SI.No	Description	Bidder's to Affix Tick Mark (✓)
(A) Soft Copy – To be uploaded along with the offer		
1	Earnest Money Deposit (If applicable)	
2	Signed and Stamped technical specifications	
3	Bidder Information Sheet	
4	Pre – Qualification details along with supporting documents i.e., Copies of PO, Invoice etc., (If applicable)	
5	Integrity Pact (If applicable)	
6	Compliance To Bid Requirement / Exception / Deviation Statement	
7	Declaration Of Blacklisting / Holiday Listing	
8	Declaration of CPCL Confidentiality Clause	
9	Land Border Sharing Declaration	
10	Details Of ITR Filing	
11	Local Content Declaration	
12	Self-Declaration format for OEM (If applicable)	
13	Certificate of Authorization cum undertaking from OEM (If applicable)	
14	Bidder MSE UDYAM Certificate and other documentary evidence (If Applicable)	
15	Product Catalogue/COA/MSDS	
16	Any other document insisted in "Section- 3 Technical Specifications"	
17	GST Registration Certificate, PAN, ECS payment details along with a copy of cancelled Cheque.	
18	Self declaration for "Local content in Iron & Steel products" (if Applicable).	
(B) Hard Copy / Samples (If applicable) Following to be couriered addressing to "DGM (Materials), Admin. Block - III, CPCL, Manali, Chennai-600068" (Note: CPCL Collective No. needs to be clearly mentioned in cover)		
1	EMD BG / EMD ISB (In case of BG, the same shall be submitted along with the swift message)	
2	Samples	



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SECTION 1
NOTICE INVITING TENDER (NIT)

Offers are invited under two bid [Part-ONE Techno Commercial Bid; and Part-TWO Priced Bid] system on behalf of Chennai Petroleum Corporation Limited (CPCL) in the form of Electronic bids for the following tender.

1.1	Tender title	Procurement of Temperature Transmitters
1.2	Tender Reference No	C17A250004
1.3	Tender Type	Domestic Open Tender
1.4	Type of bidding	Through GeM Portal
1.5	Type of procurement	Non-Rate Contract
1.6	Tender Scope	Only Supply
1.7	Annual Maintenance Contract	Not Applicable
1.8	Buy back	Not Applicable
1.9	Bid submission duration	10 days from the bid start date as per GeM portal
1.10	Bid Opening	PART-ONE shall be opened on the due date as indicated in GeM portal or later. PART-TWO (Priced Bid) of only those Bidders, who are found to be techno-commercially acceptable, shall be opened at a later date
1.11	Offer Validity	120 days from final bid due date
1.12	Earnest Money Deposit (EMD):	Rs.56000/- In Words: Rupees FIFTY SIX THOUSAND Only Refer relevant clause in SPC for further details.
1.13	Pre-Qualification Criteria (PQC)	Applicable as given below

Experience criteria

S.NO	CRITERIA	DOCUMNETS TO BE SUBMITTED
1.	Bidder should be a OEM/Manufacturer of Temperature Transmitters	If bidder is a OEM/Manufacturer Bidder shall furnish declaration on their letter head confirming OEM/Manufacturer status.
2.	Bidder Should have Supplied "Temperature Transmitters" to any Petroleum Refinery or Petrochemicals or Fertilisers or Oil/Gas Processing Industry, in india,during the past Seven (7) years ending on the last day of the month immediately preceding the	Bidder Should furnish copies of Purchase Orders along with the following documents to substantiate the supplies made: *[GST invoice(s) (or) Delivery Challan(s) with proof of payment (or) Completion certificates from end user indicating PO details and item wise supplies made]

	month in which the last date of bid submission falls, for the following : Three orders for the above items, each quantity not less than 27 Nos (OR) Two orders for the above items, each quantity not less than 36 Nos (OR) One order for the above items, quantity not less than 45 Nos	[Third Party Inspection certificates (or) Approved datasheets (or) Approved drawings]
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Notes

- Sale (or) Supply transaction between manufacturers & traders and sale (or) supply between traders will not be considered for meeting the experience criteria

Financial criteria

S.NO	CRITERIA	DOCUMNETS TO BE SUBMITTED
1.	The bidder should have Annual turnover not less than Rs. 28.71 Lakhs during one of the last three financial years (that is,2021-2022 & 2022-2023 & 2023-2024).	Necessary documentary evidences in the form of Audited balance Sheet(s) and P&L account statements(s) duly signed and stamped by chartered accountant for the above Years

Other Qualifying Criteria:

1. Bidder shall ensure submission of complete information / documentation. CPCL reserves the right to complete the evaluation based on the details furnished by the agencies without seeking any subsequent additional information.
2. CPCL reserves the right to use their in-house information for assessment of Bidder's capabilities.
3. Bidder submitting their bids should not be under liquidation, court receivership or similar proceeding. The bidder should not be in the Holiday / Negative list of CPCL or its Administrative Ministry (MoPNG).
4. If the performance of the Bidder is / has been found to be unsatisfactory for any reasons whatsoever, in any organization including CPCL, then CPCL reserves the right to reject the bids submitted by such bidders.

1.14	Relaxation of Prior Experience and Turnover to MSE or Startups	Considering the critical supply, relaxation of prior experience and turnover to MSE and Startups (MSE or otherwise) is not applicable.
1.15	Integrity Pact Agreement	Not Applicable
1.16	Delivery Period	Staggered delivery, 1st lot:12 weeks, 2nd:24 weeks
1.17	Pre-bid meeting	Not Applicable
1.18	Reverse Auction	Not Applicable
1.19	Tendering and evaluation methodology	ItemWise L1

1.20	Reserved for exclusive procurement from MSEs	No
1.21	Quantity splittable for MSE/MII Purchase preference	Splittable 25% / 50%
1.22	Is the bid splittable to have more than one source. If Yes, in what ratio	Yes. In 25 ratio
[METHODOLOGY FOR BID SPLITTING - Refer Annexure.]		
1.23	Delivery location	CPCL, Manali, Chennai- 600068
1.24	Price basis	Bidder shall fill in their price in the price schedule only. Prices shall be on all-inclusive basis i.e. including all taxes (including applicable GST), duties, local levies, transportation, TPI and loading-unloading charges, etc. for delivery at CPCL, Manali, Chennai- 600068
1.25	Payment terms	Advance payments will not be made. Payment will be made through RTGS only. 100% payment within 30 days of material receipt subject to submission of requisite documents & material acceptance by CPCL
1.26	Price Reduction Schedule (PRS) for delayed delivery	Applicable on undelivered portion. Refer PRS clause in SPC for further details.
1.27	Guarantee / Warranty period	12 months from the date of installation or for a period of 18 months from the date of supply whichever is earlier
1.28	Performance Bank Guarantee (PBG) / Security Deposit (SD)	Applicable Category : Non-Bulk Items w/o AMC Refer PBG class in SPC for further details
1.29	Sample requirement	No.
1.30	Packing	Manufacture's standard packing
1.31	Technical loading criteria	Not Applicable
1.32	Commercial loading criteria	Not Applicable
1.33	Price Variation Clause (PVC)	Not Applicable
1.34	Weighment tolerance	Not Applicable
1.35	Third Party Inspection	Applicable. Refer relevant clause in SPC for further details.
1.36	Tender specific clauses if any	Not Applicable
1.37	Documents to be submitted in Part ONE (unpriced bid)	1.EMD along with supporting documents (If applicable) 2.Documents to meet PQC (If applicable)

		3.Copy of specification sheets duly signed and stamped, in token of acceptance 4.All applicable formats under "FORMATS" section duly filled, signed and sealed 5.Copy of GST Registration Certificate, PAN, ECS payment details along with a copy of cancelled cheque. 6.Any other relevant documents required to be submitted by bidder.
1.38	Documents to be submitted in Part TWO (Priced bid)	Price details as per GeM format shall be uploaded in GeM portal
1.39	Contact details of this tender	Contact Person : ANNAPOORANI A. Designation : OFF – Purchase Email : ANNAPOORANIA@CPCL.CO.IN Tel Number : 044-2594 4141 Contact Person : PRASAD BABU B.S. Designation : CM – Purchase Email : BSPBABU@CPCL.CO.IN Tel Number : 044-2594 4355

The issue of the Tender Document does not imply that the Procuring Entity is bound to select bid(s), and it reserves the right without assigning any reason to

- 1.Reject any or all of the Bids, or
- 2.Cancel the tender process; or
- 3.Abandon the procurement of the Goods; or
- 4.Issue another tender for identical or similar Goods

Very truly yours

FOR AND ON BEHALF OF

CHENNAI PETROLEUM CORPORATION LIMITED

PRASAD BABU B.S.

CM (M & C - MATERIALS)



SECTION – 2

APPENDIX TO NIT

2.1 Technical Loading Criteria

Not Applicable

2.2 Commercial Loading Criteria

Not Applicable

2.3 Price Variation Clause

Not Applicable

2.4 Integrity Pact

Not Applicable

LIST OF ITEMS
TWO BID

ENQUIRY CUM OFFER

Enquiry No.:C17A250004/2441716

Date:20.02.2025

Enq.Due on:01.03.2025 15:00hrs IST

Offer Ref.....
Date.....

Dear Sir,

We shall be grateful to receive your quotation filled in the copy of this enquiry for the supply of following items.

Sr.no.	Item Code and Description	Unit	Qty	Unit Price (to be filled) In fig&words
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GROUP: 1
TRANSMITTERS, TEMPERATURE
TYPE: ELECTRONIC
OUTPUT: 4-20 mA

0010	8156695734	EA	120.000
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each

**PRICE NOT
TO BE
QUOTED HERE**

TEMPERATURE TRANSMITTER

ITEM TEXT

Bidder to Quote and supply material as per specification attached as Annexure-I, II

BREAKUP OF QUANTITY
CPCL-Manali Refinery : 120.000EA

GROUP: 2
INSTRUMENT, TEMPERATURE, ELECTRONIC

Signature of Vendor with Office Seal

LIST OF ITEMS
TWO BID

ENQUIRY CUM OFFER

Enquiry No.:C17A250004/2441716
Date:20.02.2025

Sr.no.	Item Code and Description	Unit	Qty	Unit Price (to be filled) In fig&words
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TEMPERATURE TRANSMITTER, FF COMPATIBLE
K-TYPE THERMOCOUPLE

0020 8162480704

EA 60.000
each

PRICE NOT
TO BE
QUOTED HERE

TEMPERATURE TRANSMITTER, FF, 0 TO 700°

ITEM TEXT

Bidder to Quote and supply material as per specification attached as
Annexure-I, II

BREAKUP OF QUANTITY

CPCL-Manali Refinery : 60.000EA

Signature of Vendor with Office Seal



**ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION –
TRANSMITTERS**

ANNEXURE-I

GENERAL TECHNICAL SPECIFICATION

&

SPECIAL INSTRUCTIONS TO VENDOR (SIV)

OF

TRANSMITTERS



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

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ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

1. INTRODUCTION

This enquiry calls for the supply of electronic transmitters for Chennai Petroleum Corporation Limited (CPCL), Manali Refinery as per the attached specifications and data sheets.

Definitions

The following definition shall apply:

Purchaser/Owner : Chennai Petroleum Corporation Limited, Manali Refinery (CPCL)

Bidder/Vendor : The firm which quotes for the supply of electronic transmitters.

Site : Manali Refinery, Chennai. Tamil Nadu, India.

2. SITE CONDITIONS

The transmitters shall be suitable for unprotected installation in Hot, Humid and Corrosive environment having the following ambient conditions. The site environmental conditions at CPCL, Chennai are as follows:

- Ambient temperature (Max/min.): 45 deg C /18 deg C.
- Relative Humidity: 80% (max) @45 deg C
- Rainfall data: 100 mm in 1 hour & 450mm 24 hours period.

The Electronic Transmitters shall be suitable for continuous operation in hot, humid and tropical industrial climate in which the corrosive gases and/or chemicals are present. The bidder's attention is drawn, in particular, to the range of Pressure and Temperatures, over which the instrument shall be designed to operate.



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

3. APPLICABLE CODES AND STANDARDS

All items mentioned in this requisition shall adhere to specifications / codes / standards listed in this section or mentioned elsewhere in this requisition. Where a date or edition of a reference document is shown, this defines the version applicable to the project. Where no date or edition is shown, the latest version approved by the issuing authority as of the date of the award of the contract shall be the version applicable to the project.

In case, supplier intends to follow any code / standard other than those specified in this document, it shall be listed and submitted for review / approval by Purchaser / Owner.

In case of any deviation, bidder shall provide a list against the clause and specifications for which the deviation is raised in the specified format.

API RP 551 Process Measurement Instrumentation

API RP 554 Process Instrumentation & Control

IEC 60801 Electromagnetic compatibility for Industrial Process Measurement and Control equipment.

IEC 60529 Classification of Degree of Protection provided by Enclosures (IP Code)

IEC 60079 Code of Practice for the Selection, Installation and Maintenance of

Apparatus for use in Potentially Explosive Atmospheres

IEC 60068 Environmental Testing

IEC 60587 Test Method for Evaluating resistance to tracking and erosion of electrical insulating materials used under severe ambient conditions

IEC-61000-4 Electromagnetic Compatibility

NACE MR0175 Petroleum & Natural Gas Industries - Material for Use H₂ S-Containing

ISO 15156 Environments in Oil & Gas Production

NACE MR0103 Materials Resistant to Sulphide Stress Cracking in Corrosive Petroleum Refining Environments



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

4. ORDER OF PRECEDENCE

In the event of any conflict between the standard specification, job specification/datasheets, statutory regulations, related standards, codes etc the following order of priority shall govern:

- a) Indian Government Statutory Regulations
- b) Job Specifications / Data Sheets
- c) General Technical Specifications
- d) Codes and Standards

Compliance with this requisition shall not relieve the bidder of his responsibility to meet and guarantee all the requirements specified on the latest issues and amendments of codes and standards and project documents. In case of any deviation to any of the requirement, the same shall be brought to Purchaser's notice for their approval, however, the most stringent requirement shall generally apply. The supply of items, materials, services and documentation shall be in accordance with the specific requirements. Any conflict between the requisitions of this document and related specifications, standards and codes shall be submitted to purchaser for clarification before proceeding with the manufacturing of affected parts.



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

5. BIDDER'S SCOPE OF SUPPLY/ BILL OF QUANTITY (BOQ):

This Requisition together with the documents attached / referred herein defines the minimum requirements for design, engineering, manufacturing, assembly, inspection, testing, painting, packing and supply of Electronic Transmitters as detailed below.

Item Code	Description	Quantity
8156695734	Temperature Transmitters- HART	As per List of Items
8162480704	Temperature Transmitters- FF	

6. BIDDER'S SCOPE OF WORK

Bidder's scope of work shall include the following but not limited to:

S/N	DESCRIPTION OF WORK	SCOPE	BIDDER'S COMPLIANCE
1.	Design, Engineering, Testing, Manufacturing and supply of transmitters as per Datasheets & BOM	Bidder	
2.	Third Party Inspection by CPCL Approved Agency	Bidder	
3.	Submission of test reports for CPCL review before dispatch	Bidder	
4.	Packing and forwarding, dispatch after clearance from CPCL	Bidder	
5.	Documentation consists of calibration certificate, test reports for quoted system	Bidder	



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

7. SPECIAL INSTRUCTIONS TO VENDOR

7.1. General

- 7.1.1 Bidder shall be totally responsible to supply all required materials and services for satisfying the functional / operational requirements stated in this Requisition, its attachments and annexure forming a part of this document.
- 7.1.2 Selection of Model for the intended service shall be sole responsibility of bidder.
- 7.1.3 Bidder to attach de codification sheet for the quoted models.
- 7.1.4 Offered make and model of transmitters shall be latest & proven model with minimum one-year PTR in Refinery, petrochemical industries of India. All instruments shall be of field proven quality, both with respect to design and materials. Prototype instruments or instruments of experimental nature shall not be offered or supplied. In general, all the supplied items by supplier shall have well proven performance record of operating satisfactorily in hydrocarbon industry like refinery, petrochemical for minimum of one year. Bidder to provide purchase order copies, approved data sheets, SAT reports and satisfactory performance certificate from the end user/end user details with phone number and E-mail ID. PTR format is enclosed.
- 7.1.5 The quoted transmitter model shall meet the accuracy specified in the datasheets by basic design, without selecting any optional codes in the transmitter model.
- 7.1.6 Transmitter accuracy mentioned in the datasheet supersedes the accuracy mentioned in standard specifications attached as a part of this requisition.
- 7.1.7 Transmitters shall be SIL 2 certified. SIL 2 certificate from accredited testing agency - TUV/EXIDA/SIRA is to be submitted.
- 7.1.8 All Electronic Transmitters shall have ingress protection IP 66 as a minimum.
- 7.1.9 All transmitters shall be suitable for the design temperature and pressure indicated in datasheets.
- 7.1.10 The technical features and performance parameters for the transmitters as indicated in the technical specifications shall be met by the bidders quoted model and the feature/parameter shall be clearly spelt out in the manufacturers catalog. Letter confirmation of any sort shall not be accepted.



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

7.1.11 Special Requirement:

- i. Calibration Certificate with 3 point
- ii. ~~PMI certificate shall be provided for wetted parts~~
- iii. ~~Wherever applicable as per piping class, all wetted parts shall comply NACE MR0175/ISO 15156 latest version including accessories.~~

~~7.1.12 For high Temperature service, bidder to select suitable Model and provide required accessories, if any.~~

7.1.13 Two cable entry of ½" NPTF shall be provided with one entry plugged with certified (ATEX and CE) plug for all the transmitters. Ex'd' Plug, suitable for Zone1, Gr. IIA/B, T3, Weather-proof to IP 66 shall be provided. Bidder shall supply one no. of cable gland along with each transmitter.

7.1.14 The bidder shall include all special tools, tackles and devices necessary for the erection / maintenance of the item / equipment. A list of such special tools etc. shall be submitted along with the bid. Bidder shall submit a specific confirmation with the offer, if no specific tools / tackles and devices are required.

7.1.15 All approval certificates and Degree of protection Certificate for enclosure shall be provided. Hardware / Electronic components shall be certified as per relevant International standards like IEC, BS, API etc. Statutory approval certificate ATEX and PESO shall be provided for all Electronic items. PESO Certification is mandatory and instruments from outside India shall also carry ATEX certificate including PESO certification. Copy of certificate from the competent authority to be provided by the bidder along with the offer.

7.1.16 SS Tag Plate shall be provided along with relevant information for all Electronic Transmitters.

7.1.17 Bidder shall stand guarantee for all items supplied by them, including their bought-out items.

7.1.18 Bidder to confirm the spare support for minimum 10 years for the offered model. Format is attached as a part of this specification.

7.1.19 Bidder to sign and stamp on each page of specification sheet as a token of acceptance.



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

7.1.20 Bidder Shall submit the Model of transmitter with Drawings & Bill Of Material for approval from client M/s CPCL before starting the Production / Supply of the item, once the purchase order is issued.

7.1.21 All accessories mentioned in datasheet (Clamps, Plugs, Adaptors etc) shall be packed individually for each transmitter in their packing boxes and shall not be supplied as a single LOT.

7.2. Bidding Instructions

7.2.1 The bidder must follow the below mentioned guidelines while submitting their offer:

- i. The specifications (i.e. data sheets, standard specifications and other attachments) to this tender shall be fully complied with.
- ii. Bidder to note that alternate offer shall not be submitted for any items, offer with alternate quote is not acceptable.
- iii. The bidder is responsible for meeting all the technical requirements of the tender including the selection of the instruments and accessories to meet the specifications in totality. If at any stage, till the completion of the order, the offered items are found unsuitable for the specified operating and design conditions, the bidder shall replace the same with a suitable model no. meeting the specifications without any schedule/cost implication.

7.2.2 The bidder shall fill and furnish the following documents as minimum along with the offer:

- i. Compliance Statement & Nil Deviation Statement as per the format
- ii. Un-priced offer (Without Prices)
- iii. Filled-in datasheets with catalogues
- iv. Detailed Bill Of Material (BOM)
- v. Proven Track Record as per the PTR format attached for each model of transmitter supplied.
- vi. Logistic support letter as per the format attached
- vii. Statutory Certificates and SIL certificates



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

7.2.3 The Bidder shall submit the required drawings/ documents as per the bidder Data Requirements (BDR) enclosed with the tender specifications.

7.2.4 The above documents are the only basis of technical evaluation. Offers shall Be evaluated based On the above mentioned documents only.

8. Technical Datasheets

Description	Datasheet
Temperature Transmitters-HART	Annexure-IIA
Temperature Transmitters- FF	Annexure-IIB

9. STANDARD SPECIFICATIONS FOR TRANSMITTERS

9.1 General Requirements

9.1.1 All instruments shall be of state-of-the-art technology and shall be in compliance with the electromagnetic compatibility requirements specified in IEC-61000-4 standard.

9.1.2 Electronic instruments shall generally operate on nominal voltage of 24 V DC and shall be protected against short circuit and reverse voltage.

9.1.3 Electronic transmitters with two-wire system shall be suitable for delivering rated current to an external loop resistance of at least 600ohm when powered with 24 V DC.

9.1.4 All Field transmitters shall have double compartment housing with metallic separation between the two compartments.

9.1.5 All Field transmitters shall have metallic housing.

9.1.6 Unless otherwise specified, transmitters shall be intrinsically safe type.

9.1.7 The instrument enclosure shall be metallic and shall have corrosion protection coating. The instrument enclosure shall be suitable for the area classification indicated in the purchaser's data sheets. All electronic boards/ cards shall have conformal coating suitable for corrosion protection normally prevalent in refinery. The enclosure shall meet the following standards:

Weatherproof housing : IP-66 to IS/IEC-60529.

Flameproof housing : Flameproof/ Ex (d) as per IS/IEC-60079

Flameproof housing shall also be made weatherproof.



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

- 9.1.8 The range of instruments shall be selected by bidder based on the set range indicated in the purchaser's data sheet. Where no set range is indicated, bidder may select the same as per the following guidelines;
- 9.1.9 The set range shall be 1.1 times the maximum process value or 1.4 times the operating process value whichever is higher rounded to the nearest ten.
- 9.1.10 The process variable shall preferably be in the middle third of the set range.
- ~~9.1.11 Measuring element in vacuum service shall have under range protection down to full vacuum, without undergoing a change in calibration or permanent set.~~
- ~~9.1.12 The type of electronic instruments shall be as specified in the purchaser's data sheet. Body & wetted part material shall be SS316 & SS316L respectively as a minimum. Transmitter vent/ drain material shall be same as wet part material.~~
- ~~9.1.13 For hydrogen service, transmitter sensing diaphragm shall be SS316L with gold plating. Gold plated Passivated Hastelloy C is also acceptable subject to max process design temperature of 200 deg C.~~
- ~~9.1.14 For chlorine service, the material of the sensor shall be Tantalum.~~
- ~~9.1.15 Diaphragm seal instrument shall meet the following requirements;~~
- ~~a) Diaphragm seal (flanged type) integral with the instrument. In case wafer type diaphragm seal is provided, it shall be supplied by vendor.~~
 - ~~b) Vendor shall include supply of Flushing ring and gasket as per the materials specified in the purchaser's data sheet.~~
 - ~~c) The sealant shall be an inert liquid, compatible with the process fluid and process operating as well as design temperature and pressure indicated in the purchaser's data sheets. Sealant shall be inert oil or equivalent for all diaphragm seal instruments in oxygen service.~~
 - ~~d) When specified in purchaser's data sheet, spacer ring shall be supplied. The MOC of spacer ring shall be 316 Stainless Steel, as a minimum. The spacer ring shall be provided with plugged vent/ drain connection 1/2" NPTF. Suitable metallic plugs shall be provided by the vendor for the spacer ring vent/ drain connection.~~



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

- e) ~~The span of the offered model shall be selected to ensure zero elevation/zero suppression equal to the head created by the fill fluid for the specified capillary length in the data sheet.~~
- f) ~~The material of diaphragm seal flange shall be SS as a minimum and rating suitable for process conditions.~~
- g) ~~For full vacuum service, diaphragm seal instruments shall be all welded construction. The section of seal fill fluid shall be decided by vendor. The diaphragm seal capillary armour shall be SS with PVC protection sleeve.~~
- h) ~~In place of capillary diaphragm seal differential pressure / level transmitter, remote sensor type differential pressure transmitter based on digital calculation shall be used wherever total capillary length combining both the legs is greater than 10 meters unless otherwise specified in the purchaser's datasheet. The model selection of the instrument shall be based upon the inlet pressure conditions.~~
- i) ~~The diaphragm seal models shall be part of vendor's published technical catalogue.~~

~~9.1.16 Wherever purchaser data sheet specifies integral flow transmitter, bidder shall supply complete assembly consisting of integral orifice, upstream and downstream meter runs with end flanges, isolation valves for transmitters meeting the following requirements:~~

- a) ~~Three nos, of integral orifice plates shall be supplied i.e., one is installed and two are spares.~~
- b) ~~Unless otherwise specified, material of construction shall be 316 Stainless Steel for integral orifice and meter run with flanges.~~

~~9.1.17 End connection details shall be as below:-~~

- a) ~~Threaded end connections shall be to NPT as per ASME B 1.20.1.~~
- b) ~~Flanged end connections shall be as per ASME B 16.5.~~
- c) ~~Grooves of ring type joint flanges shall be octagonal as per ASME B16.20.~~
- d) ~~Flanged face finish shall be as per ANSI B 16.5. The face finish shall be as follows:~~

~~125 AARH: 125 to 250 micro inch AARH~~

~~63 ARH: 32 to 63 micro inch AARH~~



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- ~~9.1.18 All instruments in oxygen and chlorine service shall be thoroughly degreased using reagents like trichloro-ethylene. End connection shall be blinded / plugged after the degreasing process in order to avoid entrance of grease or oil particles.~~
- 9.1.19 Yoke mounted instruments shall be supplied with universal mounting bracket, U-bolt and nuts suitable for mounting the instruments on a 50 mm (nominal bore) pipe stanchion (horizontal or vertical). Also mounting brackets shall be suitably selected to ensure sufficient space is available at transmitter rear to terminate the field cable, operate the vent/ drain. Material of construction of mounting bracket shall be SS as a minimum.
- ~~9.1.20 All flow transmitters shall confirm to the latest edition of IEC 61518: 'Mating Dimension between differential pressure type measuring instruments'.~~
- 9.1.21 Plug-in circuit boards shall be designed and manufactured such that reverse insertion or insertion of the wrong card is prevented.
- 9.1.22 Terminals for electrical connections shall be clearly identified, and polarity shall be permanently marked.
- 9.1.23 Peak to peak ripple and total noise level in the analog output signal shall not exceed 0.25% of the maximum signal.
- 9.1.24 Electrical cable entries shall have internal ½" NPT threads.
- ~~9.1.25 Span of the offered model shall be selected to ensure zero elevation/zero suppression shall be equal to minimum of 100% of the calibrated range.~~
- ~~9.1.26 Integral output meter of each electronic transmitter shall have a freely configurable LCD display. The display shall be as follows:~~
- ~~a) For Pressure, Differential Pressure, Flow & Temperature – Engineering Units~~
 - ~~b) For Level – 100% Linear~~
- 9.1.27 The performance of the transmitter shall not be affected by addition or removal or malfunction of integral output meter.
- ~~9.1.28 Wherever wetted parts material is specified as SS316/SS316L/SS321, Hastelloy C is also acceptable.~~
- ~~9.1.29 For differential pressure transmitter, all integral parts of the transmitter shall be suitable for the differential over-range in either direction equal to the full rated pressure of the~~



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

~~body with the opposite side vented to atmosphere without permanent distortion or calibration error.~~

9.1.30 Soft copy of the Device Descriptor (DD) files for configuring the transmitter parameters and Common File Format (CFF) files for integrating the device into the system shall be provided for offline configuration by system vendor.

9.2 Transmitters

9.2.1 Smart Transmitters

9.2.1.1 Smart transmitters in all conventional loops shall be smart (4-20 mA DC + HART) type only. Smart transmitters for flow, pressure, temperature, differential pressure and level applications shall be yoke mounted type unless specified otherwise. Meter electronics used for flow measurement etc. shall include all the associated items like preamplifier, converter, transmitter, integrator, integral output meter etc.

9.2.1.2 Smart transmitters shall be two wire microprocessor based type. These shall have a non-volatile memory, storing complete sensor characterization and configuration data of the transmitter. All necessary signal conversions and output generation with the required protocol shall be carried out in the transmitter electronics. Integral output meter with LCD display shall be provided for all transmitters.

9.2.1.3 Transmitter shall also run complete diagnostic subroutines and shall provide diagnostic alarm messages for sensor as well as transmitter healthiness. In the event of detection failure, the output shall be driven to a predefined value, which shall be field configurable.

9.2.1.4 Whenever specifically indicated in purchaser's data sheets, the meter electronics shall be provided with in-built lightning and power supply surges.

9.2.1.5 The configuration data of the instruments shall be stored in a non-volatile memory such that this remains unchanged because of power fluctuations or power off condition. In case vendor standard instrument has battery backed RAM, vendor to ensure that battery drain alarm is provided as diagnostic maintenance message.



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9.2.1.6 Accuracy of smart transmitters shall be as follows:

Type of Transmitter	Range of Transmitter	Accuracy
Direct	760 mm WC and above	Equal to or better than $\pm 0.04\%$ of range
Direct	Less than 760 mm WC	Equal to or better than $\pm 0.15\%$ of range
Diaphragm seal	500 mm WC and above	Equal to or better than $\pm 0.15\%$ of range
Diaphragm seal	Less than 500 mm WC	Equal to or better than $\pm 0.5\%$ of range

~~The accuracy is defined as the combined effect of repeatability, linearity and hysteresis.~~

~~The rangeability of the transmitter for above mentioned accuracy shall be 1: 10.~~

9.2.1.7 The stability of the transmitters shall be as follows:

Range of Transmitter	Stability
760 mm WC and above	$\pm 0.2\%$ of URL for a period of minimum 5 year
Less than 760 mm WC	$\pm 0.2\%$ of URL for a period of minimum 1 year

9.2.18 Transmitter shall update the output at least 8 times a second.

9.2.19 Minimum transmitter response time shall be as follows:

- ~~For transmitter range of 760 mm WC and above, the response time shall be equal to or better than 255 milliseconds.~~
- ~~For transmitter range below 760mm WC, the response time shall be equal to or better than 500 milliseconds.~~

~~The response time of the transmitter shall be considered as the sum of dead time and 63.2% step response time of the transmitter.~~



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9.2.1.20 Minimum over range/static pressure protection of the transmitter shall be as follows:

RANGE OF TRANSMITTER	OVER RANGE / STATIC PRESSURE (*)	
	PRESSURE TRANSMITTER, KG/CM ²	DIFFERENTIAL PRESSURE TRANSMITTER, KG/CM ²
$0 < R \leq 250 \text{ mmWC}$	20	20
$250 < R \leq 1000 \text{ mmWC}$	40	100
$1000 \text{ mmWC} < R \leq 10 \text{ Kg/cm}^2$	40	160
$10 \text{ Kg/cm}^2 < R \leq 25 \text{ Kg/cm}^2$	52	160
$25 \text{ Kg/cm}^2 < R \leq 100 \text{ Kg/cm}^2$	160	160
$R > 100 \text{ Kg/cm}^2$	200	210

(*) However, if the over range/static pressure value specified above is less than the maximum/design pressure of service conditions specified in the datasheets, offered instrument shall be suitable for the maximum/design pressure specified.

9.2.1.21 The 'WRITE' option shall be protected through password.

9.2.1.22 Temperature transmitters shall meet the following requirements as a minimum:

- Temperature transmitter shall be universal type, able to accept input from resistance temperature detector (RTD) or thermocouple (T/C) of any type and range.
- Temperature transmitters shall be freely programmable i.e., element type and range shall be programmable without any change in hardware / software.
- Temperature transmitter shall be remote mounted type, in general. Head mounted transmitters shall be supplied when specifically indicated in purchaser's data sheets.



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- d) Temperature transmitters shall have dual input capability with automatic transfer to back-up sensor on failure of the primary sensor with alarm.
 - e) Burn out protection must be provided with temperature transmitters. Upscale or downscale protection shall be decided based on its application to ensure fail-safe operation.
 - f) Temperature transmitters shall have a built-in linearising function to produce an output linear to temperature range.
 - g) The accuracy of the temperature transmitter with RTD element shall be as follows:
 - For temperature above 350°C, $\pm 0.075\%$
 - For temperature between 350°C to 150°C, $\pm 0.15\%$
 - For temperature below 150°C, $\pm 0.25\%$
 - h) The accuracy of temperature transmitter with cold junction compensation for Thermocouple element shall be as follows:
 - For temperature above 350°C, $\pm 0.25\%$
 - For temperature between 150°C to 350°C, $\pm 0.5\%$
 - For temperature between 120°C to 150°C, $\pm 0.75\%$
 - For temperature below 120°C, $\pm 1.0\%$
- 9.2.1.13 When HART protocol is specified, the following features must be ensured;
- a) It shall allow multi masters (minimum two, primary and secondary) for configuration, calibration, diagnostics and maintenance. The primary could be the control system or host computer and the secondary could be the hand-held communicator.
 - b) It shall be capable of implementing universal commands from either of these locations.
 - c) All HART transmitters shall be configurable for under current and over current.
 - d) All HART transmitters shall compliant to NAMUR NE 43 recommendations.
- 9.2.1.14 When Fieldbus is specified, transmitter shall meet the following requirements in addition to requirements specified in 9.2.1.13 a & b;
- a) All instruments must satisfy the requirements of the Fieldbus registration laboratory with applicable checkmark like foundation Fieldbus, ProfibusNutZeroorganisatione.v (PNO), or as specified in the purchaser's data sheets.



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

- b) All instruments shall be polarity insensitive. Also, transmitter shall be LAS capable and provided with line plugging detection, whenever specified in data sheet.
- c) All instruments shall have one no. of Analog Input (AI) block and one no. of Proportional, Integration and Differential (PID) control block, as a minimum.
- d) All instruments must be interoperable and shall have valid interoperability test clearance like ITK latest version for Foundation Fieldbus or equivalent for Profibus PA, as applicable.
- e) The Fieldbus instruments shall support peer to peer communication with two wire communication and bus power supply.
- f) Fieldbus instruments shall have facility to detect plugged impulse lines, whenever specifically indicated in purchaser's data sheets.
- g) The Fieldbus instruments in hazardous area shall be certified as per entity concept or shall be FISCO approved as per the requirements specified in the purchaser's specification.
- h) All instruments shall support EDDL or FDT/DTM requirements, as specified in data sheets.
- i) Internal Software shall be configured by the vendor including the following information.
 - Serial Number
 - Device Tag (Tag Number)
 - Process Description
- j) All instruments shall be capable of supporting incremental Device Descriptor (DD) for extra functionality and/or software revisions in device memory.
- k) Fieldbus based indicator shall be able to indicate all signals available in the Fieldbus segment, selectively.



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10. PROTECTION AGAINST CORROSION

- 10.1 All instruments and equipment shall be suitable for use in an industrial climate with presence of corrosive gases and or chemicals.
- 10.2 As a minimum, all instruments and enclosures in field shall be dust proof, weatherproof and secure against the ingress of fumes and damp.
- 10.3 All external surfaces shall be suitably treated to provide anti corrosion protection against plant atmosphere.

11. IDENTIFICATION REQUIREMENT

Name plate

Material of construction of the name plate shall be SS. Each transmitter shall have the following name plate information on it:

1. Manufacturer name/trademark and Model No. (Transmitter + Seal) along with serial no.
2. SAP Code as per purchaser data sheet.
3. Critical / Ordinary Service as per Datasheet.
4. Measurement range (Calibration range & Sensor Limits (Upper & Lower))
5. Power Supply, Output Signal
6. Body material
7. Measuring element material (SS316L, Hastelloy C, Gold Plated etc)
8. IP rating
9. Hazardous Area Protection & Hazardous Area Certificate No. (Area classification in which the equipment can be used, this shall be to the same code as per purchaser's data sheets)



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

12. QUALITY ASSURANCE

- 12.1 The bidder shall maintain an effective quality system. A concise description of the bidder's system and its proposed application to the Scope of Work, including references where applicable to a quality manual or similar authorized company document, is required to be submitted.
- 12.2 List of documents in dossier form shall be retained as evidence or proof that the product and/or service supplied complies with specific requirements
- 12.3 A quality plan, indicating the verification activities that will be applied in order to achieve the required quality is required to be submitted for approval. Inspection shall be carried out by CPCL approved third party inspection agency, which shall be in Bidder's scope.

13. INSPECTION AND TESTING

- 13.1 Unless otherwise specified, purchaser reserves the right to test and inspect all the items at the bidder's works.
- 13.2 The bidder shall develop Inspection and Testing Procedure (ITP) for each type of item with respect to all specific requirements as applicable to ensure compliance with codes and applicable standards as given in data sheets. Bidder shall submit ITP for CPCL approval.
- 13.3 Bidder shall carryout 100% inspection for compliance with requirements of specifications at every stage of manufacturing. Bidder shall maintain records / documents of all the inspection / tests carried out and shall satisfy itself about the acceptability of the item before dispatch of material
- 13.4 Following tests shall be carried out / test reports shall be offered by the Bidder along with the material supply. The detailed scope of Inspection & Testing is given in clause no. 20 of this Annexure for compliance.



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Physical Checks: -

- i. Name Plate details Tag no.
- ii. Model no. Range
- iii. Protection rating (IP, IS, Ex'ia' etc.)
- iv. Material test certificate (MIL Certificate) for Gold plated transmitters.
- v. Hydrotest Certificates
- vi. Calibration Certificates
- vii. IBR/NACE Certificates as specified in datasheets
- viii. Certificates of compliance for material of construction, dimension etc.

Routine Tests: -

- i. Calibration check for Linearity, Accuracy, Hysteresis, Repeatability
- ii. Zero-shift

14. SHIPPING & DELIVERY

- 14.1. All threaded and flanged openings shall be suitably protected to prevent entry of foreign material.
- 14.2. Instruments shall be supplied individually, in suitable sealed packing.
- 14.3. Proper care shall be taken in shipping instruments with diaphragm seals to ensure safety of the diaphragm seals, extensions, capillaries, where specified.
- 14.4. All electronic instruments in oxygen and chlorine service shall be separately packed along with a certificated indicating 'CERTIFIED FOR OXYGEN / CHLORINE SERVICE', as applicable.
- 14.5. Loose supplied accessories shall be packed with proper tag numbers of their respective instruments.



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

15. BIDDER DOCUMENT REQUIREMENT

Four sets of As-built documentation to be provided at final stage after completion of the site work and commissioning. Two sets of soft copy of all type of documentations shall be provided on CD/DVDs for records.

Major documentation requirement is tabulated below:

Sl. No.	Description	Along with the offer	Post order For Approval	Post order For Information	After Inspection	As Built
1.	Specifications sheet duly filled in as token of	X				
2.	Make and Model of the offered instrument along with detailed BOM	X		X		
3.	Filled in deviation/compliance Statement (NIL statement	X				
4.	Complete technical literature and catalogues of the offered instrument along with accessories	X		X		X
5.	Proven Track Record	X				
6.	Copy of the certificates from approving authorities(PESO) for use of equipment/ items in the hazardous area	X			X	X
7.	IP certificate	X			X	X



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

8.	Guarantee/Warranty Certificates					X
9.	Other test certificates				X	X
10.	Packing list				X	X
11.	Operation & Maintenance instruction manuals					X
12.	Calibration certificate					X
13.	Logistic Support Certificate	X				X

16. PERFORMANCE GUARANTEE

Bidder shall guarantee the followings:

- 16.1 All items supplied for this Material Requisition shall be guaranteed against defective or improper material, poor workmanship, etc.
- 16.2 Material used for the Items supplied against this order shall be new and free from any defects.
- 16.3 Any supplied Item found to be of poor workmanship or defective shall be rectified by the bidder at their own cost and replace free of cost without any delay.
- 16.4 Warranty / Guarantee of the goods shall be the responsibility of the Manufacturer / Bidder.



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

17. LOGISTIC SUPPORT CERTIFICATE FORMAT

CERTIFICATE FOR LOGISTIC SUPPORT

(To be signed by bidder's principal corporate level signatory on company letterhead)

I, on behalf of M/s _____ (bidder) confirm that the transmitters quoted by us for CPCL, Chennai, India against tender document no _____ shall continue to be supported by us and quoted system shall not be withdrawn from "Indian" market as a matter of corporate policy.

I, further confirm that in case of placement of order by M/s CPCL on M/s _____ (bidder), M/s. CPCL shall be supported in providing back-up engineering, maintenance support and spare part support for a period of not less than ten (10) years from the date of placement of order.

(SIGNATURE WITH SEAL)



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

18. Bidder Deviation/Clarification Statement

Bidder to provide clarification/deviation (if any) with reference to document number/rev/title and clause. in case of no deviation, bidder to clearly indicate “no deviation” in above format. Deviations mentioned elsewhere in the offer shall be considered null and void and shall not be considered for offer evaluation.

Document Title & Number	Clause No.	Deviation / Clarification	Bidder's remarks

Bidder Company Name and Stamp	Bidder Representative Name & contact details	Bidder Representative (Signature)

**BIDDER SHALL SIGN AND STAMP ALL THE TECHNICAL SPECIFICATION SHEETS
AND SUBMIT THE SAME ALONG WITH THE OFFER.**



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

19. Proven Track Record (PTR) Format

S.NO.	DESCRIPTION	AS OFFERED FOR THIS PROJECT	SYSTEM AS INSTALLED @ SITE 1	SYSTEM AS INSTALLED @ SITE 2
1.	NAME OF THE PLANT			
2.	Name, Address, Fax No., E-Mail & Telephone No. of contact person in the plant			
3.	Name, Address, Fax No., E-Mail of consultant			
4.	Month & year of supply			
5.	Any major breakdown till date			
6.	If yes, cause of breakdown			
7.	Model no. of the offered transmitter			
8.	SYSTEM USED FOR: End application – Name of the plant/unit			
9.	SCOPE OF Bidder's Responsibility a) Manufacturing of transmitters b) Design and supply c) Factory testing, calibration including Factory Acceptance Test d) Site installation, commissioning			
10.	Salient Features of Offered System over earlier Installed Systems			

Bidder's Stamp and Signature



ANNEXURE-I – GENERAL TECHNICAL SPECIFICATION – TRANSMITTERS

20. INSPECTION & TESTING PLAN

S.No	Description	INSPECTION QUNATITY		REMARKS
		BIDDER	THIRD PARTY AGENCY	
1	Physical inspection for quantity, model number, tag number, accessories, conformity with specification.	100%	100% - (W)	
2	Hydrostatic test at specified pressure on either side of measuring element to check for leaks.	100%	10% - (W)	
3	Over range test at rated pressure on either side of measuring element to check for shifts in zero and span.	100%	10% - (W)	
4	Calibration test at three equi spaced points over entire range.	100%	10% - (W)	
5	Bi-directional communication test with hand held configurator and checking the configuration.	100%	10% - (W)	
6	Polarity sensitive verification, Functional block availability, DD/EDDL revision verification (For FF transmitters)	100%	10% - (W)	
7	Positive Identification Test (PMI)	100%	10% - (W)	
8	Material Test Certificates (Physical & Chemical Properties) ii) For NACE service applicable tags : NACE MR 0103 compliance	100%	Document Review	

W- Witness

Chennai Petroleum Corporation Limited

(A Government of India Enterprise and Group Company of IOCL)

ANNEXURE-II(A) - DATASHEET FOR TEMPERATURE TRANSMITTERS-HART

SPECIFICATION				BIDDER'S COMPLIANCE	
GENERAL	1	Item Code No.	8156695734		
	2	Function	Transmission and Indication		
	3	Mounting	2" pipe mounted		
	4	Area Classification	Zone 1, Gr. IIA/IIB, T3		
	5	Electrical certification	Ex'ia', CCOE / PESO approved		
	6	Enclosure protection	WP to IP-66 or better as per IEC-60529		
PROCESS CONDITIONS	7	Oper. Temp.	500 °C		
	8	Design Temp.	1400 °C		
TRANSMITTER	9	Type	Dual compartment Temperature Transmitter		
	10	Transmitter input from	Universal Dual Input Type (Note-1)		
	11	Hot backup function:Automatically switches-over from the primary to the backup sensor upon primary sensor failure.	Required, field configurable		
	12	Cold Junction Compensation	Burnout Failure Indication	Required	Required
	13	Housing Material	SS/Aluminum alloy with corrosion protection painting		
	14	Power supply	24 VDC Loop Powered		
	15	Process Connection	Electrical Connection	N/A	1/2" NPT (F), 2 No.s (Note:1)
	16	Total analog output Accuracy	Note-3		
	17	D/A accuracy	±0.03 % span or better		
	18	Cold junction accuracy	±0.5 °C or better		
	19	Linearization of Output	Required		
	20	Instrument Range	T/C Range		
	21	Calibration Range	(0- 600)°C for K type thermocouple		
	22	Output Signal	4 - 20 mA SMART with HART Protocol, Ex'ia'		
	23	Certification	1)CCOE-PESO approval, 2)Calibration certificate		
	24	Stability	0.1% of span for 1 year		
	25	Ambient Temperature effect	-		
COMMUNICATION	26	Type of communication	Communication Media	HART Version 5 or 7	-
	27	LAS Capable	Baud Rate	-	-
	28	Device Descriptions	Function Blocks Req'd	-	-
	29	Interoperability	Execution Time	-	-
	30	Configuration from	Universal HART Configurator		
	31	Internal Diagnostics	Required		
	32	Hand Held Terminal	-		
OPTIONS	33	Integral Meter	Required. Digital LCD Type. Field configurable		
	34	Bar graph plot in Integral meter	Required		
	35	Lightning/Surge Protection	Not Required		
	36	Mounting Brackets for 2" NB Pipe	Universal Mounting Bracket of SS with SS U bolts & Nuts		
	37	Accessories	1. 1/2" NPT(M) Nickel plated brass Cable Gland with PVC shroud 2. 1/2" NPT(M) SS blind plug		
	38	SIL requirement	SIL2 required		
PURCHASE	39	Manufacturer	*		
	40	Model	*		

* Vendor to specify / confirm

Notes:

- 1) All temperature transmitters shall be of universal dual input type, so that it can accept all type of Thermocouples or all type of RTD inputs with 2/3/4 wire options & auto switch over.
- 2) The accuracy of temperature transmitter with cold junction compensation for thermocouple element shall be as follows:
 - 2.1) For temperature above 350°C, accuracy shall be ±0.25% of span.
 - 2.2) For temperature between 150°C to 350°C, accuracy shall be ±0.5% of span.
 - 2.3) For temperature below 150°C, accuracy shall be ±0.75% of span.
- 3) The accuracy of temperature transmitter for RTD
 - 3.1) For temperature range above 350° C, the accuracy shall be equal to or better than ±0.075% of span.
 - 3.2) For temperature range with ranges between 350° C to 150° C, the accuracy shall be equal to or better than ±0.15% of span.
 - 3.3) For temperature range below 150° C, the accuracy shall be equal to or better than ±0.25% of span.
- 4) Temperature Transmitters shall be freely programmable i.e., element type and range shall be programmable without any change in hardware/software
- 5) All instruments shall be of state-of-the-art technology and shall be in compliance with the electromagnetic compatibility requirements specified in IEC-61000-4 standard.
- 6) Plug-in circuit boards shall be designed and manufactured such that reverse insertion or insertion of the wrong card is prevented.
- 7) Electronic instruments shall generally operate on nominal voltage of 24 V DC and shall be protected against short circuit and reverse voltage. Transmission and output signal shall generally be 4 to 20 mA DC for analog and smart transmitters. The display of integral output meter shall be in engineering units for Temperature.
- 8) Electronic transmitters with two-wire system shall be suitable for delivering rated current to an external loop resistance of at least 600ohm when powered with 24 V DC.
- 9) Terminals for electrical connections shall be clearly identified, and polarity shall be permanently marked.
- 10) Peak to peak ripple and total noise level in the analog output signal shall not exceed 0.25% of the maximum signal.
- 11) Electrical cable entries shall have internal 1/2" NPT threads.
- 12) The stability of the transmitters shall be equal to or better than ±0.1% of span for a period of minimum 1 year and shall be part of transmitter standard or basic feature. All accuracy and stability specification requirements shall be in general be met by the basic model without any option add on software.
- 13) Offered make and model of transmitters shall be latest & proven model with minimum one-year PTR in Refinery, petrochemical industry. All instruments shall be of field proven quality, both with respect to design and materials. Prototype instruments or instruments of experimental nature shall not be offered or supplied. In general, all the supplied items by supplier shall have well proven performance record of operating satisfactorily in hydrocarbon industry like refinery, petrochemical for minimum of one year. Bidder to provide purchase order copies, approved data sheets, SAT reports and satisfactory performance certificate from the end user/end user details with phone number and E-mail ID.

Chennai Petroleum Corporation Limited

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ANNEXURE-II(B) - DATASHEET FOR TEMPERATURE TRANSMITTERS-FF

SPECIFICATION					BIDDER'S COMPLIANCE
GENERAL	1	Item Code No.		8162480704	
	2	Function		Transmission and Indication	
	3	Mounting		2" pipe mounted	
	4	Area Classification		Zone 1, Gr. IIA/IIB, T3	
	5	Electrical certification		Ex'ia', CCOE / PESO approved	
	6	Enclosure protection		WP to IP-66 or better as per IEC-60529	
PROCESS CONDITIONS	7	Oper. Temp.		500 °C	
	8	Design Temp.		1400 °C	
TRANSMITTER	9	Type		Dual compartment Temperature Transmitter	
	10	Transmitter input from		Universal Dual Input Type (Note-1)	
	11	Hot backup function:Automatically switches-over from the primary to the backup sensor upon primary sensor failure.		Required, field configurable	
	12	Cold Junction Compensation	Burnout Failure Indication	Required	Required
	13	Housing Material		SS/Aluminum alloy with corrosion protection painting	
	14	Power supply		Bus powered from IS Field Barriers	
	15	Process Connection	Electrical Connection	N/A	1/2" NPT (F), 2 No.s (Note:1)
	16	Total analog output Accuracy		Note-3	
	17	D/A accuracy		±0.03 % span or better	
	18	Cold junction accuracy		±0.5 °C or better	
	19	Linearization of Output		Required	
	20	Instrument Range		T/C Range	
	21	Calibration Range		(0- 600)°C for K type thermocouple	
	22	Output Signal		Foundation Fieldbus (FF) Protocol, Ex'ia'	
	23	Certification		1)CCOE-PESO approval, 2)Calibration certificate	
	24	Stability		0.1% of span for 1 year	
	25	Ambient Temperature effect		-	
COMMUNICATION	26	Type of communication	Communication Media	Foundation Fieldbus (FF)	Twisted pair, 18 AWG
	27	LAS Function	Baud Rate	Required, Backup	31.25 Kbps
	28	Device Descriptions	Function Blocks Req'd	.sym,.ffo,.cff	As per below mentioned blocks
	29	Interoperability	Execution Time	Required. Registered at Fieldcomm group	-
	30	Configuration Method		Bus and Universal FF Configurator	
	31	Internal Diagnostics		Required	
	32	Hand Held Terminal		-	
OPTIONS	33	Integral Meter		Required. Digital LCD Type. Field configurable	
	34	Bar graph plot in Integral meter		Required	
	35	Lightning/Surge Protection		Not Required	
	36	Mounting Brackets for 2" NB Pipe		Universal Mounting Bracket of SS with SS U bolts & Nuts	
	37	Accessories		1. 1/2" NPT(M) Nickel plated brass Cable Gland with PVC shroud 2. 1/2" NPT(M) SS blind plug	
	38	SIL requirement		SIL2 required	
PURCHASE	39	Manufacturer		*	
	40	Model		*	

* Vendor to specify / confirm

Notes:

- All temperature transmitters shall be of universal dual input type, so that it can accept all type of Thermocouples or all type of RTD inputs with 2/3/4 wire options & auto switch over.
- The accuracy of temperature transmitter with cold junction compensation for thermocouple element shall be as follows:
 - For temperature above 350°C, accuracy shall be ±0.25% of span.
 - For temperature between 150°C to 350°C, accuracy shall be ±0.5% of span.
 - For temperature below 150°C, accuracy shall be ±0.75% of span.
- The accuracy of temperature transmitter for RTD
 - For temperature range above 350° C, the accuracy shall be equal to or better than ±0.075% of span.
 - For temperature range with ranges between 350° C to 150° C, the accuracy shall be equal to or better than ±0.15% of span.
 - For temperature range below 150° C, the accuracy shall be equal to or better than ±0.25% of span.
- Temperature Transmitters shall be freely programmable i.e., element type and range shall be programmable without any change in hardware/software
- All instruments shall be of state-of-the-art technology and shall be in compliance with the electromagnetic compatibility requirements specified in IEC-61000-4 standard.

ANNEXURE-II(B) - DATASHEET FOR TEMPERATURE TRANSMITTERS-FF	
SPECIFICATION	BIDDER'S COMPLIANCE
6) Plug-in circuit boards shall be designed and manufactured such that reverse insertion or insertion of the wrong card is prevented. 7) Electronic instruments shall generally operate on nominal voltage of 24 V DC and shall be protected against short circuit and reverse voltage. Transmission and output signal shall generally be 4 to 20 mA DC for analog and smart transmitters. The display of integral output meter shall be in engineering units for Temperature. 8) Electronic transmitters with two-wire system shall be suitable for delivering rated current to an external loop resistance of at least 600ohm when powered with 24 V DC. 9) Terminals for electrical connections shall be clearly identified, and polarity shall be permanently marked. 10) Peak to peak ripple and total noise level in the analog output signal shall not exceed 0.25% of the maximum signal. 11) Electrical cable entries shall have internal 1/2" NPT threads. 12) The stability of the transmitters shall be equal to or better than $\pm 0.1\%$ of span for a period of minimum 1 year and shall be part of transmitter standard or basic feature. All accuracy and stability specification requirements shall be in general be met by the basic model without any option add on software. 13) Offered make and model of transmitters shall be latest & proven model with minimum one-year PTR in Refinery, petrochemical industry. All instruments shall be of field proven quality, both with respect to design and materials. Prototype instruments or instruments of experimental nature shall not be offered or supplied. In general, all the supplied items by supplier shall have well proven performance record of operating satisfactorily in hydrocarbon industry like refinery, petrochemical for minimum of one year. Bidder to provide purchase order copies, approved data sheets, SAT reports and satisfactory performance certificate from the end user/end user details with phone number and E-mail ID.	

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ANNEXURE-II(B) - DATASHEET FOR TEMPERATURE T

S/N	Required Function Blocks in the Device	
1	Analog Input (AI)	Execution Time (msec)
2	Transducer Block	Execution Time (msec)
3	Resource Block	Execution Time (msec)
a)	Display Block	Execution Time (msec)
b)	Input Selector Block	Execution Time (msec)
c)	Diagnostic Transducer	Execution Time (msec)
4	PID Block	Execution Time (msec)
a)	Advanced PID Block	Execution Time (msec)
b)	Integrator Block	Execution Time (msec)
c)	Arithmetic Block	Execution Time (msec)
5	Signal Characterizer Block	Execution Time (msec)
a)	Analog Alarm	Execution Time (msec)
b)	Timer Block	Execution Time (msec)
c)	Lead Lag Block	Execution Time (msec)
d)	Output selector	Execution Time (msec)
e)	constant Block	Execution Time (msec)

Note:

1. Vendor to fill the execution time of the function blocks

tion Limited
p Company of IOCL)
RANSMITTERS-FF
Special Function Blocks
Other-Execution Time (msec)



SECTION – 4

INSTRUCTION TO BIDDERS (ITB)

4.1 General:

- 4.1.1 Where any portion of SPC is repugnant to or at variance with any provisions of the General Purchase Conditions, then unless a different intention appears, the provision of the SPC shall be deemed to override the provisions of the GPC only to the extent that such repugnancy or variations in the SPC are not possible of being reconciled with the provisions of GPC.
- 4.1.2 The Bidder, unless otherwise stipulated in NIT
 - a. Must be a natural person, private entity, or public entity (State-owned enterprise or institution).
 - b. Must not be (or proposes to be, a Joint Venture/ Consortium (an association of several persons, firms, or companies - hereinafter referred to as JV/C) unless permitted explicitly in NIT.
 - c. Must not be insolvent, in receivership, bankrupt or being wound up, not have its affairs administered by a court or a judicial officer, not have its business activities suspended and must not be the subject of legal proceedings for any of these reasons.
- 4.1.3 Unless otherwise stipulated in the NIT, conditional offers, alternative offers, multiple bids by a bidder shall not be considered.
- 4.1.4 Tender document fee is Nil for all procurements
- 4.1.5 The prices quoted should be competitive and without adopting any unfair/ unethical/ anti-competitive means. No attempt should be made to induce any other bidder to submit or not to submit an offer for restricting competition
- 4.1.6 Bidders are advised to read all the documents carefully given in the tender. If found bidder has declared false information / forged document against the tender, then CPCL reserves the right to reject the offer of bidder and further action for blacklisting of bidder in line with CPCL tender procedure manual.
- 4.1.7 Bid submitted by the Bidder, who have been blacklisted or kept under Holiday List of CPCL (or) its Administrative Ministry, i.e., Ministry of Petroleum & Natural Gas, shall not be considered for opening and further evaluation.
- 4.1.8 CPCL reserves the right to use in-house information for assessment of capability of bidders.
- 4.1.9 Bidders should ensure that prices are not be indicated anywhere in the unpriced Techno-commercial Part ONE.
- 4.1.10 CPCL may issue clarifications / amendments in the form of addendum / corrigendum during the bidding period and may also issue amendments subsequent to receiving the bids. For the addendum / corrigendum issued during the bidding period, bidder shall confirm the inclusion of addendum / corrigendum in their bid.



- 4.1.11 CPCL shall not be responsible for any costs or expenses incurred by bidder in connection with the preparation or delivery of bids including costs & expenses related with visit to CPCL.
- 4.1.12 CPCL also reserves the right to reject any offer based on the past performance of the bidder at CPCL.
- 4.1.13 Bidders to quote competitive prices considering the fact that price negotiations, if required, to be held with the lowest bidder only.
- 4.1.14 Any discounts offered by the bidder after opening the Techno-commercial bid & before opening the price bid than it shall not be considered for L1 calculations.
- 4.1.15 Bidder's technical person(s) can visit CPCL to see the Plant layout/site condition before bidding in case the scope involves Erection & Commissioning.
- 4.1.16 Printed terms and conditions of Bidder are not applicable.
- 4.1.17 All correspondence must be in ENGLISH language only
- 4.1.18 All Bank charges associated with Bidder's Bank regarding release of payment etc. shall be borne by Bidder
- 4.1.19 The contents of this Tender Document are not to be modified or altered by Bidder. In case, it is found that the tender document has been modified / altered by the bidder, the bid submitted by them shall be liable for rejection.
- 4.1.20 Government procurement policies/ orders indicated in the tender are subject to further amendments from time to time
- 4.1.21 Original / EMD / PG Bank Guarantees and Samples (as applicable) shall be sent directly addressing to DGM (Materials) – CPCL indicating the NIT No. & Name of item / work to the following address:

Deputy General Manager (Materials),
Administration Block – III,
Chennai Petroleum Corporation Limited,
Manali, Chennai – 600 068.

4.2 Earnest Money Deposit (EMD) (If applicable as per NIT)

4.2.1 EMD applicability:

EMD submission is mandatory if the same is indicated in NIT. However, following bidders are exempted for EMD payment:

- a. In line with the Indian Government Directives, Micro and Small Enterprises registered with any Body specified by Ministry of MSME
- b. Central / State Govt. / Public Sector Undertaking
- c. Joint venture of IOCL
- d. Categories exempted from EMD as per GeM terms and conditions (in case of GeM tenders)

Bidder must submit valid documentary evidence along with their bid in support as per their applicability. Otherwise intending bidder shall submit requisite EMD.



For MSE bidders claiming EMD exemption: UDYAM registration certificate shall be provided for evidence. Application for registration as NSIC / MSE or for renewal will not be acceptable. Registration certificate must be valid as on date of bid opening. Udyog Aadhar Memorandum (UAM) is not valid from 01.07.2022 and will not be considered as valid document towards EMD exemption until and unless the date is extended by government of India. **EMD exemption is not applicable for MSEs with major activity as "Services (Trading)" or "Trading" in UDYAM registration certificate.**

4.2.2 Return and Forfeit of EMD:

4.2.2.1 EMD shall be released to the bidders in the following circumstances:

- EMD of bidders whose price bids are not opened/ disqualified during techno-commercial bid evaluation (unsuccessful Bidder) shall be released after price bid opening.
- EMD of bidders qualified in the techno-commercial bid but unsuccessful for placement of Purchase Order shall be released after placement of Purchase Order on successful Bidder.
- EMD of the successful bidder shall be released on receipt of acceptable PBG (where PBG is applicable). Wherever PBG is not applicable, EMD shall be returned to the successful bidder on order acceptance by the Bidder.
- In case of cancellation of the tender, the EMDs submitted by all the Bidders shall be returned immediately after the decision on cancellation is taken.
- It may be noted that no interest shall be allowed on the EMD submitted.

4.2.2.2 EMD shall be forfeited in case;

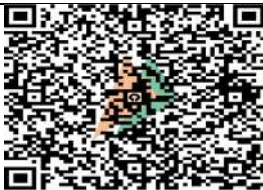
- The bidder alters / modifies / withdraws the bid suo moto after opening the bids (Technical bids in case of two bid system) and within the validity period.
- The successful bidder fails within the specified time to accept the order / contract, and furnish the security deposit / performance guarantee.
- Submission of false/ fraudulent / forged documents

4.2.3 Modes of EMD payment:

4.2.3.1 Bidder to refer the below tabulation for various modes of EMD (interest free).

Sl. No.	Mode of payment	REMARKS
1	Online Transfer (NEFT/IMPS/RTGS)–	Bidder shall pay EMD/SD (Interest free) by online transfer to the below CPCL bank account, Account Number : 10130459267, IFSC Code : SBIN0009999, SWIFT code : SBININBB174, Address: Corporate Accounts Group Branch, 3 rd Floor, Sigapi Achi Building, 8/3, Rukmani Lakshmipathi Road, Egmore, Chennai 600008



2	Bank Guarantee for EMD (HARD COPY)	Bank Guarantee shall be strictly as per section 6 Format 6.1 – FORMAT FOR EMD BANK GUARANTEE, issued/counter guaranteed by any Govt. of India nationalized /scheduled bank given in a non-judicial stamp paper for a value of Rs.100/- and it shall be valid for 60 days beyond the offer validity date as indicated in NIT and the validity shall be extended further if required. *
3	E-BANK GUARANTEE	National E-Governance Services Limited (NeSL) has developed a platform which allows Bank Guarantees to be issued by Banks in completely paperless mode with digital stamping and digital signature. NeSL is functioning as a central repository for e-BG providing notifications to beneficiaries and providing direct access, verification and download capabilities. CPCL has registered with NeSL platform for acceptance of e-BG and our Entity ID is AAACM4392C
4	INSURANCE SURETY BOND (ISB)	Insurance Surety Bonds are acceptable towards EMD. Format shall be as per Section 6 Format 6.2 – FORMAT FOR EMD INSURANCE SURETY BOND
5	UPI details [chennai@petroleum@sbi]	

4.2.3.2 EMD in the form of Account Payee Demand Draft (DD), Fixed Deposit Receipt and Banker's cheque is not acceptable

4.2.3.3 * - "Bidders to ensure that IFSC Code and Swift Code of CPCL's designated State Bank details (Account Number:10130459267, IFSC Code:SBIN0009999, SWIFT code : SBININBB174, Address: Corporate Accounts Group Branch, 3rd Floor, Sigapi Achi Building, 8/3, Rukmani Lakshmipathi Road, Egmore, Chennai 600008), are submitted to the bidder's bank while opening the BG with a request to send BG confirmation through SWIFT Message to CPCL's designated bank under SFMS (Structured Financial Messaging System)". The BG's would be reckoned by CPCL only on receipt of SWIFT message by CPCL from our designated SBI branch. SFMS sent to other branches of SBI are not acceptable. Bidders are also requested to include the details of SWIFT reference in their bid documents for purpose of our linking

4.2.3.4 Bidders to indicate tender reference number in their Online and UPI payments.

4.3 Bid Validity:

4.3.1 Bid shall be kept valid for period specified in the NIT.

4.3.2 Any deviation on the above, bidder's offer is liable for rejection.

4.3.3 If bidders are asked to extend their validity on account of delay in finalizing the tender, the same should be without any deviation including prices. However, the bidders would be allowed to withdraw the tender.

4.3.4 A Bidder agreeing to the request will not be required or permitted to modify his Bid, but will be required to extend the validity of its 'EMD' for the period of the extension.



- 4.3.5 If a bidder withdraws its bid within validity period for any reason, their bid shall not be further evaluated, and suitable penal action taken which may include EMD forfeiture and / or holiday listing action as per the discretion of CPCL.

4.4 Submission of Documents:

- 4.4.1 Bid shall be submitted through electronic mode only.
- 4.4.2 The pre-qualification details shall not be combined with Commercial or Technical bid.
- 4.4.3 The Commercial details shall not be combined with Pre-qualification or Technical bid.
- 4.4.4 The Technical details shall not be combined with Pre-qualification or Commercial bid.

4.5 PQC Evaluation: (Applicable if PQC is indicated in NIT)

Bidder shall submit documentary proof for their compliance to the qualification Experience criteria and qualification Finance Criteria as indicated in appendix to NIT. The bid will be evaluated based on the supporting documents submitted along with bid. Failure to meet the above Qualification criteria will render the bid to be rejected. The bidder shall ensure submission of complete information / documentation. Therefore, the bidder shall in his own interest furnish complete documentary evidence in support of the above PQC. CPCL reserves the right to complete the evaluation based on the details furnished by the bidder along with their Bid, without seeking any subsequent additional information. However, CPCL reserves the right to consider CPCL/IOCL's in-house information towards qualification of bidders.

4.6 Clarification of Bids and Shortfall Documents

During the evaluation of Techno commercial or Financial Bids, the Procuring Entity may, at its discretion, but without any obligation to do so, ask Bidder to clarify its bid by a specified date. Bidder should answer the clarification within that specified date. The request for clarification shall be submitted electronically, and no change in prices or substance of the bid shall be sought, offered, or permitted that may grant any undue advantage to such bidder. Any clarification submitted by a Bidder regarding its Bid that is not in response to a request by the Purchasing Entity shall not be considered. If discrepancies exist between the uploaded scanned copies and the Originals submitted by the bidder, the original copy's text, etc., shall prevail. Any substantive discrepancy shall be construed as a violation of the Code of Integrity, and the bid shall be liable to be rejected as nonresponsive in addition to other punitive actions for violation of the Code of Conduct.

4.7 Verification of Documents:

- 4.7.1 Bidder shall note that they are required to produce Originals of the experience certificates and other documents, copies of which were submitted by them in their offer, at CPCL Materials department if required. Since documents are submitted by the bidder in the tender, the responsibility of authenticity of documents shall be with the bidder.
- 4.7.2 Should CPCL decide to place order pending verification of PQC documents, payment shall be made only after completion of order
- 4.7.3 In case, it is observed that if any bidder submitted forged documents/credentials, necessary action for holiday listing of the bidder shall be carried out including forfeiture of EMD.



- 4.7.4 The tenderer shall note that if the documents submitted by them at the time of requisition for issue of Tender Documents or afterwards are found to be incorrect/ fraudulent/ forged, the contract shall be liable for termination without any further notice to the contractor and the work/procurement shall be executed by CPCL at the risk & cost of the vendor. Such activities shall form grounds to initiate banning of business dealings, putting on holiday listing or blacklisting. Decision of CPCL in this regard shall be final and binding on the contractor.
- 4.7.5 The documents shall be verified from the respective Clients through e-mail/hard copy. In this regard, bidder shall furnish the contact person details with phone number, email ID, address, etc. of the Clients.

4.8 Tie Methodology:

- 4.8.1 For GeM tenders: Provisions in GeM portal will be followed.
- 4.8.2 For e tenders: In case of a tie, discount will be sought from L1 bidders in password protected files and the bidder who offers maximum discount will be considered as L1. In case there is still a tie, bidder with maximum turnover in FY 2023-24 will be considered as L1 for the entire quantity of the tied item. Audited balance sheets and profit & loss statement certified by CA will be accepted towards documentary evidence for annual turnover.
- 4.8.3 The above criterion is only to arrive at L1 bidder. Further negotiation and purchase preference will be applicable as per tender terms and conditions.

4.9 Purchase Preference for MSE bidders:

Applicable only for Manufacturers. To avail the same, bidder should provide any valid documentary evidence. Verification of details of proof of manufacturing may be done wherever required.

4.10 Selection of MSE and MII Purchase preference in GeM/e-tender portal:

4.10.1 For GEM tenders:

Bidders will be eligible for MSE/MII purchase preference, only if appropriate selection is made in GEM, while submitting their offer.

In case of non-selection of MSE/ MII purchase preference in the portal, offer will not be considered for purchase preference.

4.10.2 For CPCL E-tenders:

Bidders will be eligible for purchase preference based on submission of requisite documents. However, for tenders with reverse auction, H1 elimination will be based on the option selected for purchase preference category in e-tender portal.

4.11 Price band for purchase preference:

Price band for purchase preference will be calculated based on the L1 rate before negotiation (if any). However, price matching has to be done with the L1 rate after negotiation.

4.12 Grievances

The grievances, if any, of tendering parties shall be lodged with Coordinator of Grievance Redressal Cell of CPCL, with a copy to Tender Inviting Authority. For further details visit our website www.cpcl.co.in---→Tenders---→Others.



4.13 Instructions during Material supply after Order placement:

- 4.13.1 The materials shall be sent through road carriers on door delivery basis to the delivery location as specified in NIT. The consignment shall be booked on door delivery basis either without insisting for consignee's copy of the L.R or the consignee's of the L.R shall also accompany the consignment. Any demurrage due to failure to adhere to the above will be to the account of the supplier. This condition is applicable even for cases where payment is claimed through bank.
- 4.13.2 Please instruct your transport carriers to deliver the consignment on working days i.e. Monday through Saturday between 8 am to 2 pm. All vehicles like trailers / trucks / four wheelers / three wheelers / two wheelers etc., carrying materials in bulk, in drums or in other containers shall ensure that there is no spillage enroute / at loading point / at unloading point and during handling of the materials. In case of chemicals transporter shall ensure "traffic emergency card (road) " issued by the manufacturer of the material is kept in the vehicle.
- 4.13.3 While making supplies, the following shall be strictly adhered to:
- i) The gasket at top lid of the tanker to be confirmed of its healthiness and tight shut off for avoiding transit loss / leakage.
 - ii) The drain valve shall be checked and ensure that there should not be any leak through its gland / outlet point.
 - iii) Lid flanges are properly sealed.
 - iv) Spark arrester of approved makes of CCOE, NAGPUR shall be fitted in the exhaust pipes of the vehicle.
 - v) The dispatch details to be sent to purchase officer by E-mail indicating the truck no. Lr. no., dispatch date & quantity.
 - vi) Only diesel vehicles will be allowed inside refinery premises.
- 4.13.4 The driver shall possess the original/copy of RC book/fc /insurance/driving license & road tax etc, in the lorry/tanker as ready reference for CISF verification. Necessary fire extinguisher shall also be available in the tanker/lorry. Trem card issued by the manufacturer of the material should be kept in the tanker/lorry.in the absence of the above documents, the lorry will not be permitted to enter CPCL.
- 4.13.5 In addition to the driving license, driver shall possess any one of the following for verification: if vendors / cleaners / load men accompany the drivers, they shall also possess any one of the following: Pass port / ration card (with individual photo identity) / voter identification card / pan card / photo id card by central/state govt. (which has serial no.) / nationalized bank passbook with laminated photograph / Aadhaar card / ESI pehchan card / id card issued by post office.
- 4.13.6 The following documents shall be submitted to DGM (stores) for payment:
- a. ORIGINAL INVOICE WITH COMPLETE INFORMATION INDICATING MATERIAL CODE, ITEM TEXT AND UNIT OF MEASUREMENT AS IN CPCL PURCHASE ORDER.
 - b. COPY OF CPCL WEIGHMENT CERTIFICATE (If applicable)
 - c. BTS ACKNOWLEDGEMENT
 - d. MANUFACTURER'S TEST CERTIFICATE
 - e. DATE OF MANUFACTURING FOR INDIVIDUAL ITEMS SUPPLIED (If applicable)
 - f. DATE OF EXPIRY FOR INDIVIDUAL ITEMS SUPPLIED (If applicable)



4.14 Bid Rejection Criteria:

A bid is liable for rejection in the following circumstances:

- a) Does not submit requisite EMD in line with tender condition (if EMD is applicable)
- b) No receipt of original of BG towards EMD through BG (if EMD is applicable)
- c) Does not meet pre-qualification criteria specified in tender (if PQC is applicable)
- d) Stipulates the validity period less than what is stated in the Tender Documents
- e) Stipulates his own conditions and does not agree to withdraw the deviations, rendering his bid unacceptable
- f) Does not disclose the full names and addresses of all his partners or Directors as applicable wherever called for in the tender.
- g) Does not submit bid in the prescribed format making it impossible to evaluate the bid
- h) Indulges in tampering of tender documents.
- i) Failure of bidder to submit tenders without taking cognizance of corrigendum / amendment issued.
- j) Failure of bidder to submit reply to Technical / Commercial Query (TQ/CQ) within the given dead line.
- k) Withdraws / alters / modifies the bid Suo-moto after opening the bids (technical bids in case of two bid system) within the validity period.
- l) Non-compliance to government procurement guidelines on procurement from countries sharing land border with India
- m) Not meeting Minimum local content in the bid required for participation
- n) Non declaration of holiday listing
- o) Non-compliance to any other terms and conditions as stipulated in the tender document not withstanding above.
- p) Offers submitted in sealed cover or sent through FAX/E-mail



SECTION - 5

SPECIAL PURCHASE CONDITIONS (SPC)

5.1 Order Acceptance:

- 5.1.1 Order acceptance shall be given **within 7 working days** from the date of our order as a token of acceptance. If no reply is received, it will be construed that the order is accepted in toto.
- 5.1.2 If the Bidder becomes a successful Bidder pursuant to the provisions of the Tender Document, the following Confirmation shall be automatically become enforceable:
 "Bidder agrees and acknowledges that the Employer is entering into the Contract/Agreement solely on its own behalf and not on behalf of any other person or entity. In particular, it is expressly understood & agreed that the Government of India is not a party to the Contract/Agreement and has no liabilities, obligations or rights thereunder. It is expressly understood and agreed that the Purchaser is authorized to enter into Contract/Agreement, solely on its own behalf under the applicable laws of India. Bidder expressly agrees, acknowledges and understands that the Purchaser is not an agent, representative or delegate of the Government of India. It is further understood and agreed that the Government of India is not and shall not be liable for any acts, omissions, commissions, breaches or other wrongs arising out of the Agreement. Accordingly, Bidder hereby expressly waives, releases and foregoes any and all actions or claims, including cross claims, VIP claims or counter claims against the Government of India arising out of the Agreement and covenants not to sue to Government of India as to any manner, claim, cause of action or things whatsoever arising of or under the Agreement."

5.2 Firm Price:

Unless Price Variation clause is indicated in the NIT, prices quoted by the Bidder (except applicable GST which is subjected to change), shall remain firm, fixed and valid until completion of order.

5.3 Delivery Period:

- 5.3.1 The ordered quantity shall be delivered within the delivery period stipulated in the tender document.
- 5.3.2 Delivery shall be made at delivery location as specified in NIT within Contractual Delivery Date. Date of receipt of materials at CPCL site will be considered as delivery date. Also in case delivery schedule is not adhered to, CPCL reserves the right to cancel the order wholly or partially.
- 5.3.3 The supply shall be arranged from the latest produced batch/Lot strictly as per our Specification.

5.4 Price Reduction Schedule (PRS) for delayed delivery:

- 5.4.1 In case PRS is applicable on total order value as per NIT:

If the supplier / Seller fails to supply within the agreed delivery period or any extension granted thereof in written by CPCL, CPCL will be entitled to deduct/recover the Price reduction for the delay, unless covered under Force Majeure conditions aforesaid @ ½% (half percent) of the Order Price (excluding taxes), per week of delay or part thereof, subject to a maximum of 5% (five percent) of the total order price (excluding taxes) without any controversy/dispute of any sort whatsoever.



5.4.2 In case PRS is applicable on undelivered portion as per NIT:

If the supplier / Seller fails to supply within the agreed delivery period or any extension granted thereof in written by CPCL, CPCL will be entitled to deduct/recover the Price reduction for the delay, unless covered under Force Majeure conditions aforesaid @ ½% (half percent) of the Order Price (excluding taxes) of Goods or materials not supplied and/or unfinished, per week of delay or part thereof, subject to a maximum of 5% (five percent) of the total order price (excluding taxes) of delayed portion without any controversy/dispute of any sort whatsoever.

5.5 **Testing / Packaging / P&F and Unloading Charges:**

The supplier shall carry out required test/ tests called for in our specification at Works prior to dispatch. Manufacturer's quality test certificate indicating all the parameters as per CPCL specification and test methods/procedure stipulated indicating the Batch No., Date of Mfg. Date of Expiry & Shelf life period in Days (If applicable) are to be specified and MSDS (if applicable) shall accompany with supply. **Unloading at CPCL Site is under bidder's scope / account.**

5.6 **QAP & TPI (If Applicable)**

- 5.6.1 QAP is attached with this tender. Queries, if any in QAP, shall be clarified/finalized prior to submission of offer to avoid any changes post bid submission/placement of order.
- 5.6.2 Material test certificates and third party inspection release notes in original are to be provided along with the supply of materials. The supply shall be arranged from the latest produced batch /Lot strictly as per our specification.
- 5.6.3 TPI is in Bidder's scope. Bidders to quote, manufacture, perform TPI & supply material as per specification, data sheet and technical notes.
- 5.6.4 For IBR items, TPI is not required However. Respective form shall be submitted along with supply.
- 5.6.5 For more details on QAP/TPI and IBR items, refer technical specifications.
- 5.6.6 TPI Agencies need to submit, in advance, the details of Inspector (Qualification, Experience) who will be carrying out the Inspection along with items being inspected to concerned refineries Location, before visiting the vendor site.
- 5.6.7 Once the vendor selects a particular TPI, its name is shared with CPCL. In case vendor changes the TPI, the vendor shall share the reason for change of TPI and its name with CPCL again.
- 5.6.8 In case of material dispatch delayed by more than 30 days post final inspection by TPI Agency, CPCL reserves the right to demand recertification by TPI Agency, and expenses will be borne by the vendor.

5.7 **Inspection:**

If required, inspection will be done by CPCL on receipt of material at stores. If required, random samples will be taken from each supply for testing at our Inspection / Laboratory/ R&D and our report will be final and binding for accepting / deduction of penalty for deviation if any /Rejecting.



5.8 **Third Party Inspection (TPI):**

If TPI is applicable as per NIT, TPI shall be arranged by the successful bidder and got done through by any one of the following third party inspection agencies as per list given below:

- i) APAVE TIV INDIA PVT. LTD
- ii) BUREAU VERITAS (INDIA) PVT. LTD.
- iii) CERTIFICATION ENGINEERS INTERNATIONAL LIMITED
- iv) EDLIPSE ENGINEERING GLOBAL PRIVATE LIMITED
- v) GULF LLOYDS INDUSTRIAL SERVICES (INDIA) PVT. LTD.
- vi) INTERNATIONAL CERTIFICATION SERVICES PVT. LTD
- vii) INTERTEK INDIA PVT. LTD.
- viii) IR CLASS SYSTEMS AND SOLUTIONS PRIVATE LIMITED
- ix) MEENAAR GLOBAL CONSULTANTS LLP
- x) RITES LIMITED
- xi) SGS INDIA PRIVATE LIMITED
- xii) TUV INDIA PRIVATE LIMITED
- xiii) TUV REHIENLAND (INDIA) PVT. LTD.
- xiv) TUV SUD SOUTH ASIA PVT. LIMITED
- xv) VCS QUALITY SERVICES PRIVATE LIMITED

Note: The authenticity of TPI certificate shall/may be verified by CPCL from the head office of the TPI agency other than the respective TPI issuing location/authority

5.9 **Transportation & Transit Insurance/ Freight & Insurance (F&I) Charges:**

Transportation & Insurance coverage from their works to CPCL Chennai, shall be supplier's scope. CPCL will not take up any transportation for supply and if quoted without transportation we reserve the right to reject the offer. The vehicle shall be fitted with SPARK ARRESTERS before entering CPCL, of makes approved by CCE, Nagpur (Chief Controller of Explosive, Nagpur) & posses Pollution Control Certificate (PUC). All vehicles carrying hazardous chemicals shall carry TREM Card (Transport Emergency information) to take care of untoward incidents.

5.10 **Weigh Bridge Details**

5.10.1 Manali Refinery – Invoice cell: CPCL weigh bridge (located at the invoice cell platform) size is 18 mtrs length and 3 mtrs width. Any vehicle that exceeds above dimensions cannot be weighed at CPCL. Weighbridge Gross weight capacity is 80 Tons only. Bidders to note the same and dispatch the material by suitable vehicles accordingly.

5.10.2 Desalination plant, Kattupalli:

Total measuring capacity is 40MT and gross weight should not exceed 38 Tonnes.

- a) Chemical/ material loaded truck shall directly report at desalination plant at kattupalli, ennore and weighment of the loaded truck shall be done by the personnel concerned at desalination plant (need not report at CPCL, stores, Manali.)
- b) The chemical/materials will be unloaded, if the quantity of chemicals / material meet the specification furnished by CPCL and after testing at desalination laboratory.
- c) Empty truck weighment will be done at desalination plant and weighment slip will



be issued by the personnel to the driver of the vehicle.

- d) if the weigh bridge is under maintenance, the weighment submitted by the vendor shall be accepted as a special case (on case to case basis) (or) weight measurement has to be made at CPCL, Manali weighing machine as per CPCL's request.

5.11 Weighment Tolerance: (Applicable if indicated in NIT)

The weight as recorded in CPCL's weighing Machine / Weigh Bridge is applicable and final for payment purposes. variation (CPCL's weighing machine qty – Supplier's invoice qty), up to +/- (plus / minus) 0.5% is permissible and bidder's invoiced quantity shall be acceptable for payment.

variation in excess of +(plus) 0.5%, payment will be made for Invoiced quantity and if the variation is in excess of -(minus) 0.5%, the payment will be made on the basis of actual quantity as weighed in our weigh bridge.

5.12 Quantity Tolerance:

5.12.1 For chemicals & catalysts (excluding items with unit of measurement as Each):

Supply order quantity tolerance acceptable upto 9.9%.

5.12.2 For Pipes:

In case total PO quantity of any single material code against one or more PO line items is within single random length, the supplied quantity shall be maximum single random length only.

In case total PO quantity of any single material code against one or more PO line items is more than one random length, positive quantity tolerance of maximum one random length shall be applicable on total PO quantity against that material code (and NOT on each PO line item quantity for the corresponding material code).

5.12.3 For Cables:

Tolerance for Cables shall be zero unless otherwise specified in technical specification

5.12.4 For structural steel (plates, channel, angle, beam, etc): Not permissible.

5.12.5 For items with unit of measurement as Each: Quantity tolerance is not applicable unless otherwise specifically indicated in NIT

5.13 USE OF PPEs for handling personnel during unloading of materials at CPCL site:

5.13.1 As per CPCL safety norms, personnel handling chemical should wear proper Personnel Protective Equipment (PPE) during chemical handling and unloading of chemical at CPCL site and also while handling/loading/unloading all kind of materials at CPCL site. In this regard, all the personnel entering CPCL refinery premises should wear PROPER PPEs like SAFETY HELMET, GOGGLES, APRON FOR CHEMICAL HANDLING, HAND GLOVES AND SAFETY SHOES.

5.13.2 Unloading crew personnel shall not be more than 55 years of age.



- 5.13.3 Bidder shall supply bulk material such as Pipes, structural materials, gratings, cable trays, etc in a safe manner by way of putting side supports, safety straps , etc.
- 5.13.4 Kindly advise your personnel carrying the chemical to wear PPEs for safe unloading of chemicals at CPCL site.
- 5.13.5 Material will be unloaded, only if they are equipped with necessary PPEs.

5.14 Trade Receivable e-Discounting System (TReDS):

- 5.14.1 TReDS is an online electronic institutional mechanism for facilitating the financing of trade receivables of MSEs through multiple financiers. The TReDS Platform will enable discounting of invoices/bills of exchange of MSEs Sellers / Contractors against large Corporates including Govt. Departments and PSUs, through an auction mechanism, to ensure prompt realization of trade receivables at competitive market rates.
- 5.14.2 CPCL has registered itself on TReDS Platform. You are requested to kindly on-board/ register on TReDS Platform at the earliest and confirm to us. Details of service providers and brief about TReDS is available in our website www.cpcl.co.in under "Quick links" of "Tenders" tab.

5.15 Guarantee / Warranty Period:

- 5.15.1 Warranty period shall be as defined in the NIT. Date of material receipt at CPCL site shall be considered as date of supply. Any manufacturing defect noticed during the guarantee period shall be rectified/replaced free of cost.
- 5.15.2 Bidder shall give required Guarantee / Warrantee from the date of Commissioning / Dispatch / Shelf life period, whichever is earlier.

5.16 Security Deposit (SD) / Performance Bank Guarantee (PBG) – If applicable as per NIT:

- 5.16.1 For Rate Contracts:
Successful Bidder shall furnish upfront PBG for sum equivalent to 5% of the Contract value (excluding of taxes/duties) as SD within 45 days of issuing the Rate Contract and the same shall be valid till the contract period plus call up PO delivery period plus six months. In case of SD in the form of BG, the same shall be valid for additional three months claim period. No PBG shall be taken against individual call up POs. In case SD is not furnished, prorated 5% shall be deducted from supplier's invoices and retained till the end of last call up PO's final delivery date plus six months. No interest shall be payable on the withheld amount. Additional PBG against enhanced value of Rate Contract is not required.
- 5.16.2 For bulk items (Non Rate Contracts):
Successful Bidder shall furnish a sum equivalent to 5% of the Order value (excluding of taxes/duties) as SD at the time of despatch and the same shall be valid till the final delivery date plus six months. In case of SD in the form of BG, the same shall be valid for additional three months claim period. In case SD is not furnished, prorated 5% shall be deducted from supplier's invoices and retained till the end of final delivery date plus six months. No interest shall be payable on the withheld amount. In case of increase in order value due to any amendment, SD value need not be increased.
- 5.16.3 For non-bulk items without AMC (Non- Rate Contracts):
Successful Bidder shall furnish a sum equivalent to 5% of the Order value (excluding of taxes/duties) as SD within one month from the date of placement of order and the



same shall be valid till the end of warranty/guarantee period. In case of SD in the form of BG, the same shall be valid till the end of warranty/guarantee period plus three months claim period. In case SD is not furnished, prorate of 5% shall be deducted from supplier's invoices and retained till the end of warranty/guarantee period. No interest shall be payable on the withheld amount. In case of increase in order value due to any amendment, SD value shall be proportionately increased.

5.16.4 For non-bulk items with AMC (Non- Rate Contracts):

Successful Bidder shall furnish a sum equivalent to 5% of the Order value for supply, installation & Commissioning (excluding of taxes/duties) as SD within one month from the date of placement of order and the same shall be valid till the end of AMC and its defect liability period. In case of SD in the form of BG, the same shall be valid for additional three months claim period. In case SD is not furnished, prorate of 5% shall be deducted from supplier's invoices and retained till the end of AMC and its defect liability period. No interest shall be payable on the withheld amount. In case of increase in order value due to any amendment, SD value shall be proportionately increased.

5.16.5 Supply tolerance and escalation due to price variation clause shall not be considered for PBG.

5.16.6 Modes of payment: For online transfer/ UPI transfer/e-BG, details given in Section EMD shall be applicable for SD payment as well. However, in case of BG (hard copy), the same shall be as per Section 6 Format 6.3 FORMAT FOR PERFORMANCE BANK GUARANTEE, issued/counter guaranteed by any Govt. of India nationalized /scheduled bank given in a non-judicial stamp paper valid till the end of warranty/guarantee period plus three months claim period. The Bank Guarantee would be accepted by CPCL only on confirmation of receipt of SFMS by our bankers, SBI, CAG Branch, Chennai. (Details for the same are available under EMD section)

5.16.7 SD/PBG in the form of Account Payee Demand Draft (DD), Fixed Deposit Receipt and Banker's cheque is not acceptable

5.17 Risk Purchase:

In case of failure to deliver the Items as per our specification & delivery date indicated in Purchase order/tender, the Items will be procured from any other available sources and difference in cost will be recovered from the vendor.

5.18 Repeat Order:

5.18.1 In the event of repeat order, it shall be by way of separate order only (and not as amended to original order) on the same rates, terms and conditions of the original order, restricted to 100% of the original order quantity upto a period of one year from the date of original order.

5.18.2 For rate contracts, if the total order value/Quantity is exhausted with in the Contract period CPCL will have the option to increase the order value for an additional quantity of 25% at the same Rate, Terms & Conditions. If the total value is NOT exhausted with in the Contract period, then it will be extended further with the acceptance of the supplier in case we need this material(s) and if further quantities are not required CPCL can short close the order after expiry of the Contract period.

5.19 Goods & Services Tax (GST):

5.19.1 As per Section 51 of CGST Act,2017, GST TDS is also to be deducted on payment made and credited to supplier on Taxable Goods or Service, or both, where the total



value of supply, under a contract, exceeds Two Lakhs and Fifty Thousand Rupees.

- 5.19.2 In line of the above provision under GST act, GST TDS is required to be deducted from Vendor @ 2% (CGST 1%, SGST 1% or IGST 2%).
- 5.19.3 GST amount paid by CPCL to the vendors is to be deposited by vendors and necessary returns as per the provisions of GST law is to be filed by the vendors. In case, the GST amount paid by CPCL is not reflected in GST portal due to non-payment, non-filing of returns, wrong filing of returns etc., by the vendors, CPCL reserves the right to recover the GST amount along with interest from the future bills, security deposit or other monies available with CPCL.
- 5.19.4 While making payments to the supplier, GST tax deduction at source (TDS) shall be done on the value of taxable goods, services or both as applicable, where the total value under a contract exceeds Rs.2,50,000/- (Rupees two lakhs and fifty thousand only) excluding GST amount, as per the government guidelines".
- 5.19.5 You Shall file the GST returns on time and provide supporting documents along with the Invoice without fail
- 5.19.6 Quoted prices shall be in compliance with the Section 171 of CGST Act/ SGST Act (Anti-profiteering clause)

5.20 Reimbursement of GST:

It shall be the obligation on the part of Bidder/ Vendor to discharge his liability by payment of GST to Government of India in cash OR utilization of Input Tax credit in respect of such supply of goods or services through GST Invoice under this Contract, so that CPCL can avail Input Tax Credit (ITC) on such supply. In the event that the input tax credit of the GST charged by the Bidder / Vendor is denied by the tax authorities due to delay by Bidder / Vendor / CONSULTANT / Consultant, in issue of Invoice, Debit Notes or Credit notes, filing of Return of Outward Supplies, payment of taxes or filing of any other Returns as required under GST Laws and Rules, or timely corrections, rectification or modification in the detail of Return of Outward Supplies or any other Returns, *CPCL shall be entitled to recover such amount from the Bidder / Vendor / CONSULTANT / Consultant by way of adjustment from the next invoice or from Bank Guarantee.* In addition to the amount of GST, CPCL shall also be entitled to recover interest and penalty, in case same is imposed by the tax authorities on CPCL.

5.21 Income Tax Return (ITR):

In order to ensure compliance of Sec-206A/B/206CCA of Income Tax Act 1961, vendor needs to submit the ITR acknowledgement of previous two years and declaration stating inapplicability of Sections 206A/B/206CCA while submitting the tender documents and invoice thereon. Format for declaration is attached as Section 8.8. In case the declaration is not attached (Format 8.7 of Section 8), CPCL finance will be constrained to deduct higher TDS from the bills.

5.22 Statutory Variations:

- 5.22.1 Statutory variations, if any, in the present rate of taxes and duties, up to the contractual delivery date shall be payable against documentary evidence to be furnished by the contractor. Any increase in the existing rate of taxes/duties shall be to Owner's account whereas any corresponding decrease shall be passed on to the Owner. The present rate of taxes and duties shall be furnished in the relevant forms of the Schedule of Price/Offer. It is the responsibility of the vendor to consider and indicate the correct percentage rates of taxes/duties as applicable.



5.22.2 Any increase in the existing taxes/duties imposed after the Contractual delivery date shall be to Vendor's account whereas any corresponding decrease shall be passed on to the Owner.

5.22.3 New taxes or duties, if levied after the due date of submission price bid but before the contractual date of delivery shall be reimbursed at actuals against production of documentary evidence.

5.22.4 Notwithstanding the foregoing, OWNER shall not bear any liability in respect of:

- ii) Personal taxes on the personnel deployed by the Contractor/vendor, his sub-contractor /vendor and Agent, etc.
- iii) The Corporate Taxes in respect of contractor and his Sub-contractor and other Agents, Indian or foreign based.
- iv) Any other taxes / duties / levies.

5.23 Buyback: If applicable as per NIT, following procedure shall be considered.

5.23.1 GST will apply on the value of buyback and separate invoice will be prepared by CPCL for buyback items offline outside the GeM system. Vendor should work out input credit for that GST applicable on the buy back while quoting the product/services.

5.23.2 Seller shall offer the prices in the bid by the total amount of new goods including GST- total amount of old goods quoted by the firm excluding GST. This is because GST charged by CPCL on buy-back value will be available for full ITC (input tax credit) on the hands of bidder. Therefore, for the purpose of quoting in the bid and evaluation, value as quoted by the bidder (excluding any GST on buy back) as indicated in column G below will be considered.

Sl. No.	Cost of Fresh Good (A)	%age of GST on Fresh Good as considered by seller at the time of quote (B).	GST Amount on Fresh Good (C)	Cost of Buyback item (D)	%age of GST on Buyback items (E) as fixed by CPCL in the bid	GST Amount on Buyback item (F) as applicable at the time of invoice by CPCL	Quote of the Bidder ($G=\{A+C-D\}$)
1	100	28	28	20	8	1.6	108
2	100	9	9	20	8	1.6	89
3	110	10	11	24	8	1.92	97
Seller after the award of the GeM contract, will indicate all column A to G which will not alter their quoted price indicated in Column-G							

5.23.3 Successful lowest bidder has to provide detailed cost break up of tendered items as



well as buy back items separately through email to CPCL.

- 5.23.4 The seller of new item /service provider shall deposit the cost of invoiced buy back item with GST to the CPCL for allowing seller to lift up the material from CPCL premise.
- 5.23.5 Transportation of buy back items from CPCL premises shall be arranged by the seller itself without any extra cost.
- 5.23.6 CPCL will issue invoice of buy back items to the seller at the cost of buyback to be indicated to CPCL by the seller offline after receipt of order. This in no case will modify the bid in any manner.
- 5.23.7 The seller will be entirely responsible for the safe disposal of old items without affecting the environment in any manner as per prevailing statutory rules and Act/ law of the land.
- 5.23.8 The seller may visit the site and inspect the condition of buy back item in advance before quoting for the bid.
- 5.23.9 Receipt of payment by CPCL for Old items and invoicing by CPCL will be out of GeM portal.
- 5.23.10 The successful bidder shall remove the old goods from the premise of the CPCL at the time of the supply, installation and commissioning of fresh goods. Seller will be entitled for payment only after removal of old goods from CPCL's premise and after supplying the fresh goods in terms of contract.

Note: The above buyback clause is applicable for GeM tenders. In case of e-tenders, Bidder to follow the procedure as in e-tender BOQ

5.24 Cartel Formation/ Pool Rates

- 5.24.1 In case of Cartel/ Pool Rates leading to "Appreciable Adverse Effect on Competition" (AAEC) as identified in Competition Act, 2002, as amended from time to time, CPCL reserves its rights to:
 - a. Order any quantity on any one or more bidders without assigning any reason thereof. And / or;
 - b. Consider it as a violation of the Code of Integrity and reject the bid(s) as nonresponsive in addition to other punitive actions provided in this regard.
- 5.24.2 In addition to such remedies, the Procuring Entity also reserves the right to refer the matter to the Competition Commission of India (CCI) for obtaining necessary relief. In addition, the attention of the bidders is drawn to Chapter VI of the "The Competition Act 2002", which deals with Penalties. Such actions shall be in addition to other rights and remedies available to the Procuring Entity under the contract and Law.

5.25 Land border sharing declaration:

Orders issued by the Government of India restricting procurement from bidders from certain countries that share a land border with India shall apply to this procurement.

- 5.25.1 Any bidder from a country which shares a land border with India will be eligible to bid in this tender only if the bidder is registered with the Competent Authority. Competent Authority for the purpose of this registration shall be the Registration Committee constituted by the Department for Promotion of Industry and International Trade



(DPIIT). Registration with the competent authority shall be valid at the time of submission of bid and at the time of acceptance of bids. Where applicable, bidder shall attach copy of valid registration certificate issued by the Competent Authority. Further, any bidder (including bidder from India) having specified Transfer of Technology (ToT) arrangement with an entity from a country which shares a land border with India, shall also require to be registered with the same competent authority.

5.25.2 "Bidder" (including the term 'tenderer', 'consultant' or 'service provider' in certain contexts) means any person or firm or company, including any member of a consortium or joint venture (that is an association of several persons, or firms or companies), every artificial juridical person not falling in any of the descriptions of bidders stated hereinbefore, including any agency branch or office controlled by such person, participating in a procurement process.

5.25.3 "Bidder from such Restricted Countries" means: -

- a) An entity incorporated, established, or registered in such a country; or
- b) A subsidiary of an entity incorporated, established, or registered in such a country; or
- c) An entity substantially controlled through entities incorporated, established, or registered in such a country; or
- d) An entity whose beneficial owner is situated in such a country; or
- e) An Indian (or other) agent of such an entity; or
- f) A natural person who is a citizen of such a country; or
- g) A consortium/ joint venture where any member falls under any of the above

5.25.4 The beneficial owner shall mean:

- a) In a company or Limited Liability Partnership, the beneficial owner is the natural person(s). Whether acting alone or together or through one or more juridical persons, controlling ownership interest or exercises control through other means.
Explanation-
 - i. "Controlling ownership interest" means ownership of or entitlement to more than twenty-five percent of the company's shares or capital, or profits.
 - ii. "Control" shall include the right to appoint a majority of the directors or to control the management or policy decisions including by virtue of their shareholding or management rights or shareholder agreements or voting agreements;
- b) In the case of a partnership firm, the beneficial owner is the natural person(s) who, whether acting alone or together or through one or more juridical persons, has ownership of entitlement to more than fifteen percent of capital or profits.
- c) In case of an unincorporated association or body of individuals, the beneficial owner is the natural person(s), who, whether acting alone or together or through one or more juridical person, has ownership of or entitlement to more than fifteen percent of the property or capital or profits of such association or body of individuals;
- d) Where no natural person is identified under (5.25.1) or (5.25.2) or (5.25.3) above, the beneficial owner is the relevant natural person who holds the position of senior managing official.
- e) In case of a trust, the identification of beneficial owner(s) shall include identification of the author of the trust, the trustee, the beneficiaries with fifteen percent or more interest in the trust and any other natural person exercising ultimate effective control over the trust through a chain of control or ownership.

5.25.5 An Agent is a person employed to do any act for another, or to represent another in dealings with third person.



- 5.25.6 If the bidder was validly registered at the time of acceptance/placement of order, registration shall not be a relevant consideration during contract execution
- 5.25.7 The attached land border sharing declaration (Format 8.6 under Section 8) shall be duly signed, stamped and submitted along with offer.

5.26 Conciliation:

For settlement of disputes, if any, by way of conciliation, in line with Indian Arbitration and Conciliation Act 1996, CPCL's Conciliation Rules 2018 shall be referred to. The same is available in our website www.cpcl.co.in under "Our Policies" in "Company" tab.

5.27 Arbitration:

- 5.27.1 Any dispute or difference or difference whatsoever arising between the parties and of or relating to the construction, interpretation, application, meaning, scope, operation or effect of this contract or the validity or the breach thereof, shall be settled by arbitration in accordance with the "SCOPE Forum of Arbitration Rules" framed by the Standing Conference of Public Enterprises (SCOPE) and the award made in pursuance thereof shall be final and binding on the parties.

- 5.27.2 Settlement of disputes between two PSUs or between a PSU and Govt. Department:

(In line with Office Memorandum No. 05/0003/2019-FTS-10937 dated 14.12.2022, issued by Department of Public Enterprises, Ministry of Finance, Government of India):

"In the event of any dispute or difference relating to the interpretation and application of the provisions of commercial contract(s) between Central Public Sector Enterprises (CPSEs) / Port Trusts inter se and also between CPSEs and Government Departments/Organizations (excluding disputes relating to Railways, Income Tax, Customs & Excise Departments), such dispute or difference shall be taken up by either party for its resolution through AMRCD as mentioned in DPE OM No. 05/0003/2019-FTS-10937 dated 14th December, 2022 and the decision of AMRCD on the said dispute will be binding on both the parties."

- 5.27.3 Settlement of disputes with other than PSUs and Govt. Departments:

Any dispute or differences whatsoever arising between the Parties and of or relating to the construction, interpretation, application meaning, scope, operation or effect of this Agreement or the validity or the breach thereof, shall be settled through mutual discussion. In case Parties are unable to resolve the dispute through mutual discussion, either Party may issue a notice for referring the same for arbitration in accordance with the SCOPE Forum of Arbitration Rules framed by the Standing Conference of Public Enterprises (SCOPE) and the award made in pursuance thereof shall be final and binding on the parties. Notwithstanding the amount of claim, all the disputes or differences shall be settled by a Sole Arbitrator in accordance with SCOPE Forum of Arbitration Rules. The venue of Arbitration shall be Chennai, Tamilnadu, India and the Arbitration proceedings shall be conducted and the award shall be rendered in English. The Arbitrator shall give a speaking award. The Arbitrator shall render the award within six months of the commencement of the Arbitral Proceedings which period may be enlarged by consent of both the Parties. The Cost of Arbitration Proceedings shall be borne by both the Parties equally. Interest, if awarded by Arbitrators, shall be at a rate not exceeding the cash credit rate prevailing on the date of the award. This Agreement, and the rights and obligations of the Parties, shall remain in full force and effect pending the award in any arbitration proceedings. For



the purposes of this clause, the term 'dispute' shall include a demand or difference of any kind whatsoever, arising out of this Agreement and respecting the performance thereof, whether during the Term of this Agreement including extensions, if any, or after completion, and whether before or after termination, abandonment or breach of the Agreement.

5.28 GST Credit Note for Damage / Rejection / Shortages in the items supplied:

In case of damages/shortages/rejections of the item(s) supplied, CPCL Stores Section will intimate the same to the supplier. Then the supplier shall issue GST Credit Note for the value of the corresponding damaged/shortage/rejected items found supplied. The GST credit note shall be in favour of CPCL so that GST can be adjusted accordingly. Later while making supply of replacing such damaged/shortage/rejected supply, fresh GST invoice shall be raised by the supplier as usual. Damaged / rejected materials shall be taken back by the supplier at their cost and risk. Supplier shall intimate in advance to CPCL Stores-Receipt Section, while coming for taking the damaged/rejected materials.

5.29 Clause on recovery of ITC loss in agreements / Contracts:

In respect of transactions / situations where CPCL is entitled to input tax credit (ITC) of the GST charged by the vendor in the invoices issued to CPCL, in case the GST amount paid to the vendor against any such invoice or invoices does not get reflected in GSTR-2A / GSTR-2B or any other prescribed form / return of CPCL, or any notice / demand / letter / order is issued to CPCL due to non-payment of tax, short payment of tax, non-filing of returns, wrong filing of returns or any default or mistake committed by the vendor or CPCL is unable to avail ITC for default of the vendor, then to the extent of such loss including interest or penalties, CPCL reserves the right to get indemnified by vendor or to recover such amount from future payments, security deposit or monies available with CPCL. Such recovery is towards compensating CPCL for the loss of ITC and the same will be in the nature of damages.

5.30 Order of Precedence:

In case of contradiction between Indian or other applicable Standards, General purchase conditions, Special Purchase Conditions, Specification, Drawings, Schedule of Rates, the following shall prevail in order of precedence:

- a. Purchase Order along with its attachments
- b. Notice Inviting Tender (NIT)
- c. Technical specifications
- d. Special Purchase Conditions (SPC)
- e. Instructions To Bidders (ITB)
- f. General Purchase Conditions (GPC)
- g. Any other documents listing as forming part of the tender

SECTION 6
FORMATS FOR EMD INSTRUMENTS AND PBG

6.1 FORMAT FOR EMD BANK GUARANTEE
(To be submitted strictly as per below format)

To

M/s. Chennai Petroleum Corporation Limited

Manali

Chennai – 600 068

Dear Sirs,

Messrs

_____ar
e giving tender for the work
of _____fo
r the Chennai Petroleum Corporation Limited, Manali, Chennai.

The General Tender Notice provides that the tenderer shall along with his tender pay a sum of Rs Rupees _____as Earnest Money Deposit, in the form therein mentioned. The form of payment of earnest money deposit includes guarantee executed by a scheduled bank, undertaking full responsibility to indemnify Chennai Petroleum Corporation Limited in case of default. The said

_____has approached us and at their request and in consideration of the promises, we

_____having our office at _____have agreed to give such guarantee as hereinafter mentioned.

1. We _____hereby agree with you that if default shall be made by Messrs.' _____in observing or performing any of the terms and conditions of the tender, given by them or in payment of any money payable to you under the terms of the tender, we shall, on demand, pay to you in such manner as you may direct, the said amount of Rupees _____only or such portion thereof not exceeding the said sum as you may from time to time require.
2. You will have the full liberty without reference to us and without affecting this guarantee, to postpone for any time or from time to time the exercise of any of the powers and rights conferred on you under the tender given by the said _____and to enforce or to forbear from enforcing any powers or rights or by reason of time being given to the said _____which under law relating to the sureties would but for the provision have the effect of relating us.
3. Your right to recover the said sum of Rs _____(Rupees _____) from us in manner aforesaid will not be affected or suspended by reason of fact that any dispute or disputes have been raised by the said Messrs.' _____and/or that any dispute or disputes are pending before any Officer, Tribunal or Court.
4. The guarantee herein contained shall not be determined or affected by the liquidation or winding up, dissolution or change of constitution or insolvency of the said _____but shall in all respects and for all purposes be binding and operative until payment of all moneys, due to you in respect of such liability or liabilities is made.

5. Notwithstanding anything contained herein:

a) Our liability under this bank guarantee shall not exceed
Rs. _____ (Rupees _____
_____)

b) This guarantee shall be valid upto _____ and _____

c) We are liable to pay the guaranteed amount or any part thereof under this bank
guarantee only and only if you serve upon us a written claim or demand on or
before _____

6. We have power to issue this guarantee in your favour under our Memorandum
and Articles of Association and the undersigned has full power to do the Power of
Attorney dated _____ granted to him by the Bank.

Dated at _____ day of _____

Yours faithfully,

Bank, by its Constituted Attorney

Signature of a person duly authorized
To sign on behalf of the bank

6.2 FORMAT FOR EMD INSURANCE SURETY BOND
NAME OF INSURANCE COMPANY

SURETY INSURANCE

(BID Security Bond)

NAME OF INSURANCE COMPANY

POLICY SCHEDULE

a.	Surety Insurer	
b.	Address of Surety Insurer	
c.	Policy Number	
d.	Bid Documents	
e.	Contract Currency	
f.	Contract Value	
g.	Bond Value	
h.	Principal Debtor	
i.	Creditor	CHENNAI PETROLEUM CORPORATION LIMITED
	Creditor Address	MANALI, CHENNAI – 600 068.
	Creditor Authorized Person	GENERAL MANAGER (MATERIALS & CONTRACTS)
j.	Total Premium	
	Taxes	
k.	Intermediary Name	
	Intermediary Contact No	
	Intermediary Code	

1. INSURING CLAUSE

The Surety Insurer undertakes to pay to the Creditor in the event of a Default during the Bond Period. The Surety Insurer's obligation under this Surety Bond payable on the occurrence of event of Default during the Bond Period and any consequence thereof shall at all times, be limited to the Bond Value (Rs ____ Crore (Rupees _____ only), and subject always to the terms and conditions of this Surety Bond, including the Annexures thereto..

2. CLAIMS PROCESS

1. A letter from the Creditor, under the hand of the Creditor's Authorized Person described in the Schedule, that the Principal Debtor has committed Default shall be delivered to the Surety Insurer through courier / registered mail at the Surety Insurer's address mentioned in the Schedule. The Surety Insurer will construe the delivery of such notice as the calling of the Surety Bond, and the Surety Insurer agrees that the Creditor shall be the sole judge as to whether the Principal Debtor is in Default and its decision that the Principal Debtor is in Default shall be final, conclusive and binding on the Surety Insurer.
2. The original Surety Bond shall be returned by the Creditor to the Surety Insurer.

ANNEXURE A – DEFINITIONS

The following terms as used in this Surety Bond shall have the respective meanings set forth below, wherever they may appear in the Surety Bond, the attached Schedule, and any endorsements. Where appropriate under the terms of this Surety Bond, references to the singular include references to the plural; references to the male include the female and references to any statutory enactment include subsequent changes to the same.

- 1) **"Bid Documents"** means the documents noted in the Schedule and including any and all documents in relation to the issuance of the tender by the Creditor, submissions of proposals by the Principal Debtor, subsequent acceptance of bid and includes all communications between the Principal Debtor and the Creditor till the time of execution of the Contract.
- 2) **"Bond Value"** means the amount specified in the Schedule, which is the maximum, total and cumulative liability of the Surety Insurer arising under or in relation to this Surety Bond.
- 3) **"Bond Period"** means 120 days from the bid due date, specified in the Bid Documents, and a claim period of 60 days or for such extended period as may be mutually agreed between the Creditor and the Principal Debtor with prior written approval from the Surety Insurer and shall continue to be enforceable till all amounts determined as payable under this Surety Bond have been paid.
- 4) **"Contract"** means the agreement between the Principal Debtor and the Creditor that would come to be executed following acceptance of the bid of the Principal Debtor and it fulfilling the conditions required in the Bid Documents.
- 5) **"Contract Currency"** means the currency specified in the Schedule.
- 6) **"Contract Value"** means the total value of the Contract, for which bids have been called, which is specified in the Schedule.
- 7) **"Creditor"** means the person named in the Schedule, its successors and assigns, to whom the guarantee under this Surety Bond is given.
- 8) **"Default"** means the failure of the Principal Debtor to fulfil all or any of the terms and conditions contained in the Bid Documents /bid acceptance which has the effect/consequence of the Principal Debtor in fact (i) failing to execute the Contract, so long as the terms and conditions of the Contract as provided prior to submission of the bid remains the same, and/or (ii) failing to provide the required performance/payment bonds, so long, in both cases, the failure is not on account of operation of Force Majeure, as understood in the Bid Documents and under law, including notifications by any governmental agency. A failure must be such that leads to a financial liability on the Principal Debtor to make payment under the Bid Document.
- 9) **General Agreement of Indemnity"** means the agreement of indemnity executed between the Principal Debtor and Surety Insurer wherein the Principal Debtor has agreed to indemnify the Surety Insurer against any and all losses arising under, in relation to or in connection with the Surety Bond on such terms and conditions as specified in that agreement. However, the General Agreement of Indemnity shall not pre judice or effect in any kind whatsoever to the right, interest and benefit of the Creditor.

- 10) **"Principal Debtor/Insured"** means the person named in the Schedule, who has concluded this Surety Bond with the Surety Insurer and in respect of whose default the guarantee under this Surety Bond is given.
- 11) **"Schedule"** means the policy schedule attached to and forming part of this Surety Bond .
- 12) **"Surety Bond"** (i) in relation to the rights and obligations between the Surety Insurer and the Creditor means this Bid Security Bond policy document containing the terms and conditions, the Annexures to these terms and conditions, Policy, endorsements (made to or on it from time to time, and if more than one, then the latest in time) and the applicable law, practice, customs which includes statutory provisions, regulations, notifications *et al* governing such a relationship, all of which form an integral part of the Surety Bond; (ii) in relation to the rights and obligations between the Surety Insurer and the Principal Debtor means this Bid Security Bond policy document containing the terms and conditions, the Annexures to these terms and conditions, Policy, Proposal Form, the General Agreement of Indemnity, the, endorsements (made to or on it from time to time, and if more than one, then the latest in time), any other applicable agreement between the Surety Insurer and the Principal Debtor and the applicable law, practice, customs, which includes statutory provisions, regulations, notifications *et al* governing such a relationship.
- The Surety Bond has been issued in consideration of the receipt of premium by the Surety Insurer and in compliance of 64 VB of the Insurance Act 1938.
- 13) **"Surety Insurer/Insurer/We/Our/Us/Company"** means **(Name of the Insurance Company)**

ANNEXURE B – GENERAL CONDITIONS

1. The Creditor shall have the absolute right to arrange his affairs with the Principal Debtor in any manner which the Creditor may deem fit and the Surety Insurer shall not have the right to claim his release from this Surety Bond on account of any conduct alleged to be prejudicial to the Surety Insurer.
2. **Currency:** The payment under this Surety Bond shall be made in the Contract Currency .
3. **Notices:** All notices provided for all purposes in connection with this Surety Bond shall be in writing vide any valid electronic mode of transmission (including by facsimile transmission) and given to the Principal Debtor and the Surety Insurer, as applicable, at the physical address stated in the Schedule, for the service of all notices for all purposes in connection herewith.
4. **Term:** This Surety Bond is neither negotiable nor transferable and shall expire on the completion of the Bond Period, after which no claims will be considered or will be payable by the Surety Insurer. The original Surety Bond shall be returned to the Surety Insurer after it has expired.
5. **Law:** This Surety Bond shall be governed by Indian law and is construed in accordance with Indian Law in all respects and the exclusive jurisdiction of Indian Courts in respect of any matter relating to or arising out of this Surety Bond.
6. **Sanction Clause:** The Surety Insurer shall not be deemed to provide cover and shall not be liable to pay any claim or provide any benefit hereunder to the extent that the provision of such cover, payment of such claim or provision of such benefit may be contrary to any sanction, prohibition or restriction under United Nations resolutions or the trade or economic sanctions, laws or regulations of the European Union, United Kingdom or United States of America and may expose the Surety Insurer or its reinsurer(s) to any such sanction, prohibition or restriction whether such sanction, prohibition or restriction exists at the inception of this Surety Bond or comes into existence at any time thereafter.

ANNEXURE C – GRIEVANCE REDRESSAL

Grievances: If you have a grievance about any matter relating to the Surety Bond, or the Surety Insurer's decision on any matter, or the claim, you can address your grievance as follows:

1. Our Grievance Redressal Officer

You can send your grievance in writing by post or email to the Surety Insurer's Grievance Redressal Officer at the following address:

Address including email of the insurance company

2. Consumer Affairs Department of IRDAI

- a. In case it is not resolved within 15 days or if you are unhappy with the resolution you can approach the Grievance Redressal Cell of the Consumer Affairs Department of IRDAI by calling Toll Free Number 155255 (or) 1800 4254 732 or sending an email to complaints@irdai.gov.in. You can also make use of IRDAI's online portal - Integrated Grievance Management System (IGMS) by registering your complaint at igms.irda.gov.in.
- b. You can send a letter to IRDAI with your complaint on a Complaint Registration Form available by clicking [here](#). You must fill and send the Complaint Registration Form along with any documents by post or courier to General Manager, Insurance Regulatory and Development Authority of India (IRDAI), Consumer Affairs Department- Grievance Redressal Cell, Sy.No.115/1, Financial District, Nanakramguda, Gachibowli, Hyderabad-500032.
- c. You can visit the portal <http://www.policyholder.gov.in> for more details.

3. Insurance Ombudsman

You can approach the Insurance Ombudsman, depending on the nature of your grievance and the financial implications, if any. Information about Insurance Ombudsmen, their jurisdiction and powers is available on the website of the Insurance Regulatory and Development Authority of India (IRDAI) at www.irdai.gov.in, or of the General Insurance Council at www.generalinsurancecouncil.org.in, the Consumer Education Website of the IRDAI at <http://www.policyholder.gov.in>, or from any of Our Offices.

Address and details of the Insurance Ombudsman (relevant States / Jurisdiction) to be provided by the Insurance company issuing the Surety bond.

6.3 FORMAT FOR PERFORMANCE BANK GUARANTEE

(On non-judicial paper of appropriate value- To be confirmed Through Bankers in India)

This Guarantee made this..... day of2022.....BETWEEN
.....BAN
K LIMITED, a Company incorporated in and having its branch Office at
..... and
having its Head Office at.....which
expression shall unless repugnant to the context or contrary to the meaning thereof
include its successors of the one part and Chennai Petroleum Corporation Limited, a
Company incorporated in India, and having its Registered Office at "552 Anna Salai,
Teynampet, Chennai-600018 (hereinafter called "the Owner" which expression shall
include the successors and assigns) of the other part.

WHEREAS THE Owner has placed a Contract with.....(hereinafter called "the
Contractor") vide *CONTRACT NO. AND DATE* for the supply/supply-cum-erection of
(hereinafter called "the work") at the total cost of Rs.....(Rupees
.....)

AND WHEREAS it is one of the terms of the said Contract that the Contractor shall furnish
to the Owner a Guarantee of a bank which shall be for 5% of the value of the contract
and shall be valid for the duration of supply of the work covered by the said Contract and
period of defects/liability in respect of the said work.

AND WHEREAS the Bank, at the request of the contractor, agreed to give in favour of the
owner a Guarantee in manner hereinafter appearing, which the owner has agreed to
accept.

NOW THIS DEED WITNESSETH AS follows:

1. In pursuance of the said agreement and in consideration of promises, the bank hereby guarantees to the Owner due observance and fulfillment by the contractor of the terms of the said Contract relating to the said work and of the performance warranty which is a part of the said Contract and agrees and undertakes that, if the Contractor fails to observe and fulfill the said Contract and/or the performance warranty, then the bank shall immediately pay to the Owner on demand such sum or sums of money to the extent of..... being 5% of the value of the said Contract on account of losses and damages suffered by the Owner as may be claimed by the Owner by reason of such non-observance and non-fulfillment by the Contractor as aforesaid and shall also Indemnify the Owner against all losses and damages which may be suffered by the Owner as aforesaid and against all costs, charges, expenses which may be incurred by the Owner in connection herewith. The Bank shall pay the said amount without demur or protest or without recourse to the Contractor. Any such demand placed on the Bank shall be conclusive as regards the amount due and payable by the Bank under this Guarantee.
2. This guarantee is a continuing guarantee and not revocable except with the previous written consent of the Owner and same as aforesaid it will continue in force until the Contractor has maintained the schedule of delivery of the said work under the said Contract and observed and fulfilled the said performance warranty and all other terms and conditions of the said Contract.
3. The Owner may, without affecting Bank's liabilities and obligations hereunder, grant

time or other indulgence to or compound with the Contractor or enter into any agreement or agree to forbear to enforce any of the terms and conditions of the said contract against the Contractor or agree to vary any of the terms and conditions of the said Contract.

4. This guarantee shall not be affected by any change in the constitution of the owner by absorption with any other Body or Corporation or otherwise and this Guarantee will be available to or enforceable by such Body or Corporation.
5. All compositions and payments received by the Owner from or on behalf of the Contractor shall be regarded as payments in gross and in the event of the Contractor being wound-up, the owner will be entitled to prove against the properties of the Contractor in respect of the whole of the Contractor's. Indebtedness to the Owner, without any right on the part of the Bank to stand in the Owner's place in respect of or to claim the benefits of such composition and payment of any security held by the owner until the Owner shall be received the full amount of the claims against the Contractor.
6. In order to give effect to this Guarantee the owner will be entitled to act as if the Bank were the Principal debtor and the bank hereby waives all and any of its rights of surety ship.
7. This Guarantee shall continue to be in force notwithstanding the discharge of the Contractor by operation of law and shall cease only on payment of the full amount by the bank to the Owner of the amount hereby secured and on the claim of the owner against the Contractor in respect of the said Contract being satisfied.
8. This Guarantee shall be in addition to and not in substitution for any other Guarantee or security for the contractor gave or to be given to the Owner in respect of the said contract by the bank (whether alone or jointly with others).
9. This Guarantee will be valid up to a period of _____ months from the date of contract
10. Unless demand or claim under this guarantee is made within three months from the date of expiry of this Guarantee, all the right of the Owner hereunder shall be forfeited and the Bank shall be relieved and discharged of all liabilities hereunder.
11. Any notice by way of request, demand or otherwise hereunder may be sent by Post to the Bank addressed as aforesaid and if sent by post, it shall be deemed to have been given at the time when it would be delivered in due course of Post and in proving such notice, when given by post, it shall be sufficient to prove that the envelope containing the notice was posted and Certificate signed by an Officer of the Owner that the envelope was so posted shall be conclusive.
12. These present shall be governed by and construed in accordance with Indian Law.
13. The bank hereby declares that it has the power to issue this Guarantee and under signed has full power to do so.

"IN WITNESS WHEREOF THE BANK HAS EXECUTED THESE PRESENT THE DAY AND YEAR FIRST ABOVE WRITTEN" SIGNED AND DELIVERED ON

BEHALF OF THE ABOVE NAMED.....

SECTION 7

CHENNAI PETROLEUM CORPORATION LIMITED

(A group company of IndianOil)

GENERAL PURCHASE CONDITIONS (INDIGENOUS)

1. DEFINITIONS

The following expressions used in these terms and conditions and/or in the Purchase Order shall have the meaning as detailed hereunder against each of them:

Owner : Chennai Petroleum Corporation Limited having its Registered Office at 552 Anna Salai, Teynampet, Chennai-600018 including its successors or assignees.

Order : Supply and delivery of the material in accordance with the requirements defined in Purchase Order (including all attachments and exhibits thereto) together with any subsequent modifications thereof.

Seller/Supplier : A firm or Company to whom the Order is issued and includes its successors or assignees.

Goods/Materials : Any Articles, Machinery, Equipment, Items or supplies/work specified or required to complete the Order.

Project Site : CPCL Site, Manali, Chennai-600068 (Unless otherwise specified).

2. ACCEPTANCE OF ORDER

This Order is expressly conditioned on Seller's acceptance of all the terms and conditions hereof and constitutes the entire agreement between parties hereto. With the acceptance of the order, Seller waives and considers as void all his General Sales Conditions. The Seller shall sign, stamp, and date the copies of the Purchase Order and return the copies to Owner as token of having accepted the Order without reservations within a week of the date of order.

3. MODIFICATIONS & AMENDMENTS

Owner shall have the right to modify or amend this Order subject to an adjustment in the price and/or delivery date in accordance with the applicable provision of the Order, if any, or pursuant to mutual agreement. Modification to this Order shall be binding only with the written acceptance thereof by the Seller and Owner. The Seller shall carry out such amendments to the Order and shall be bound by the same terms and conditions incorporated in the original Order.

Claims, if any, for adjustment in price/delivery date shall be made within fifteen (15) days from the date when revisions/changes are ordered. Such claims shall not prejudice the Owner's right to claim a refund of any amount advanced or paid to the seller.

4. DELAYS OR NON-DELIVERY

Time is the essence of this Order and the completion dates agreed to are binding on the Seller. Goods shall be delivered in accordance with the Order to such place(s) as is specified therein and at such time(s) as the Owner shall have notified to the Seller.

If upon receipt of the Order or at any time thereafter it is found that the Supply of goods or material called for can not be completed within the time specified in the Order, notice thereof must be given immediately by Fax/Telex/Telegram and confirmed by Registered Mail to Owner together with the best completion date that can be offered. Failure to deliver the goods or materials on or before the date specified in the Order under provisions stated in Article 5 without prejudice to any other rights Owner may have as a result thereof. In such an eventuality, Owner may make other alternate procurement arrangements as may be deemed necessary or desirable in the circumstances and any additional expenditure incurred by the Owner in connection therewith shall be reimbursed by the Seller on demand.

5. TERMINATION

Owner may, at any time, terminate any part of the work or all work remaining to be done in connection with this Order with effect from such dates as Owner may specify upon such terms and conditions as may be agreed to at the time of such termination. Owner shall have the right to buy at his option and at an agreed price from the Seller, the cancelled Goods and components and also to recover all materials supplied by Owner to seller for use on the Order.

In the event of a termination of the Order or part thereof, the seller shall forthwith carry out instruction of Owner in connection with such termination including the cancellation of sub-orders the Seller may have placed with others.

Owner and/or his authorised representatives shall have free access to the Seller's works and those of their suppliers to examine the materials and fabrication status reached at time of the Order cancellation and to agree to a reasonable price with the seller.

If cancellation of the Order whether in full or in part is caused by reasons directly attributable to the Seller, Seller shall agree to reimburse Owner, the extra cost incurred by Owner in procuring the cancelled goods from other sources.

6. ASSIGNMENT AND SUBLETTING

Except for raw materials or any part of this Order for which the makers are named in this Order the Seller shall not assign the Order or any part thereof, or any monies due hereunder or sublet this Order or any part hereof without prior written consent of Owner.

All sub orders shall bear Owner's Order Number and shall contain the following words.

"The Goods/materials being supplied against this Order are subject to inspection/expediting by CPCL and/or their assigned representatives."

The Seller agrees to furnish to Owner three unpriced copies of all sub-orders issued for raw materials and components within seven days of placement of such sub-orders.

7. FORCE MAJEURE

Shall mean and be limited to the following:

- a) Any War hostilities.
- b) Any riot or civil commotion.
- c) Any earthquake, flood, tempest, lightning or other natural physical disaster.
- d) Any strike, or lock-out (only those exceeding ten (10) continuous days in duration) affecting the performance of the seller's obligations.
- e) Any restriction imposed by the Government (Central or State) or other Statutory bodies which prevents or delays the execution of the Order by the Seller.

The Seller shall advise Owner by a registered letter duly certified by Local Chamber of Commerce or Statutory authorities the beginning and end of the above causes for delay within seven (7) days of occurrence and cessation of such Force Majeure conditions, in the event of delay lasting over one month, if arising out of causes of Force Majeure, Owner reserves the right to cancel the Order and provisions governing termination stated under Article 5 shall apply.

For delays arising out of Force Majeure, the Seller shall not claim extension in completion date for a period exceeding the period of delay attributable to the causes of Force Majeure and neither Owner nor Seller shall be liable to pay extra costs provided it is mutually established that Force Majeure condition did actually exist. Seller shall categorically specify the extent of Force Majeure conditions prevalent in his works (such as power restriction etc.) at the time of submitting the bid and whether the same have been taken into consideration or not in the quotations.

8. INSPECTION AND EXPEDITING

All inspections and tests shall be made as required by the specifications attached to or made part of this Order and or amendments issued by Owner. All goods or materials shall be subject to inspection by Owner or their authorised representatives. Such tests and/or inspections by Owner may be held in conjunction with the representatives of the Seller. Seller shall advise the Owner, in writing, as the circumstances warrant at least fifteen (15) days in advance of the date of the final tests and/or inspection.

Owner's inspector shall be the authorised inspection spokesman and all matters including the owner's requirements shall be handled with the Seller directly. Such inspection or failure to inspect on the part of Owner shall in no way relieve the Seller of any responsibility or liability with respect to such, materials nor prejudice the right of Owner to reject unsuitable material after arrival at the destination. Unless specifically stated contrary in the Order, all expenses relevant to the preparation and performance of testing, inspection and expediting and the preparation of any test reports or certificates shall be borne by the Seller except for the salaries, fees, travelling, lodging and boarding expenses of Owner's representatives. The Seller shall submit to Owner within four weeks from the date of this Order a bar-chart showing start and finish dates for various activities forming part of the execution of this order and identifying the delivery dates of this activity schedule. Seller shall update this bar-chart every month showing the actual performance of the activities and how the delivery date has been affected thereby. Copies of the updated bar-charts will also be submitted to Owner for review of the progress of the Order.

When deemed advisable by Owner the Order and Seller's sub-order shall be subject to personal expediting by Owner's representatives. Such expediting shall in no way relieve the Seller of the time or delivery obligations under the terms of the Order. At all reasonable times and places, before, during and after manufacture, the seller shall grant and provide access to Owner or their representatives to all parts of the Seller's works and its sub-Supplier's works involved in the manufacture or processing of the goods or materials.

9. GUARANTEE

All goods or materials shall be supplied strictly in accordance with the specifications, drawings, data sheets, other attachments and conditions stated in the order. No deviations from such specifications or alterations of these conditions shall be made without Owner's agreement in writing which must be obtained before any work against the order is commenced. All materials furnished by the Seller pursuant to this Order (irrespective of whether engineering, design data or other information has been furnished, reviewed or approved by Owner) are guaranteed to be of the best quality of their respective kinds (unless otherwise specifically authorised in writing by Owner) and shall free from faulty design (to the extent such design is not furnished by Owner) workmanship and materials, and to be of sufficient size and capacity and of proper materials so as to fulfill in all respects all operation conditions, if any, specified in this order.

If any troubles or defect originating with the design, material, workmanship or operating characteristics, of any materials arise at any time covering a period of twelve (12) months from the date of the first commercial operation of the Plant for which the materials supplied under this Order form a part or twenty four (24) months from the date of last shipment of goods/materials whichever period shall first expire, and the Seller is notified thereof, Seller shall, at his own expense and as promptly as possible make such alterations, repairs and replacements as may be necessary to permit the materials to function in accordance with specifications and to fulfill the foregoing guarantees.

Owner may, at his option remove such defective material, at Seller's expense in which event Seller shall, without cost to Owner and as promptly as possible furnish and install proper materials. Repaired or replaced materials shall be similarly guaranteed for a period of not less than twenty four (24) months from the date of shipment.

In the event that the materials supplied do not meet the specifications and/or are not in accordance with the drawings, data sheets or the terms of this order, and rectification is required at site, Owner shall notify the Seller giving full details of differences. The Seller shall attend the Site within seven (7) days of receipt of such notice to meet and agree with representative of Owner the action required to correct the deficiency. Should the Seller fail to attend meeting at Site within the time prescribed above, Owner shall immediately rectify the work/materials and Seller shall reimburse Owner all costs and expenses incurred in connection with such trouble or defect.

10. PATENT INDEMNITY

The Seller shall fully indemnify Owner, Vendors and users of the materials furnished hereunder, against any action, claim or demand, costs and expenses, arising from or incurred by reasons of any infringement or alleged infringement of any letters patent, Registered Design, Trade Mark or name, Copy Right or any other protected rights in respect of any material supplied or any arrangements, system of methods of using, fixing or working used by the Seller.

The Prices quoted by the Seller shall included all charges for Royalties payable in respect of the use of any letters patent, registered design, Trade Mark or name, drawing or technical information which may be involved in the performance of this order or in the construction or use of any plant, material or apparatus supplied by the Seller.

In the event of any claim or demand being made or action brought against Owner in respect of any of the aforesaid matters, the Seller shall be notified thereof, immediately and the Seller shall at its own expense with (if necessary) the assistance of Owner (whose all expenses shall be reimbursed by the Seller) conduct all negotiations for the settlement of the same and/or any litigation which may arise there-from.

11. LIABILITY AGREEMENT

Seller shall defend and hold Owner, harmless from all claims and liability for injuries to and/or death of any and all persons, and for loss of and/or damage to property caused in whole or in part by the negligence or willful acts of the Seller, arising under or by reasons of materials furnished hereunder including without limitation, the installation, erection, repair, rectification, adjustment or operation of the materials covered by this order.

In addition, Seller shall, if it elects to utilize materials, tools, equipment or facilities made available to Seller by Owner for use by the Seller and not to be incorporated in the work, as additional consideration there for, defend and hold Owner harmless from all claims and liability for injuries to, and/or death of, any and all persons and/or loss of and/or damage to property resulting from or by reasons of the Seller's utilisation thereof, whether or not caused partially or totally by the negligence of Owner's employees, contractors, sub-contractors, agents or representatives.

In any case where it is necessary for employees or representative of Seller to go upon the premises of Owner, Seller agrees to assume full responsibility for the proper conduct of such employees/representatives while on said premises and to comply with all applicable workmen's Compensation Laws, other applicable Government regulations and ordinances and all Plant Rules and regulations particularly in regard to safety precautions and fire hazards. If this Order required Seller to furnish labour at Site, Seller shall furnish to Owner a Certificate or other evidence satisfactory to Owner indicating that such labour is adequately covered by Workman's Compensation Insurance and Employer's Liability Insurance with limits acceptable to Owner.

12. FIRM PRICES

Unless otherwise specified in the Order, the Order price shall remain firm and will not be subject to escalation of any description during the pendency of the order, notwithstanding the change in the cost materials, labour and/or variations in taxes, duties and other levies on raw materials and components that may take place while the order is under execution even if the execution of the order is delayed beyond the completion date specified in the order for any reasons whatsoever.

If any details shown on the drawings are omitted from the specifications or vice-versa, the Seller shall, notwithstanding such omissions supply in accordance with such details and shall be deemed to have included the cost for such work in the Price.

13. TAXES, DUTIES, UNEMPLOYMENT BENEFITS ETC

Sales tax and local taxes, such as town duties and octroi applicable at the destination on the finished goods alone will be payable by the Owner at actuals against documentary evidence to be furnished by the Seller. All other taxes, duties, levies and imposts will be to the Seller's account.

Seller shall adjust taxes, duties, cess or levies wherever required if the owner furnishes exemption certificates even retrospectively.

Seller hereby accepts exclusive liability for, and agrees to indemnify Owner against liability for, the payment of any and all contributions or taxes for unemployment, insurance, old age pensions or annuities or other purposes prevalent under the present legislation or hereafter imposed by the Government of India and/or by any unit or sub-division or authority thereof, which are in whole or in part measured by and/or based upon the wages, salaries or other remuneration paid to persons employed by Seller on work in connection with this Order.

14. TERMS OF PAYMENT

Payment against invoice shall normally be made as follows:

90% against despatch documents through bank specified in the Order and balance 10% within 30 days of receipt of materials at Site subject to Seller furnishing a Bank Guarantee. The Bank Guarantee shall be from a Scheduled/Nationalised bank as per the Performa enclosed for an amount of 10% of the order value as security for the due performance of all the Seller's liability in terms of and/or in connection with the Order. This security will be released after the expiry of the period of performance guarantee.

Delay in receiving invoices in the number of copies specified, or errors and omissions or failure or delay in providing the documents and/or certificates required in the order, or failure to comply with the provisions of Owner's invoicing instructions shall be considered just cause for withholding payment without loss of discount privilege, and any demurrage or wharfage resulting thereby shall be negotiated and borne by seller. Seller's invoices and documents shall be strictly in the manner specified in the Order and all banks charges, if any, shall be to the Seller's account.

Any costs, damages or expenses for which the Seller is liable under this Order may be deducted from monies due or becoming due to the Seller or may be recovered by action at law or arbitration pursuant to Article-25.

15. PRICE REDUCTION SCHEDULE (PRS) FOR DELAYED DELIVERY

Unless as otherwise specified delays in completion of the Order shall be subject to PRS as under:

Should the Seller fail to complete the Order on or before the completion date specified in the Order or any extension granted thereof in writing by Owner, Owner shall have the right to recover from the Seller ½% (half percent) of the Order Price of Goods or materials not supplied and/or unfinished, per week of delay or part thereof, subject to a maximum of 5% (five percent) of the total order price. For Packages involving supply and erection, the price reduction per week shall be on the total order value and not on undelivered order value. Payment of PRS shall not relieve the Seller of its delivery obligations under the Order.

16. STATUTORY REQUIREMENT

Seller warrants that all goods and materials covered by this Order have been produced, supplied, sold, despatched, delivered and furnished in strict compliance with all applicable laws, regulations, labour agreements, working conditions and technical codes and requirements as applicable from Time to time. Seller shall execute and deliver such documents as may be required to effect or to evidence such compliance. All laws and regulations required to be incorporated in agreements of this character are hereby deemed to be incorporated by this reference. The Seller shall furnish the Industrial License Number or pertinent details to show whether it has a valid license to manufacture the subject machinery, equipment and materials ordered on it under Industries (Development & Regulations) Act 1951 or whether it is an authorised representative of a licensed manufacturer who has a valid license. Owner disowns any responsibility for any irregularity or contravention of any of the statutory regulations in the manufacture or supply of goods covered by this Order.

The Seller shall ensure compliance with the above by all its sub vendors/suppliers and shall indemnify Owner against any actions, damages, costs and expenses of any failure to comply as aforesaid.

17. TRANSIT RISK INSURANCE

Transit Risk Insurance from Despatch point onward shall be covered by the Owner against its open General Policy. The seller shall advise the despatch particulars to owner by Fax/Telex/Telegram as stipulated in relevant Packing & Marking Conditions.

18. PACKING, CRATING AND CARTAGE

The cost of all special packing, boxing, crating or cartage is included in the prices specified in the Order unless otherwise specifically agreed to in this Order.

All packing, boxing, crating and cartage shall conform to the specifications or requirements detailed in respective attachments to the Order. The Seller shall be held liable for damage or breakage to the goods due to defective or insufficient packing for protection.

19. NON-CONFORMANCE

Owner reserves the right to claim damages for use of defective or sub-standard goods supplied by the Seller irrespective of the fact whether goods were inspected by Owner or not.

20. NON-ASSIGNMENT

The Seller shall act as an independent agency and not as an agent or employee of Owner and the Seller shall not assign or sub-contract this Order, or any part thereof, or any money to become due hereunder, without the prior written consent of Owner.

Any such permitted assignment or sub-contracting shall not relieve the Seller of any of its obligations against this Order.

21. NON-WAIVER

Failure of Owner to insist upon strict performance of any of the terms and conditions incorporated in this Order, failure to/delayed exercise of any rights detailed herein or failure to properly notify the Seller in the event of breach of any obligations contained herein, shall not constitute a waiver of any obligation contained herein. Any waiver, to be effective, must be in writing.

22. SECRECY AND TECHNICAL INFORMATION

All information, design or drawings provided by Owner shall be the property of Owner and the Seller shall not use them for purposes other than for which they are provided for and Seller shall treat all these documents/information as confidential, and these shall not be reproduced in whole or in part for any other purpose.

The Seller shall treat as confidential all information (whether written or otherwise) supplied by Owner hereunder and shall use its best endeavors to ensure that such information is not divulged to any third party except where necessary for the purpose of performance of this Order by the Seller, of course, with the consent of Owner. In such cases, seller shall ensure that parties in question undertake a similar obligation of confidence. This obligation does not apply to information, which, at the time of disclosure, is in the public domain or is in the Seller's Lawful Possession without restriction on disclosure.

The Seller shall be required to sign a secrecy agreement for certain propriety items of equipment which will be specified by Owner.

23. MATERIALS FURNISHED BY OWNER

If specifically agreed to in the order Owner shall furnish to the Seller such materials/equipment (hereinafter called Owner's materials) as agreed, for incorporation into the manufacture, fabrication, testing or processing of the goods or materials.

Owner's materials shall be consigned on 'freight paid' basis to the nearest railway point to Seller's works to which Railways will accept the consignment depending upon the nature of the consignment (whether wagon load/small), Seller shall arrange to promptly collect such materials from the railways and transport to its works at Seller's own cost. Any town duty, octroi or local taxes levied by the local bodies at the Seller's end will be to the account of the Seller. Seller shall arrange to properly store and provide adequate security and protection to Owner's materials. Seller shall be solely responsible for the safe keeping of such materials and shall indemnify Owner against any loss or damage to, misuse or misappropriation whatsoever of Owner's material while in the possession of the Seller or its sub-suppliers.

The Seller shall arrange to provide at his own cost and expenses the necessary insurance cover against all risks for Owner's materials.

Seller shall, if required by Owner, furnish a Bank Guarantee equal to the total value of free issue materials and such guarantees shall remain valid till the material accounting towards satisfactory utilization and return of surplus free issue materials are completed.

The Seller shall maintain systematic records of receipt and issue of Owner's materials and shall be accountable at all times to Owner regarding the utilisation thereof.

Seller shall along with his offer submit price for keeping the surplus and scrap materials, separately on per tonne basis. For purpose of this article, scrap and surplus materials have the following definitions:

Scrap: C.S.Plates of maximum width below 225 mm and perimeter below 4000 mm or size below 500 x 500 mm and S.S.Plates of maximum width below 150 mm and perimeter below 2400 mm or size below 300 x 300 mm.

Surplus material: Plates of size higher than size mentioned above.

24. ORDER OF PRECEDENCE

In case of any difference between these conditions of order and special conditions, if any referred to or incorporated in a particular order, the latter shall prevail.

25. ARBITRATION

25.1 If at any time any question, dispute or difference whatsoever shall arise between Owner and the Seller upon or in relation to or in connection with the Order either party may forthwith give to the other notice in writing on the existence of such question dispute or difference and the same shall be referred to the adjudication of two arbitrators, one to be nominated by Owner and the other to be nominated by the Seller or in the case of the said arbitrators not agreeing then to the adjudication of an Umpire to be appointed by the Arbitrators in writing before proceeding with the reference. The award of the arbitrators or in the event of their not agreeing that of the Umpire appointed by them, shall be final and binding on the parties and the provisions of the Indian Arbitration and conciliation Act, 1996 and the Rules thereunder and any statutory modifications thereof shall be deemed to apply and be incorporated in the Order. The venue of such arbitration shall be in Chennai.

25.2 Upon every or any such reference, the costs of and incidental to the reference and answer respectively shall be in the discretion of the arbitrators or of the Umpire as the case may be who may determine the amount thereof, or direct the same to be taxed as between solicitor and client, or as between party and party, and shall direct by whom and in what manner the same shall be borne and paid.

Work under the order shall be continued by the Seller during the Arbitration proceedings, unless otherwise directed in writing by Owner or unless the matter is such that the works cannot possibly be continued until the decision of the arbitrators or the Umpire, as the case may be, is obtained and save as those which are otherwise expressly provided in the order, no payment due or payable by Owner shall be withheld on account of such arbitration proceedings unless it is the subject matter thereof.

26. GOVERNING LAW AND JURISDICTION

The respective rights, privileges, duties and obligations of the Owner and seller under this order shall be governed and determined by the laws of State of Tamil Nadu and the Republic of India, in Chennai.

27. TRANSFER OF PROPERTY

In the absence of any provision to the contrary, transfer of property in the goods shall be deemed to have taken place as follows:

- (i) F.O.R. DESPATCH POINT AND DESTINATION GOODS
On handing over the goods to the carrier against a receipt and such receipt having been received by Owner.
 - (ii) GOODS COMMISSIONED BY SELLER
On taking over by Owner for regular operation after test runs at maximum capacity for the specified period are satisfactorily performed.
 - (iii) GOODS ERECTED BY SELLER
On temporary acceptance by Owner at Job Site.
Transfer of property in the goods shall be without prejudice to any guarantee or liability of the Seller as to the quality, suitability or performance of the Goods.
28. PUBLICITY & ADVERTISING
Seller shall not without the written permission of Owner refer to Owner or any Company affiliated with Owner or to the destination or the description of the goods or services supplied to this order in any publication, Publicity or advertising media.
29. VENDOR DATA REQUIREMENT
The submission by the Seller to Owner of drawings and data documentation is an integral part of the Order. The number of copies (reproducible and prints) and time limits for submitting these documents by the Seller are specified in the order. These requirements must be respected failing which the order will not be deemed to have been duly executed for all purposes.
30. GENERAL
- 30.1 Except to the extent explicitly state, Seller shall in no event be liable to Owner for consequential or special damages in connection with the material furnished hereunder. Further, in consideration of the issuance of this Order, Seller hereby waives and releases any and all claims against Owner arising out of or in any way connected to with any action or claim made or brought against seller by owner in connection with the materials furnished hereunder.
- 30.2 Materials delivered in error, or in excess of the quantity called for may, at Owner's option be returned at Seller's expenses.

PACKING, MARKING SHIPPING AND DOCUMENTATION SPECIFICATIONS

1. GENERAL
This specification forms an integral part of the purchase order in additions to specification, drawings and instructions explicitly listed in the Purchase Order. These shall be strictly adhered to. Any loss arising out of non-compliance (unless authorised differently) shall be to Seller's account.
2. PACKING
- 2.1 Packing shall withstand hazards normally encountered with the means of transport for the goods of this Purchase Order including loading/unloading operations both by crane and by pushing off. All packaging shall be done in such a manner as to reduce volume as much as possible. All packing materials shall be new and unless otherwise specified, shall be of the packer's standard.
- 2.2 Fragile articles should be adequately packed with special packing materials depending on type of materials.
- 2.3 Chemicals in powder form, catalysts, refractories and like materials etc. shall be packed in drums.
- 2.4 The hazardous materials shall be packed in accordance with the applicable rules, regulations and tariff of all cognizant governmental authorities and other governing bodies. It shall be the responsibility of the seller of hazardous materials to designate the materials as hazardous and to identify each material by its proper commodity name and its hazardous material class code.
- 2.5 Pipes shall be packed as under:
a) Below 50 mm dia in wooden cases/crates.
b) 50 mm dia and above but below 100 mm dia in bundles.
c) 100 mm dia and above-loose.
Individual cases/bundles must contain the pipes of same size.
- 2.6 Pipes/tubes made of stainless steel, copper etc. shall be packed in wooden case irrespective of sizes.
- 2.7 All delicate surface on equipment/material should be carefully protected and painted with protective paint/compound and wrapped to prevent rusting and damage.
- 2.8 All mechanical and electrical equipment and other heavy articles should be securely fastened to the bottom of the case and shall be blocked and braced to prevent movement and damage.
- 2.9 All threaded fittings and pipes should be greased and provided with plastic caps.

- 2.10 Attachments and spare parts of equipments and all small pieces shall be packed separately in wooden cases with adequate protection inside the case and wherever possible should be sent along with the main equipment. Each item shall be tagged so as to identify it with the main equipment and part number and reference number shall be indicated.
- 2.11 All protrusions shall be suitably protected and openings shall be blocked by wooden/steel covers as may be required.
- 2.12 Wherever required equipment/materials shall be packed in polythene bags and silica gel or similar dehydrating compound shall be put inside the bags to protect them.
- 2.13 The Seller shall be held liable for all damages or breakages to the goods due to the defective or insufficient packing as well as for corrosion due to insufficient protection.
- 2.14 Detailed packing list in water proof envelope shall be inserted in each package together with equipment/material. One copy of "Detailed packing list" shall be fastened outside of the package in waterproof envelope and covered by metal cover. In case of bigger dia pipes and large equipment, documents contained in the envelope shall be fastened inside with an identifying arrow sign 'documents' applied with indelible paint.
- 2.15 Packaged equipment or materials showing damage, defects or shortages resulting from improper packaging materials or packing procedures or having concealed damages or shortages at the time of unpacking shall be subject to rejection and replacement at no additional cost to the buyer.

3. MARKING

- 3.1 Each package shall be marked on the three sides, with proper paint/indelible waterproof ink as follows:
VIA-Chennai (INDIA)
PURCHASE ORDER NO.....NET WT.....KGS.....
GR.WT.....KGS.....
DIMENSIONS.....X.....X.....CMS
PACKAGE NO.(Sl. No. Of total packages) viz. 1/25, 2/24 etc.
TAG/ITEM NO.....
COUNTRY OF ORIGIN
SELLER NAME
- 3.2 A distinctive colour splash in three stripes of green, yellow and red around each package and on corners of pipes and plates shall be given to facilitate identification.
- 3.3 Additional Marking such as "Handle with Care", "This side up", "Fragile" or any other additional indications for protection and safe handling shall be added depending on the type of materials. All cases will bear warning signs on the outside Center of Gravity and Sling Marks.
- 3.4 Letters, Figures, marks etc. used for marking shall be stencil printed. Handwriting should be avoided as far as possible. Size of letters shall be optimum for each package dimensions.
- 3.5 In case of Bundles or other packages wherever marking cannot be stenciled the same shall be embossed on metal or similar tag wired securely at minimum to convenient points.

4.0 SHIPPING

All shipping must be arranged under deck unless carriage on-deck is unavoidable, in first class direct vessels registered in countries who are members of International Development Association (World Bank). CPCL have engaged M/s. Balmer Lawrie & Co. Ltd (A Govt. of India Undertaking), India as their sea cargo consolidation agent. M/s.Balmer Lawrie have freight forwarders located in various countries in the world. Shipping arrangements on behalf of CPCL will be made by Seller through these freight forwarders. The addresses, contact person, phone no., fax no. details of the concerned freight forwarders will be furnished to the successful bidders in the Purchase Order for finalizing the shipping arrangements. Adequate notice of not less than 6 weeks about the readiness of the cargo for shipment should be given by the Seller to the authorized freight forwarder.

4.2 DESPATCH BY RAIL : (INDIAN VENDORS)

- 4.2.1 Unless otherwise specified in the purchase order, vendor SHOULD NOT despatch the materials by Rail.
- 4.2.2 The Vendor shall be responsible for:
 - A) Despatch by the shortest possible route. The Vendor shall as far as possible despatch the materials by the fastest goods train like OTS, Super Express Goods, wherever such facilities exist.
 - B) Correct classification of goods and freight charges.
 - C) Obtaining clean Railway Receipts without any qualifying remarks.
Should there be any restriction for movement by a particular route, the Railway authorities should be requested to move the goods by the next alternative route, subject to prior concurrence by CPCL.
- 4.2.3 As Smalls :

When the materials that are ready do not make up a wagon load by weight/volume for minimum freight payable for a wagon load, despatch should be effected as “Smalls”.

Vendors should obtain from the Railways, the particulars of Road Van junction, Store Van etc. in which the smalls have been loaded, station to which sealed, Train No and date/time of movement and transmit same to Chief Manager (Materials) Chennai Petroleum Corporation Ltd., Manali, Chennai-600068, for monitoring their movement.

4.2.4 As Wagon Loads :

Consignments though of lesser weight, but otherwise constituting a ‘wagon load’ by volume should be despatched as “wagaon load” or at the smalls rate whichever is advantageous as per rule 164 or IRCA goods Tariff Part 1.

When consignments call for wagon(s), indents should be placed with Railway Station concerned after pre-determining accurately the type and number of wagons required. In case of covered wagons, it should be ensured that the same are water tight. If a particular type of wagon is in short supply, request should be made to the Railway Authorities to supply the next suitable type of wagon. Suitable packing in the wagon shall be done, wherever necessary to ensure maximum safety of the material in transit.

When ODC packages are involved, the vendor shall apply to the railway authorities with loading sketches showing overall dimensions and the wagon proposed to be utilized sufficiently in advance, for obtaining movement sanction and to establish firm transportability. Copies of all such correspondence together with loading sketches should be sent to Chief Manager (Materials), CPCL, Manali, Chennai – 600068.

ODC packages shall be loaded, packed and lashed strictly in accordance with the Railway regulations. Should there be any delay/difficulty in obtaining the required wagon(s) the vendor shall inform Chief Manager (Materials) Chennai Petroleum Limited, Manali, Chennai-600068 immediately giving details of the required number of wagons, type, carrying capacity etc, and indent number so that the matter may be taken up with Railway Authorities concerned. After despatch, Vendor shall obtain form the Railway Authorities, particulars of the wagon, train number, date of movement and destination junction for the particular train and furnish the same to the Chief Manager (Materials) : CPCL , Manali, Chennai – 600068, for follow-up action on movement as may be necessary.

4.3 DESPATCH BY TRUCKS : (INDIAN VENDORS)

A) The vendor shall be responsible for despatch of materials through a reliable Bank approved transport company unless otherwise transport company is named by Owner.

B) The vendor shall ensure with transport company the delivery of materials within a reasonable transit period. Vendor shall also obtain from transporter, particulars of Lorry No., Transporter’s Challan No., Destination of lorry (if transshipment is involved), transporter’s Agent at destination if any etc. and intimate same to the Chief Manager (Materials) Chennai Petroleum Corporation Limited Manali, Chennai – 600068.

5.1 **DOCUMENTATION**

5.2 All documents shall be in English language.

5.3 Documents required before shipment:

75 days (Seventy five) before the contractual delivery date, 6 copies each of Performa packing lists and sketches of over dimensional cargo shall be air mailed to Chief Manager (Materials), CPCL, Chennai – 600068

The over dimension cargo shall mean any package exceeding any of the following limits.

Weight	40 MT
Length	13.716 Meters
Width	2.997 Meters
Height	2.743 Meters

5.4 Documents required after shipments:

The supplier shall air-mail the shipping documents stated here-in-below as quickly as possible after the shipment has been made so that the same are received at least two weeks prior to the arrival of vessel at destination port/consignment at destination.

The supplier shall be fully responsible for any delay and or demurrage that may become payable at destination port/Railway station on account of delay in transmittal of shipping documents.

Copy of documents to be sent	No. of Copies
to Owner, Chennai	
Bill of Lading/RR/GR	3
Commercial Invoice	3
Detailed Packing List	3
Freight memo (where applicable)	4
Test Certificate	4
Certificate of Origin	4
Certificate of Measurement & Weight	4
Catalogue and/or drawing	-
Final Payment Certificate	2

Note : In addition to the above, complete set of Original documents are required to be sent to **Owner through Bank** in terms of Letter of Credit/Purchase Order.

5.5 Bill of Lading/RR/GR

Bill of Lading/RR/GR shall be clean made in favour of Owner or order of the Bank (and not Order of the shipper)

5.5 Commercial Invoices

Commercial Invoices shall, interalia, indicate (i) Import License Number, (ii) Customs contract Registration reference (to be intimated later) and (iii) Country of Origin. Besides the description in the invoice shall be in conformity with the Purchase Order and in case of Chemical/hazardous cargo, flash points is indicated in documents or a separate certificate giving composition and flash point shall be sent.

5.6 Packing List

Packing List must show, apart from other particulars actual contents in each case, net and gross weights and dimensions and the total number of packages. In case of pipes and plates in bundles, number of pipes/plates in each bundle must be indicated.

6.0 SHIPPING ADVICE

6.1 In respect of shipment by sea.

Within 24 hours after shipment, the supplier shall send shipping advice by way of Telex/FAX/Cable to the Chief Manager (Materials) CPCL, Manali, Chennai – 600068, giving particulars of the shipment, Vessel's Name, Port of Shipment, Bill of Lading number and date, contents in brief, Purchase Order number, total F.O.B. and freight values, number of packages and total gross weight.

6.2 In respect of despatch by Rail/Road

Immediately after a shipment is made, vendor shall send advance information as to the particulars of materials, value, Purchase Order No./Goods Consignment No. Truck number, name of transport Company and their destination office/associate's address etc., by way of FAX/telegram or telex to the Chief Manager (Materials), CPCL, Manali, Chennai – 600068

7.0 ADDRESS

Chennai Petroleum Corporation Ltd.,
Refinery House
Manali
Chennai – 600068 (INDIA)

Phone : 25944156
Telex : 041-8455 MRL IN
041-7858 MRL IN
CABLE : MAREFIN
Telefax : 25941247

8.0 TRANSIT RISK INSURANCE

All equipment/materials shall be insured against all marine and transit risk from Port of Shipment to Owner Warehouse by Owner. However, the vendor shall ensure that in effecting shipment clean bills of lading/RR/GR are obtained and the carrier's responsibility is fully retained on the carrier so that the consignee's interests are fully safeguarded and are in no way jeopardised.



SECTION - 8

FORMATS TO BE FILLED IN BY BIDDERS

Sl. No.	Details
8.1	Bidder Information Sheet
8.2	Pre – Qualification details (If PQC is applicable as per NIT)
8.3	Compliance To Bid Requirement / Exception / Deviation Statement
8.4	Declaration Of Blacklisting / Holiday Listing
8.5	Declaration of CPCL Confidentiality Clause
8.6	Land Border Sharing Declaration
8.7	Details Of ITR Filing
8.8	Local Content Declaration
8.9	Self-Declaration format for OEM
8.10	Certificate of Authorization cum undertaking from OEM (Not applicable if tender is restricted only to Manufacturers as per NIT)

Note: Bidder to submit the respective documents with sign and stamping as token of compliance. Bidder to write your compliance / comments



8.1 - BIDDER INFORMATION SHEET

Sl.No.	Particulars	Details
1	Bidder's name	
2	CPCL/IOC Vendor code	
3	Bidder is a OEM / Stockist / Authorized Dealer / Distributor / Trader	
4	Bidder is Proprietary / Partnership / Private Ltd. / Public Ltd. Company	
5	Bidder's Name & Address (along with Email ID) for placement of PO	
6	Contact Person Name & Designation, e- Mail, Phone / Mobile No.	
7	GST No.TAN	
8	CIN No.	
9	Permanent Account No. (PAN)	
10	Bidder Status with respect to MSE	MSE / Non- MSE If MSE, attach valid Udyam Registration certificate
11	EMD payment mode (If applicable): Proof of payment shall be attached In case exempted from EMD payment, mention the category under which EMD exemption is claimed	
12	Bidder specify the Dispatch Point [Location, Dist. & State from where material will be dispatched]:	
13	Indicate applicable percentage of GST with split up (IGST or CGST/SGST) (for reference). However, bidder's quote shall be as per price format in GeM/e-tender	
14	Indicate Harmonized System Nomenclature (HSN) for the offered product	
15	Indicate Country of origin of the offered product(s)	



16	Whether in the instant tender items are covered in reverse charge rule of GST (CGST & SGST/UTGST or IGST)	
17	In case of placement of order, whether the supply of the tendered materials shall be made with Invoice prepared from the same Political state of the Bidding party with the same GSTIN (i.e.,) whether the Bidding party, PO vendor and Invoicing vendor are the same.	
17 a	If not, furnish the following details: Name & address of the Bidding party with GSTIN number of the bidding location.	
17 b	Name & address of the place of despatch of materials (Invoicing vendor) with GSTIN number of the invoicing (despatching) location.	
18	Whether bidder is liable to raise E-Invoice as per GST Act.	
18a	If yes, bidder will raise E-Invoice and confirm compliance to provision of tender in this regard.	
19	Bidder confirms that none of their personnel working in the bidder's organization is / are a relative of any Director of CPCL and the bidders shall also confirm that No Director / employee or member of CPCL / IOCL is / are a Director / Partner of the bidder's company / Organization / partnership / proprietary concern in any way	
20	Bank details for ECS payment	
	Name of the Bank, Branch Name & Address with Phone	
	Bidder's Bank Code (MIC) No. (9 Digit)	
	Bidder's Bank Account No.	
	Type of Account	Savings / current / cash credit
	NEFT Code	
	RTGS Code	
	IFSC Code	



8.2 - PRE-QUALIFICATION DETAILS

(A) Experience Criteria:

	Reference PO-1	Reference PO-2	Reference PO-3
Customer: Contact Person: Contact Number: Contact e-mail ID :			
PO Number			
PO date			
PO Value (in INR) (Excl. GST)			
Supply Value (in INR) (Excl. GST)			
PO Copy	Attached / Not Attached	Attached / Not Attached	Attached / Not Attached
Proof of supply	Attached / Not Attached	Attached / Not Attached	Attached / Not Attached
Other Documentary evidences as per tender PQC	Attached / Not Attached / Not applicable		

(B) Financial Criteria: (If applicable)

	FY (2023-24)	FY (2022-23)	FY (2022-21)
Turnover (in INR)			
Net Worth (in INR) (If applicable as in PQC)			
Documentary evidence	Attached / Not Attached		

DECLARATION:

WE CERTIFY THAT THE DETAILS AS FURNISHED BY US HAVE BEEN VERIFIED AND FOUND CORRECT. WE HAVE NOT MADE MISREPRESENTATION WITH THE VIEW TO GET THE CONTRACT IN OUR FAVOUR. IF ANY INFORMATION IS FOUND TO BE NOT CORRECT, THE CONTRACT AWARDED TO US SHALL BE LIABLE FOR CANCELLATION BY CPCL AND WE SHALL BE LIABLE TO PAY CPCL SUCH DAMAGES AS CPCL MAY BE PUT TO, DUE TO TERMINATION OF THE CONTRACT.

DATE:

AUTHORISED SIGNATORY OF BIDDER



8.3 - COMPLIANCE TO BID REQUIREMENTS DEVIATION SHEET

(To be filled, signed, sealed and submitted)

Tender No. /GeM Bid No.

Date:

We confirm that our offer complies with the tender conditions (or) the requirements of the Tender Document without any exception or deviation. Our Offer submitted is nil deviation offer.

(OR)

Bidder may stipulate exceptions and deviations to the tender document, if considered unavoidable as per the following format,

Sl. No.	Reference Clause of Tender Document	CPCL's Tender Condition	Bidder's Deviation
<u>TECHNICAL</u>			
<u>COMMERCIAL</u>			

Note:

1. All exceptions/deviations taken by the Bidder to the stipulations of the tender document shall be brought out strictly as per the above format. Any exceptions/deviations brought out elsewhere in the bid shall not be construed as valid.
2. If the above table is left blank (unfilled), it will be construed that the bidder has not taken any deviation to this tender.

"Bidder have fully read and understood the tender requirements and accepts all terms and conditions of the tender (except for the ones mentioned in the deviation statement) and the submitted offer is in conformity with all terms of tender"

(Sign and stamp of bidder)



8.4 - DECLARATION OF BLACKLISTING / HOLIDAY LISTING **(To be filled, signed, sealed and submitted)**

If this declaration is not furnished, your bid shall be treated as non-responsive and liable for rejection.

Tender No./GeM Bid No.

A. In case of a Proprietary Concern:

I hereby declare that neither I in my personal name or in the name of my Proprietary Concern M/s. _____ which is submitting the accompanying Bid / Tender nor any other concern in which I am proprietor nor any partnership firm in which I am involved as a Managing Partner have been placed on black list or holiday list declared by any Government Department / Quasi-Government / Public Sector Undertaking or its Administrative Ministry (presently the Ministry of Petroleum & Natural Gas), except as indicated below

Blacklisting/ Holiday listing details: NIL

B. In case of a Partnership Firm:

We hereby declare that neither we, M/s. _____, submitting the accompanying Bid / Tender nor any partner involved in the management of the said firm either in his individual capacity or as proprietor or managing partner of any firm or concern have or has been placed on blacklist or holiday list declared by any Government Department / Quasi-Government / Public Sector Undertaking or its Administrative Ministry (presently the Ministry of Petroleum & Natural Gas), except as indicated below

Blacklisting/ Holiday listing details: NIL

C. In case of a Company:

We hereby declare that we have not been placed on any holiday list or black list declared by any Government Department / Quasi-Government / Public Sector Undertaking or its Administrative Ministry (presently the Ministry of Petroleum & Natural Gas), except as indicated below

Blacklisting/ Holiday listing details: NIL

It is understood that if this declaration is found to be false in any particular, Chennai Petroleum Corporation Limited or its Administrative Ministry, shall have the right to reject my / our bid, and if the bid has resulted in a contract, the contract is liable to be terminated. CPCL reserves the rights to reject the bid in case the bidder is blocked/holiday listed/black listed

Place:

Signature of Bidder:

Date:

Name of Signatory:

Note: Default declaration has been kept as "NIL". The same to be replaced with "particulars of blacklisting or holiday listing and/or inquiry", if applicable.



8.5 - DECLARATION FOR CONFIDENTIALITY CLAUSE
W.r.t COMPLIANCE WITH CPCL's INSIDER TRADING CODE

Tender No. / GeM Bid No. :

During the contract / engagement with CPCL, the organization, its employees, agents, other contractors, sub- contractors and their employees, etc., may be exposed to certain unpublished price sensitive information (UPSI), that is not generally available to the public or in public domain and which upon becoming generally available is likely to materially affect the price of the securities of CPCL traded in Stock Exchanges. Such UPSI shall be held by the organization, its employees, agents, other contractors, sub-contractors and their employees etc., in strictest confidence and shall not be disclosed to any other party except on need to know basis and with the prior consent of CPCL.

It is hereby further cautioned that, the organization, its employees, agents, other contractors, sub-contractors, their employees and immediate relatives thereof, should not trade in the securities of CPCL while in possession of such UPSI or communicate such UPSI to any person except in furtherance of legitimate purposes, performance of duty or discharge of legal obligations. Any trades in securities of CPCL, while in possession of any UPSI would be presumed to have been motivated by the knowledge and awareness of the UPSI and liable for penal action under this contract / engagement as well as under SEBI (Prohibition and Insider Trading) Regulations, 2015. It is therefore advised to familiarize with the "Code for Prevention of Insider Trading in the Securities of CPCL", copy of which is hosted on the website **www.cpcl.co.in/policies**.

Accordingly, it must be ensured that any UPSI, whenever received from the CPCL,

- (a) shall be used solely for the purpose for which it is being disclosed;
- (b) shall be preserved and the secrecy of such information shall be maintained;
- (c) shall not be disclosed to any third party;
- (d) shall be kept securely and properly protected against theft, damage, loss and unauthorized access (including access by electronic means) by deploying means similar to those being used to secure their own confidential information;
- (e) To notify CPCL immediately upon becoming aware that any of the confidential information has been disclosed to or obtained by a third party.

The organization shall undertake that its employees & their immediate relatives, agents, sub-contractors and any other person associated with said contract / engagement does not violate any of the provision of the SEBI (Prohibition of Insider Trading) Regulation, 2015. Any violation shall be considered as breach of terms of contract / engagement and CPCL shall take necessary action for such breach in addition to reporting it to SEBI for taking necessary action under SEBI (Prohibition of Insider Trading) Regulations, 2015."

NOTE: The above Confidentiality Clause will also be included in the supply / contract work order.

Signature of the bidder with stamp

**8.6 - LAND BORDER SHARING PROCUREMENT RULES DECLARATION**

Tender No. / GeM Bid No.:

Compliance with the Government order on procurement from bidders from countries sharing Land border with India

"I have read the clause regarding restrictions on procurement from a bidder of a country which shares a land border with India. I certify that this vendor / bidder is not from such a country and does not have any specified Transfer of Technology (ToT) from such a country or, if from such a country or if having specified Transfer of Technology (ToT) from such a country has been registered with the Competent Authority. I hereby certify that this vendor / bidder fulfills all requirements in this regard and is eligible to be considered for procurement for GeM/e-Tender."

[Where applicable, evidence of valid registration by the Competent Authority shall be attached]

Date:

(Name of the bidder):

Signature with Seal:

Note: Bidders shall submit the above certificate duly signed and stamped as part of the Techno commercial bid failing which the offer shall not be considered. If the certificate is found to be false, this would be a ground for immediate termination of Contract and further legal action.



**8.7 - TO BE SUBMITTED ON THE LETTER HEAD OF
VENDORS/SUPPLIERS/CONTRACTORS/SCRAP PURCHASERS.**

TO WHOMSOEVER IT MAY CONCERN

Declaration for the purpose of Section 206AB & 206CCA of Income-tax Act, 1961

Name of the Vendor/Contractor/Supplier:

Address :

PAN:

SAP Vendor Code:

Financial Year (recent 2 years for which return is filed)	Type of Return	Income-tax Return Acknowledgement Number	Due date u/s 139(1) / 139 (5)	Date of filing of ITR	Aggregate of Tax Deducted at Source (TDS) and Tax Collected at Source (TCS) claimed in
FY 2021-22	Original				
	Revised				
FY 2022-23	Original				
	Revised				
FY 2023-24	Original				

I/We (Name of the person signing the declaration) hereby declare that particulars provided are true and correct.

I/We understand that based on this declaration, CPCL will not apply higher rate of TDS/TCS as per provisions of Section 206AB and 206CCA respectively. In case any of the particulars submitted appears to be false or are found to be false and the Income-tax Authorities raises any tax demand including interest and penalty on account of non-compliance of the provision of Section 206AB or 206CCA, as the case may be, we hereby undertake to keep CPCL indemnified against any such demand of tax, interest and penalty.

In case the declaration is not attached CPCL finance will be constrained to deduct higher TDS from the bills.

I/We hereby declare that I/we am/are competent to sign and submit this declaration.

For _____

Date :

Place :

[Authorized Signatory]



8.8 - LOCAL CONTENT DECLARATION
Undertaking (To be submitted on Company's Letterhead)
(Where quoted value is less than 10 Crore)

Tender Ref:

Having read and understood the Public Procurement (Preference to Make in India PPP - MII) Order, 2017 (as amended and revised till date) and related notifications from the relevant Nodal Ministry/ Department, I/We solemnly declare the following:

Details of local content and location(s) at which value addition is made are as follows:

Local Content : _ _ _ _ %

Location(s) of value addition: _ _ _ _ _
 _
 _ _ _ _ _
 _ _ _ _ _
 _ _ _ _ _
 _ _ _ _ _
 _ _ _ _ _
 _ _ _ _ _

We hereby confirm that the particulars given above are factually correct and nothing is concealed and undertake to advise any future changes to the above details. We understand that any wrong or misleading self-declaration would violate the Code of Integrity.

(Authorized signatory of supplier)

Note:

- 1.** This undertaking shall be certified by the authorized signatory of the signing the bid. Preference is applicable only for suppliers claiming minimum 50% Local Content.
- 2.** Local content shall be calculated in line with local content calculation table shown in Govt Procurement Guidelines enclosed.
- 3.** Wherever quoted value is more than 10 Crore, Local content certificate shall be supported with certificate from statutory auditor or as stipulated in PPLC amended policy.
- 4.** This declaration shall be accompanied by DMEP affidavit and DMI&SP affidavit if applicable.

**8.9 - SELF DECLARATION LETTER FORMAT FOR OEM****ORIGINAL EQUIPMENT MANUFACTURER (OEM) – MANUFACTURER’S DECLARATION FORM**

Date:

Tender No.:

Dear Sir,

We, M/s _____ (Name of the OEM) having registered office at _____ and manufacturing works at _____ are original equipment manufacturer for _____ (Name of the products), shall submit quote, supply, provide after sales support during warranty and post warranty period for the products quoted to meet the above mentioned tender requirements.

The undersigned is authorized to issue such authorization on behalf of M/s _____ (Name of the OEM).

For M/s _____ (Name of the OEM)

(To be signed by Bidder’s principal’s corporate level signatory on company letter Head)

Signature & company seal**Name****Designation****Email****Mobile No.**

**8.10 - CERTIFICATE FOR AUTHORIZATION CUM UNDERTAKING FROM OEM**

Date:

Tender No.:

Dear Sir,

We are pleased to authorize M/s. _____ (bidder) having their registered office at _____ to submit the quote on behalf of M/s. _____ (OEM) for the Tender No. _____ .

We, further confirm that in case where M/S. _____ (bidder) fail to render their service during Supply, Warranty due to some unforeseen situation, then the service support shall be provided by M/s. _____(OEM)

The undersigned is authorized to issue such authorization on behalf of M/s _____
(Name of the OEM).

For M/s _____(Name of the OEM)

(To be signed by Bidder's principal's corporate level signatory on company letter Head)

Signature & company seal

Name

Designation

Email

Mobile No.

PUBLIC PROCUREMENT POLICY FOR MICRO & SMALL ENTERPRISES- 2012

1. The purchase preference under MSE category will be available to the bidder who are registered under the same category for which tender is invited i.e. for Material Supply Tender, registration must be under the Category of 'Manufacturer' for service tender, registration must be under category of 'Services' and no price preference will be given for Works Contracts Tender. However, EMD exemption will be given irrespective of their category of registration.
2. Tender without EMD (if applicable) will be summarily rejected except the exempted category.
 - a) Exempted Categories from payment of EMD: -
 - i. Government organization & Public Sector Undertaking of the Central/State Government JV companies of IOCL.
 - ii. Micro & Small Enterprises (MSE) registered with agencies (as mentioned later in this tender in the Chapter on 'Tender Conditions for Benefits/Preference for MSEs').
3. Tender Conditions for Benefits/Preference for Micro & Small Enterprises (MSEs)
 - I. As per Public Procurement Policy for Micro & Small Enterprises (MSEs) Order, 2012 issued vide Gazette Notification dated 23.03.2012 by Ministry of Micro, Small and Medium Enterprises of Govt. of India, MSEs must be registered with any of the following in order to avail the benefits/preference available vide Public Procurement Policy MSEs Order, 2012.
 - a. District Industries Centers (DIC)
 - b. Khadi and Village Industries Commission (KVIC)
 - c. Khadi and Village Industries Board
 - d. Coir Board
 - e. National Small Industries Corporation (NSIC)
 - f. Directorate of Handicraft and Handloom
 - g. Udyog Aadhar Memorandum
 - h. Any other body specified by Ministry of MSME.
 - II. MSEs participating in the tender must submit the certificate of registration with any one of the above agencies indicating the details of the particular tendered item along with their bid.
 - III. The registration certificate issued from any one of the above agencies must be valid as on the date of opening of the tender. The successful bidder should ensure that the same is valid till the end of the contract period.
 - IV. The MSEs who have applied for registration or renewal of registration with any of the above agencies / bodies, but have not obtained the valid certificate as on close date of the tender, are not eligible for exemption/preference.
 - V. The MSEs registered with above mentioned agencies / bodies are exempted from payment of Earnest Money Deposit (EMD) irrespective of the items for which they are registered with the said agencies / bodies.
 - VI. Purchase Preference – Subject to meeting terms and conditions stated in the tender

document including but not limiting to prequalification criteria, twenty five percent of the total quantity of the tender is earmarked for MSEs registered with above mentioned agencies/bodies for the tendered item. Where the tendered quantity can be split, MSEs quoting a price within a price band of L1 + 15 percent shall be allowed to supply up to **25** percent of total tendered quantity provided they match L1 price. In case the tendered quantity cannot be split, MSE shall be allowed to supply total tendered quantity provided their quoted price is within a price band of L1 + 15 percent and they match the L1 price. In case of more than one such MSEs are in the price band of L1 + 15% and matches the L1 price, the supply may be shared proportionately

VII. Out of the **twenty five percent** target for micro and small enterprises stated above, **Four percent** shall be earmarked for procurement from micro and small enterprises owned by Scheduled Caste & Scheduled Tribe entrepreneurs and **three percent shall be earmarked for procurement from micro and small enterprises owned by women entrepreneurs**. In the event of failure of such MSEs to participate in the tender process or to meet the tender requirements or to match with L1 price, then the **five percent and three percent** sub-targets so earmarked shall be met from other MSEs.

VIII. To qualify for entitlement as SC/ST owned MSE, the SC/ST certificate issued by District Authority must be submitted by the bidder in addition to certificate of registration with any one of the agencies mentioned in paragraph (I) above. The bidder shall be responsible to furnish necessary documentary evidence for enabling CPCL to ascertain that the MSE is owned by SC/ST. MSE owned by SC/ST is defined as:

- a. In case of proprietary MSE, proprietor(s) shall be SC /ST
- b. In case of partnership MSE, The SC/ST partners shall be holding at least 51% shares in the enterprise.
- c. In case of Private Limited Companies, at least 51% share shall be held by SC/ST promoters.

IX. To qualify for entitlement as women owned MSE, the certificate issued by District Authority must be submitted by the bidder in addition to certificate of registration with any one of the agencies mentioned in paragraph (I) above. The bidder shall be responsible to furnish necessary documentary evidence for enabling CPCL to ascertain that the MSE is owned by women. MSE owned by women is defined as:

- a. In case of proprietary MSE, proprietor(s) shall be women
- b. In case of partnership MSE, The women partner(s) shall be holding at least 51% shares in the enterprise.
- c. In case of Private Limited Companies, at least 51% share shall be held by women promoter(s).

X. **MSEs must register with UDYOG Aadhaar.** A copy of Udyog Aadhar Registration copy may be submitted along with the offer.

XI. MSEs who are availing benefits of the PP Policy, must also get themselves registered with MSME Data Bank, being operated by NSIC, under SME division, M/o MSME, in order to create proper data base of MSEs which are making supplies to CPSUs.

Subject: Policy to provide Purchase preference (linked with local content) (PP – LC) in all Public Sector Undertakings under Ministry of Petroleum and Natural Gas- Amended

1 Preamble

- 1.1 In tune with Make in India (MII) campaign in oil and gas sector, the Government has decided to incentivise the growth in local content in goods and services while implementing oil and gas projects in India, and
- 1.2 Whereas the Public procurement policy rests upon the core principles of competitiveness, adhering to sound procurement practices and execution of orders for supply of goods or services in accordance with a system which is fair, equitable, transparent, competitive and cost effective, and
- 1.3 Whereas, the local content can be increased through partnerships, cooperation with local companies, establishing production units in India or Joint Ventures (JV) with Indian suppliers, increasing the participation of local employees in services and training them etc.
- 1.4 Whereas incentivising enhanced local content in the procurement of goods and/or services in oil and gas business activities would lead to increased local industry content;
- 1.5 Therefore, the Ministry of Petroleum and Natural Gas (MoPNG) has decided to stipulate the following policy for providing Purchase Preference to the manufacturers/ service providers having the capability of meeting/ exceeding the local content targets in oil and gas business activities;
- 1.6 This policy considers the Local Content (LC) as the added value brought to India through the activities of the oil and gas industry. This may be measured (by project, affiliate, and/or country aggregate) and undertaken through Workforce development and investments in supplier development through developing and procuring supplies and services locally.

2 Definitions

- 2.1 **Oil and Gas Business Activity** shall comprise of Upstream, Midstream and Downstream business activities.

- 2.2 **Domestic products** shall be goods and/or service (including design and engineering), produced by companies, investing and producing in India.
- 2.3 **Local Content** hereinafter abbreviated to LC means the amount of value added in India which shall, unless otherwise prescribed by the Nodal Ministry, be the total value of the item procured (excluding net domestic indirect taxes) minus the value of imported content in the item (including all customs duties) as a proportion of the total value, in percent.
- 2.4 **Domestic Manufacturer** shall be business entity or individual having business activity established under Indian law and producing products domestically.
- 2.5 **Supplier** of goods and/or provider of service shall be a business entity having capability of providing goods and/or service in accordance with the business line and qualification thereof and classified as under:
- 'Class-I local supplier' means a supplier or service provider, whose goods, services or works offered for procurement, has local content equal to or more than 50% as defined under this Policy.
- 'Class-II local supplier' means a supplier or service provider, whose goods, services or works offered for procurement, has local content more than 20% but less than 50%, as defined under this Policy.
- 'Non-local supplier' means a supplier or service provider, whose goods, services or works offered for procurement, has local content less than or equal to 20%, as defined under this Policy.
- 2.6 **Steering Committee** means the committee to be constituted by MoPNG to provide effective guidance and to oversee the implementation of the Policy on a regular and continuing basis.
- 2.7 **Verification** shall be an activity to verify the accomplishment of LC by domestic manufacturers and/or suppliers of goods and/or providers of service with the data obtained or collected from respective business activities.
- 2.8 **Purchase preference:** Where the quoted price is within the margin of purchase preference of the lowest price, other things being equal, purchase preference may be granted to the bidder concerned, at the lowest valid price bid.

- 2.9 **Local Content (LC)** in Goods shall be the use of raw materials, design and engineering towards manufacturing, fabrication and finishing of work carried out within the country.
- 2.10 **Local Content (LC)** in Services shall be the use of services up to the final delivery by utilizing manpower (including specialist), working appliance (including software) and supporting facilities carried out within in the country.
- 2.11 **Local Content (LC)** in EPC contracts shall be the use of materials, design and engineering comprising of manufacturing, fabrication, assembly and finishing as well as the use of services by utilizing manpower (including specialist), working appliance (including software) and supporting facility up to the final delivery, carried out within the country.
- 2.12 **Factory overhead cost** shall be indirect costs of manpower, machine/working appliance/facility and the whole other fabrication costs needed to produce a unit of product with the cost not chargeable directly to specified product.
- 2.13 **Company overhead cost** shall be costs related to the marketing, administration and general affairs cost of the company.
- 2.14 **Indian Company** means a company formed and registered under the Companies Act, 2013.
- 2.15 **Foreign company** means any company or body corporate incorporated outside India which— (a) has a place of business in India whether by itself or through an agent, physically or through electronic mode; and (b) conducts any business activity in India in any other manner.

3. **Scope**

- 3.1 The regulation shall be intended to:
- 3.1.1 Support and boost the growth of domestic manufacturing sector so as to be able to support oil and natural gas business activities and contribute added value to economy, absorb manpower as well as have national, regional and international competitiveness;

- 3.1.2 Support and boost the growth of innovation/technology of domestic manufacturing sector.
- 3.2 This policy shall apply to all the Public Sector Undertakings and their wholly owned subsidiaries under the Ministry of Petroleum and Natural Gas; Joint Ventures that have 51% or more equity by one or more Public Sector Undertakings under the Ministry of Petroleum and Natural Gas; attached and subordinate offices of MoPNG.
- 3.3 This policy shall not include goods/ services falling under Micro Small and Medium Enterprises (MSME) or Domestically Manufactured Electronic Products (DMEP), as those products/ services are already covered under specific policy. However, an option would be given in the tender for the bidder to declare preference for seeking benefit under PP-LC/MSME or DMEP.
- 3.4 The policy is not applicable for HP-HT operations for the time being. The Charter Hiring of offshore vessels shall continue to be governed by DG, Shipping Guidelines. Indian Flag Vessels shall be considered as having 100% LC.
- 3.5 The prescribed local content in the Policy shall be applicable on the date of Notice inviting Tender.

4. Procurement

- 4.1 The procuring companies shall follow their own procurement procedures. Aggregation of annual requirements and such other procurement practices, which facilitate the implementation of this policy, may be adopted by procuring companies.
- 4.2 In respect of Global Tender Enquiry (GTE) the guidelines as issued by Government of India from time to time shall be applicable on the procuring entities.
- 4.3 **Margin of Purchase preference:** The margin of purchase preference shall be 20%.
- 4.4 (a) In respect of all goods, services or works in respect of which the Nodal Ministry/ Department under DPIIT's Public Procurement (Preference to Make in India) Order, 2017 has communicated that there is sufficient local capacity and local competition, only Class-I local supplier shall be eligible to bid irrespective of purchase value.

- 4.4 (b) For all other local tenders, Class-I local supplier and Class-II local supplier shall be eligible to bid irrespective of purchase value, but preference to be given as per PP-LC to the Class-I local supplier.
- 4.4 (c) Only Class-I local supplier and Class-II local supplier, as defined under the Order, shall be eligible to bid in procurements undertaken by procuring entities, except when Global tender enquiry has been issued. In global tender enquiries, Non-local suppliers shall also be eligible to bid along with Class-I local suppliers and Class-II local suppliers.
- 4.4 (d) Class-II local supplier will not get purchase preference in any procurement, undertaken by procuring entities.
- 4.5 In National Competitive Bid procurements of all items not covered by para 4.4 (a) and where the estimated value to be procured i.e. total value of enquiry/ tender, is less than Rs. 1 Crore shall be exempt from this Policy. In case of International Competitive Bids, the policy shall be applicable irrespective of the tender estimate. However, it shall be ensured by procuring entities that procurement is not split for the purpose of avoiding the provisions of this Policy.
- 4.6 The producers of goods and/or providers of services shall be obliged to fulfil the requirements of quality and delivery time in accordance with the provisions of the respective contracts of goods and services.
- 4.7 If the Ministry is satisfied that Indian suppliers of an item are not allowed to participate and/or compete in procurement by any foreign government, it may, if it deems appropriate, restrict or exclude bidders from that country from eligibility for procurement of that item and/or other items relating to the Ministry.
- 4.8 For the purpose of para 4.7 above, a supplier or bidder shall be considered to be from a country if (i) the entity is incorporated in that country, or (ii) a majority of its shareholding or effective control of the entity is exercised from that country, or (iii) more than 50% of the value of the item being supplied has been added in that country. Indian suppliers shall mean those entities which meet any of these tests with respect to India.

5. Purchase Preference- Linked with Local Content (LC)

- 5.1 In procurement of all items not covered by para 4.4 (a), the following provisions may be considered for LC linked Purchase Preference:

- 5.1.1 The manufacturers/ service providers having the capability of meeting/ exceeding the local content targets shall be eligible for purchase preference under the policy, i.e. LC manufacturers/ LC service providers respectively as described below.
- 5.1.2 Wherever the goods/ services are procured under this policy, eligible (techno-commercially qualified) Class I Local supplier may be granted a purchase preference where the quoted price is within the margin of purchase preference of the lowest price, other things being equal, purchase preference may be granted to the eligible (techno-commercially qualified) Class I Local supplier concerned, at the lowest valid price bid.
- 5.1.3 **Goods:** The tender for procuring goods would specify that the contract for 50% of the procured quantity would be awarded to the lowest techno-commercially qualified Class I Local supplier, subject to matching with L1, if such bidders are available. The remaining will be awarded to L1.
- 5.1.3.1 However, if L1 bidder happens to be a Class I Local supplier, the entire procurement value shall be awarded to such bidder;
- 5.1.3.2 If in the opinion of the procuring company, the tenders (procured quantity) cannot be divided in the prescribed ratio of 50:50, then they shall have the right to award contract to the eligible Class I Local supplier for quantity not less than 50%, as may be divisible.
- 5.1.3.3 In continuation to 5.1.3.2 above, if the tendered item is non divisible, (to be included in the tender document by procuring company) the contract can be awarded to the eligible Class I Local supplier for the entire quantity.
- 5.1.4 **Services/ EPC Contracts:** The tender for oil and gas services/ EPC contracts shall not normally be split. For such procurement the tender would specify that the entire contract would be awarded to the lowest techno-commercially qualified Class I Local supplier, subject to matching with L1, if such bidders are available. However, tender for certain oil & gas services can normally be split, in such cases, splitting shall be allowed and specified in tender document. Such services shall follow the procedure outlined for goods as described in para 5.1.3. The procuring company should clearly specify in the tender document whether the tender shall be split or not.

- 5.1.5 For para 5.1.3 and 5.1.4 above, only those LC manufacturers/ service providers whose bids are within the margin of purchase preference would be allowed an opportunity to match L1 bid.
- 5.1.6 The tender conditions would ensure that local content in oil & gas products is encouraged. However, the procuring company may incorporate such stipulations as may be considered necessary to satisfy themselves of the production capability and product quality of the manufacturer.
- 5.1.7 The procedure for award under the policy is at **Enclosure-I**.

6. Determination of LC

6.1 LC of goods

- 6.1.1 LC of goods shall be computed on the basis of the cost of domestic components in goods, compared to the whole cost of product.
- 6.1.2 The criteria for determination of the local content cost in the goods shall be as follows:
- a) in the case of direct component (material), based on country of origin;
 - b) in the case of manpower, based on INR component.
- 6.1.3 The calculation of LC of the combination of several kinds of goods shall be based on the ratio of the sum of the multiplication of LC of each of the goods with the acquisition price of each goods to the acquisition price of the combination of goods.

6.2 LC of service

- 6.2.1 LC of Service shall be calculated on the basis of the ratio of service cost of domestic component in service to the total cost of service.
- 6.2.2 The total cost of service shall be constituted of the cost spent for rendering of service, covering:
- a) cost of component (material) which is used;
 - b) manpower and consultant cost; cost of working equipment/ facility; and
 - c) general service cost.

6.2.3 The criteria for determination of cost of local content in the service shall be as follows:

- a) in the case of material being used to help the provision of service, based on country of origin;
- b) in the case of manpower and consultant based on INR component of the services contract;
- c) in the case of working equipment/facility, based on country of origin; and
- d) in the case of general service cost, based on the criteria as mentioned in clauses a, b, and c above.
- e) Indian flag vessels in operation as on date.

6.3 LC of the EPC Contracts:

6.3.1 LC of EPC contracts shall be the ratio of the whole cost of domestic components in the combination of goods and services to the whole combined cost of goods and services.

6.3.2 The whole combined cost of goods and services shall be the cost spent to produce the combination of goods and services, which is incurred on work site. LC of the combination of goods and services shall be counted in every activity of the combination work of goods and services.

6.3.3 The spent cost as mentioned in paragraph 6.3.2 shall include production cost in the calculation of LC of goods as mentioned in clause 6.1.1 and service cost in the calculation of LC of services as mentioned in clause 6.2.2.

6.4 Calculation of LC and Reporting

LC shall be calculated on the basis of verifiable data. In the case of data used in the calculation of LC being not verifiable, the value of LC of the said component shall be treated as nil.

7 Certification and Verification

7.1 Class I/Class II Local suppliers are eligible to bid only if they meet the local content norms, therefore whether or not they want to avail PP-LC benefit, it will still be mandatory for them to give adequate documentation as follows to establish their status as class-I or class-II local supplier:

7.1.2 At bidding stage:

- a) Price Break-up:
 - The bidder shall provide the percentage of local content in the bid.

b)

- The bidder shall submit an undertaking from the authorised signatory of bidder having the power of Attorney alongwith the bid stating the bidder meets the mandatory minimum LC requirement and such undertaking shall become a part of the contract.
- In cases of procurement for a value in excess of Rs 10 crores, the undertaking submitted by the bidder shall be supported by a certificate from the statutory auditor or cost auditor of the company (in case of companies) or from a practicing cost accountant or practising chartered accountant (in respect of other than companies) giving the percentage of local content.
- However, in case of foreign bidder, certificate from the statutory auditor or cost auditor of their own office or subsidiary in India giving the percentage of local content is also acceptable. In case office or subsidiary in India does not exist or Indian office/ subsidiary is not required to appoint statutory auditor or cost auditor, certificate from practising cost accountant or practising chartered accountant giving the percentage of local content is also acceptable.

7.1.3 After Contract Award:

- The bidder shall submit an undertaking from the authorised signatory of bidder having the power of Attorney alongwith the bid stating the bidder meets the mandatory minimum LC requirement and such undertaking shall become a part of the contract.
- In cases of procurement for a value in excess of Rs 10 crores, the undertaking submitted by the bidder shall be supported by a certificate from the statutory auditor or cost auditor of the company (in case of companies) or from a practicing cost accountant or practising chartered accountant (in respect of other than companies) giving the percentage of local content.
- However, in case of foreign bidder, certificate from the statutory auditor or cost auditor of their own office or subsidiary in India giving the percentage of local content is also acceptable. In case office or subsidiary in India does not exist or Indian office/ subsidiary is not required to appoint statutory auditor or cost auditor, certificate from practising cost accountant or practising chartered accountant giving the percentage of local content is also acceptable.

- 7.2 Each supplier shall provide the necessary local-content documentation to the statutory auditor, which shall review and determine that local content requirements have been met, and issue a local content certificate to that effect on behalf of procuring company, stating the percentage of local content in the good or service measured. The Auditor shall keep all necessary information obtained from suppliers for measurement of Local Content confidential.
- 7.3 The Local Content certificate shall be submitted along with each invoice raised. However, the % of local content may vary with each invoice while maintaining the overall % of local content for the total work/purchase of the pro-rata local content requirement. In case, it is not satisfied cumulatively in the invoices raised up to that stage, the supplier shall indicate how the local content requirement would be met in the subsequent stages.
- 7.4 As regards cases where currency quoted by the bidder is other than Indian Rupee, exchange rate prevailing on the date of notice inviting tender (NIT) shall be considered for the calculation of Local Content.
- 7.5 The Procuring Company shall also have the authority to audit as well as witness production processes to certify the achievement of the requisite local content.

8 Governance and Supervision

- 8.1 A Steering Committee will be constituted by MoPNG to provide effective guidance and to oversee the effective implementation of the Policy including review and amendments required therein. The Steering Committee may consider representations on target Local Content in goods, services and EPC and modify the policy accordingly.
- 8.2 The Steering Committee shall annually conduct a review of the policy implementation which shall specifically cover the issue of whether there has been adequate competition, and whether the policy has resulted in any reduction in competition/ exclusion of non-local bidders or any cost increase to the purchasing PSU, particularly in respect of services & works contracts.

9 Sanctions

- 9.1 The Procuring companies shall impose sanction on manufacturers/ service providers not fulfilling LC of goods/ services in accordance with the value mentioned in certificate of LC.

- 9.2 The sanctions may be in the form of written warning, financial penalty and blacklisting.
- 9.3 In the event that a manufacturer or supplier of goods and/or provider of services does not fulfil his obligation after the expiration of the period specified in such warning, the procuring company can initiate action for blacklisting such manufacturer/supplier/service provider.
- 9.4 A manufacturer and/or supplier of goods and/or provider of services who has been awarded the contract after availing Purchase Preference is found to have violated the LC provision, in the execution of the procurement contract of goods and/or services shall be subject to financial penalty specified in clause 9.4.1.
- 9.4.1 The financial penalty shall be over and above the PBG value prescribed in the contract and shall not be more than an amount equal to 10% of the Contract Price.
10. **Clarification on Goods/ Services:** Any issue regarding the coverage of a particular good/ service under the proposed policy would be referred to the Steering Committee for clarification.
11. **Powers to grant exemption and to reduce minimum local content:** Wherever proper justification exists, Ministry of Petroleum and Natural Gas may by written order, for reasons to be recorded in writing,
a) Reduce the minimum local content below the prescribed level; or
b) Reduce the margin of purchase preference below 20%; or
c) Exempt any particular item or supplying entities from the operation of this Order or any part of the Order.
12. **Time Period:** The Policy shall be applicable for 5 years. Except for 2017-18, the Policy shall not be continued unless, the Steering Committee by September 30th of each year, concludes a review as per para 8.2 of the Policy and recommends continuation of the Purchase Preference.

PROCEDURE FOR AWARD OF CONTRACTS

Procedure for award of contracts under this policy shall be as follows:

1.1. In procurement of all items which are divisible in nature, the 'Class I local supplier' shall get purchase preference over 'Class II local supplier' as well as 'Non Local Supplier' as per following procedure:

- i. Among all qualified bids, the lowest bid will be termed as L1. If L1 is 'Class I local supplier', the contract for full quantity will be awarded to L1.
- ii. If L1 bid is not a 'Class I local supplier', 50% of the order quantity shall be awarded to L1. Thereafter, lowest bidder among the 'Class I Local supplier' will be invited to match the L1 price for the remaining 50% quantity subject to the Class I local supplier's quoted price falling within the margin of purchase preference, and contract for that quantity shall be awarded to such 'Class I local supplier' subject to matching the L1 price. In case such lowest eligible 'Class I local supplier' fails to match the L1 price or accepts less than the offered quantity, the next higher 'Class I local supplier' within the margin of purchase preference shall be invited to match the L1 price for remaining quantity and so on, and contract shall be awarded accordingly. In case some quantity is still left uncovered on Class I local suppliers, then such balance quantity may also be ordered on the L1 bidder.

1.2. In the procurement of all items which are not divisible in nature, and in procurement of services where the bid is evaluated on price alone, the 'Class-I local supplier' shall get purchase preference over 'Class-II local supplier' as well as 'Non-local supplier', as per following procedure:

- i. Among all qualified bids, the lowest bid will be termed as L1. If L1 is 'Class-I local supplier', the contract will be awarded to L1.
- ii. If L1 is not 'Class-I local supplier', the lowest bidder among the 'Class-I local supplier', will be invited to match the L1 price subject to Class-I local supplier's quoted price falling within the margin of purchase preference, and the contract shall be awarded to such 'Class-I local supplier' subject to matching the L1 price.
- iii. In case such lowest eligible 'Class-I local supplier' fails to match the L1 price, the 'Class-I local supplier' with the next higher bid within the margin of purchase preference shall be invited to match the L1 price and so on and contract shall be awarded accordingly. In case none of the 'Class-I local supplier' within the margin of purchase preference matches the L1 price, the contract may be awarded to the L1 bidder.

CALCULATION OF LOCAL CONTENT – GOODS

Manufacturer Calculation of Manufacturer Cost per one unit of product				
Cost Component	Cost (domestic Component) (a)	Cost (Imported Component) (b)	Cost Total C= a+b	(% Domestic Component) d=a/c
i) Direct Material Cost				
ii) Direct Labour Cost				
iii) Factory Overhead				
iv) Transportation & Insurance				
v) Total Production Cost				

Note: **% LC Goods= $\frac{\text{Total Cost (v c)} - \text{Total imported component cost}}{\text{Total Cost (v c)}} \times 100$**

% LC Goods = $\frac{\text{Total domestic component cost (v a)}}{\text{Total Cost (v c)}} \times 100$

No.F.1/4/2021-PPD
Government of India
Ministry of Finance
Department of Expenditure
Public Procurement Division

264-C, North Block, New Delhi.
18.05.2023.

OFFICE MEMORANDUM

Subject: Concurrent application of Public Procurement Policy for Micro and Small Enterprises Order, 2012 and Public Procurement (Preference to Make in India) Order, 2017.

The undersigned is directed to refer two Preferential Procurement Orders mandated for the Public Procurement in India, namely:

- i. Public Procurement Policy for Micro and Small Enterprises (MSEs) Order dated 23.03.2012 (PPP-MSE Order) issued by Ministry of Micro, Small and Medium Enterprises (MoMSME) in exercise of the powers conferred in Section 11 of the MSME Development Act, 2006. (Last revised on 09.11.2018)
 - ii. Public Procurement (Preference to Make in India) Order, 2017 (PPP-MII order), under Rule 153(iii) of the General Financial Rules (GFRs) 2017, approved by the Cabinet. Implementation of this PPP-MII order is monitored by Department for Promotion of Industry and Internal Trade (DPIIT). (Last revised on 16.09.2020.)
2. It has been brought to the notice of this Department that concurrent application of these two orders are creating confusion to the procuring entities and different procuring entities interpret them differently. In order to bring predictability both to the procuring entities as well as bidders, following guidelines are being issued.

Guidelines

3. The Class-I local suppliers, under PPP-MII Order, participating in any government tender, may or may not be MSEs, as defined under the MSME Act. Similarly, MSEs participating in any government tender, may or may not be Class-I local suppliers. Suppliers may be categorised in following four broad categories for consideration or applicability of purchase preference:

Category	Terminology
Supplier is both MSE & Class-I local supplier.	"MSE Class-I local supplier"
Supplier is MSE but not Class-I local supplier.	"MSE but non-Class-I local supplier"
Supplier is not MSE but is Class-I local supplier.	"Non-MSE but Class-I local supplier"
Supplier is neither MSE nor Class-I local.	"Non-MSE non-Class-I local supplier"

4. The applicability of PPP-MSE Order and PPP-MII Order in various scenarios, involving simultaneous purchase preference to MSEs and Class-I local suppliers under PPP-MSE Order and PPP-MII Order respectively, shall be as under:

a) *Items covered under Para 3(a) of PPP- MII Order, 2017 for which Nodal Ministry has notified sufficient local capacity and competition:* For these items, only Class-I local suppliers are eligible to bid irrespective of purchase value. Hence, Class-II local suppliers or Non-local suppliers, including MSEs which are Class-II local suppliers/ Non-local suppliers, are not eligible to bid. Possible scenarios can be as under:

- (i) L-1 is "MSE Class-I local supplier" - 100% of the tendered quantity is to be awarded to L-1.
- (ii) L-1 is "Non-MSE but Class-I local supplier" - Purchase preference is given to MSEs as per PPP-MSE Order. Balance quantity is to be awarded to the L-1 bidder.

b) *Items reserved exclusively for procurement from MSEs as per PPP-MSE Order:* These items are reserved exclusively for purchase from MSEs. Hence, non-MSEs are not eligible to bid for these items. Possible scenarios can be as under:

- (i) L-1 is "MSE Class-I local supplier" - 100% of the tendered quantity is to be awarded to L-1.
- (ii) L-1 is "MSE non-Class-I local supplier" - Purchase preference is to be given to Class-I local supplier as per PPP-MII Order. Balance quantity, is to be awarded to L-1 bidder.

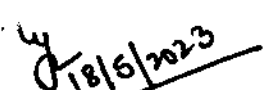
c) *If items are neither notified for sufficient local capacity nor reserved for MSEs, then the process will be as follows:*

c (a) Items covered under Para 3A(b) of PPP-MII Order are divisible items and both MSEs as well as Class-I local suppliers are eligible for purchase preference. Possible scenarios can be as under:

- (i) L-1 is "MSE Class-I local supplier" - 100% of the tendered quantity is to be awarded to L-1.
- (ii) L-1 is "Non-MSE but Class-I local supplier" - Purchase preference is to be given to MSEs, if eligible, as per PPP-MSE Order. Balance quantity is to be awarded to L-1 bidder.
- (iii) L-1 is "MSE but non-Class-I local supplier" - Purchase preference is to be given to Class-I local suppliers, if eligible, as per PPP-MII Order. Balance quantity is to be awarded to L-1 bidder.
- (iv) L-1 is "Non-MSE non-Class-I local supplier" - Purchase preference is to be given to MSEs as per PPP-MSE Order. Thereafter, purchase preference is to be given to Class-I local suppliers for "50% of the tendered quantity minus quantity allotted to MSEs

above" as per PPP- MII Order. For the balance quantity, contract is to be awarded to L-1 bidder. (Kindly refer to the illustrative example in the annexure).

- c (b) Items covered under Para 3A(c) of PPP-MII Order, 2017 are non-divisible items and both MSEs as well as Class-I local suppliers are eligible for purchase preference. Possible scenarios can be as under:
- (i) L-1 is "MSE Class-I local supplier" - Contract is awarded to L-1.
 - (ii) L-1 is not "MSE Class-I local supplier" but the "MSE Class-I local supplier" falls within 15% margin of purchase preference - Purchase preference is to be given to lowest quoting "MSE Class-I local supplier". If lowest quoting "MSE Class-I local supplier" does not accept the L-1 rates, the next higher "MSE Class-I local supplier" falling within 15% margin of purchase preference is to be given purchase preference and so on.
 - (iii) If conditions mentioned in sub paras (i) and (ii) above are not met i.e. L-1 is neither "MSE Class-I local supplier" nor "MSE Class-I local supplier" is eligible to take benefit of purchase preference, the contract is to be awarded/ purchase preference to be given in different possible scenarios as under:
 - A. L1 is "MSE but non-Class-I local supplier" or "Non-MSE but Class-I local supplier" – Contract is awarded to L1.
 - B. L1 is "Non-MSE non-Class-I local supplier" - First purchase preference to be given to MSE as per PPP-MSE Order. If MSE not eligible/ does not accept - purchase preference to be given to Class- I Local supplier as per PPP-MII Order. If Class-I Local supplier also not eligible/ does not accept – contract to be awarded to L-1.
- d) *Items reserved for both MSEs and Class-I local suppliers:* These items are reserved exclusively for purchase from MSEs as well as Class-I local suppliers. Hence, only "MSE Class-I local supplier" are eligible to bid for these items. Non-MSEs/Class-II local suppliers/ Non-local suppliers cannot bid for these items. Hence the question of purchase preference does not arise.
- e) Non-local suppliers, including MSEs falling in the category of Non-local suppliers, shall be eligible to bid only against Global Tender Enquiry.


(Kanwalpreet)
Director

Tel.: -223093811; email: - kanwal.irss@gov.in

To

1. Secretaries of all Central Government Ministries/ Departments.
2. Secretary Department of Public Enterprises with a request for issuing suitable instructions to all Central Public Sector Enterprises in this regard.

Example explaining applicability in scenario explained in para 4 c (a)(iv)

(Scenario: Divisible items, both MSEs as well as Class-I local suppliers eligible for purchase preference and L-1 is "Non-MSE non-Class-I local supplier")

Item – Desktop computer

Qty – 50 Nos.

Details of bids received

Sr. No.	Name of bidder	Rates quoted	Price Ranking	Status of bidder
1.	A	100	L1	"Non-MSE non- Class-I local supplier"
2.	B	110	L2	"Non-MSE but Class-I local supplier"
3.	C	112	L3	"MSE but non- Class-I local supplier"
4.	D	115	L4	"Non-MSE but Class-I local supplier"
5.	E	118	L5	"MSE but non- Class-I local supplier"
6.	F	120	L6	"MSE Class-I local supplier"

1. In this case, first purchase preference is to be given to MSEs as per PPP-MSE Order for 25% of tendered quantity of 50 Nos. i.e. 12.5 Nos. (rounded off to the next whole number say 13 Nos). Accordingly, invite L3 (bidder C), whose quoted rates falls within 15% margin of purchase preference to match L1 price i.e. Rs. 100/- for quantity of 13 Nos. Bidder "E" and "F", although MSEs, will not get purchase preference since their quoted rates don't fall within 15% margin of purchase preference. Bidder C will be considered for order of 13 Nos. on confirmation of reduction of price.
2. For 50% of balance quantity of 37 number (tendered quantity of 50 – 13 awarded to bidder C; assuming bidder C has confirmed to accept L1 rates), purchase preference will be given to lowest Class-I local supplier as per PPP-MII Order. Accordingly, bidder B will be invited to match L-1 price for 50% of 37 Nos i.e. 18.5 (say 19 Nos of computers). If bidder "B" does not accept the L1 price i.e. price of Rs. 100/- per unit, next higher Class-I local supplier falling within 20% margin of purchase preference, i.e. bidder "D", may be invited to match L-1 price for 19 Nos. of computers and so on.
3. For remaining quantity i.e. 18 Nos (50-13-19), the contract will be awarded to lowest quoting bidder i.e. Bidder "A", who is L-1 in the example.

File No: 33(7)/2015-IPHW
Ministry of Communications and Information Technology
Department of Electronics and Information Technology

Dated: November 16, 2015

**GUIDELINES FOR PROVIDING PREFERENCE TO DOMESTICALLY
MANUFACTURED ELECTRONIC PRODUCTS IN GOVERNMENT
PROCUREMENT**

Reference: Policy Notification No.33(3)/2013-IPHW dated 23.12.2013

1. Background

1.1 The Government has notified the Policy for providing preference to domestically manufactured electronic products in Government procurement vide Notification No. 33(3)/2013-IPHW dated 23.12.2013 (hereinafter called the Policy), in supersession of the Policy Notification No. 8(78)/2010-IPHW dated 10.2.2012. Clause 8 of the said Policy states that detailed guidelines shall be issued for operationalizing the policy which would, *inter-alia*, provide for modalities of self-certification by the vendor and the procuring agencies.

1.2 As per Clause 2.1.1, the Policy is applicable to all Ministries/Departments (except Ministry of Defence) and their agencies for electronic products purchased for Governmental purposes and not with a view to commercial resale or with a view to use in the production of goods for commercial sale. As per Clause 2.2 of the policy, a two-tiered governance mechanism has been established to oversee the implementation of the policy. In Tier 1, there shall be a National Planning and Monitoring Council for Electronics Products (NPMC-EP) and in Tier 2, Line Ministries/ Departments will notify electronic products together with the necessary compliance requirements for electronic products being procured for Government use, based on the approval of NPMC-EP. In furtherance of the Policy notified through the reference cited above, the following guidelines are issued for procurement of notified electronic products by Government.

2. Definitions

(i) “Bill of Material”: Bill of Material (BOM), for the purposes of the Policy will be sum of costs of all inputs which go into the product (including duties and taxes levied on procurement of inputs except those for which credit / set-off can be taken) including parts, sub-parts, components, assemblies, manufacturing costs including cost of design and development/ assembling / testing/ sourcing/ power/ finance/ logistics/ insurance done in-house, and/or by external Electronic Manufacturing Service provider, royalties and licensee fee for IPR, and/or in-house R&D costs incurred/amortized to create IPR resident in India, embedded and other software integral to the device. Packing material, brochures and user manuals which are integral to the device shall also be considered as part of BOM. The “profit after tax” and warranty cost of the manufacturer is not part of the BOM. Similarly, Sales and Marketing expenses including distribution charges, dealer commission, Branding and promotion are also not part of the BOM.

(ii) “Ex-factory price” is the price declared by the manufacturer of the electronic product. All duties and taxes levied on the electronic product shall not be part of ex-factory price.

(iii) “Bill of Material sourced from domestic manufacturers”: BOM sourced from domestic manufacturers would be the sum of the costs of all inputs which go into the product (including duties and taxes levied on procurement of inputs except those for which credit / set-off can be taken) and which have not been imported. An imported material or service including royalty, IPR/technical fees, which is sold by a domestic trader or intermediary, shall not be considered as a domestically sourced BOM.

(iv) “Department of Electronics and Information Technology”: Department of Electronics and Information Technology (DeitY) means the Department of Electronics and Information Technology, formerly called Department of Information Technology (DIT), Ministry of Communications and Information Technology, Government of India.

(v) “Department of Telecommunications”: Department of Telecommunications (DOT) means the Department of Telecommunications, Ministry of Communications and Information Technology, Government of India.

(vi) “Domestically Manufactured Electronic Products (DMEPs)”: Domestically Manufactured Electronic Products are those electronic products which are manufactured by entities that are registered and established in India, including in Special Economic Zones (SEZs), and engaged in manufacture of such electronic products in India and would include OEM and their Contract Manufacturers, but not traders. In addition, such products shall meet the criteria of domestic value-addition as laid down in the Policy, for being classified as DMEP.

(vii) “Domestic Manufacturer”: Domestic Manufacturer is a manufacturer of domestically manufactured electronic products (DMEPs).

(viii) “Generic Products”: Generic Products in the context of this Policy are common electronic products which are extensively used across all sectors of economy and notified as such by DeitY or DOT.

(ix) “Government”: Government for the purpose of the Policy means Government of India.

(x) “Government agencies”: Government agencies are Constitutional bodies, Government PSUs, Societies, Trusts and Statutory bodies set up by the Government.

(xi) “Inputs to an electronic product” include parts, sub-parts, components, assemblies, manufacturing costs including cost of design and development/ assembling/ testing/ sourcing/ power /finance /logistics/ insurance done in-house, and/or by external Electronic Manufacturing Service provider, royalties and licensee fee for IPR, and/or in-house R&D costs incurred/amortized to create IPR, embedded and other software integral to the specific product.

(xii) “Notification”: Notification is an order issued under the Policy and Guidelines issued there under which specifies the preference to be provided to DMEP.

(xiii) “Policy”: The policy notified by DeitY vide Reference No.33(3)/2013-IPHW dated 23.12.2013.

(xiv) “Profit after Tax” would mean the net profit earned by the company after deducting all expenses like interest, depreciation and income tax.

(xv) “Verticals”: Verticals in the context of electronic products are the entire line of products used in various segments of Electronic Hardware sector, and *inter-alia* include Telecom; Mobile and hand held devices; Broadcasting; IT and Office Automation; Consumer electronics and Mass communication products; Automotive electronics; Industrial electronics; Electronic Test, Measuring and Analytical Instruments; LED products; Smart cards; Radio-frequency identification (RFID); Avionics; Strategic Electronics including Defense, Space and Atomic Energy; Medical electronics; Solar photovoltaics; power electronics. Segments are broad categorization of electronic products and verticals are more specific products / line of products under that segment. For example, in the Consumer electronics segment, products such as Televisions, Radios, DVD players, Music systems, etc. constitute the verticals.

(xvi) “Year 1”: Year 1 in the context of this Policy means Financial Year (FY) in which the relevant notification providing for preference for a given electronic product comes into effect. The FY will be the year beginning on the 1st April and ending on the 31st March of the succeeding year. However, if a product is notified on or after 1st September of a year, the year ‘1’ would extend to 31st March of the succeeding FY.

3. Notifying electronic products procured by Government

3.1 Each Ministry/Department shall identify the electronic products, under various verticals of electronic sector, which that Ministry/Department procures for Governmental purposes and not with a view to commercial resale or with a view to use in the production of goods for commercial sale.

3.1.1 The following guidelines may be used for identifying and notifying the electronic products under each vertical, under the Policy:

a. The objective of the Policy is to eventually notify all electronic products which are procured by Government and Government agencies for Governmental purposes and not with a view to commercial resale or with a view to use in the production of products for commercial sale. Electronic products that are used as sub-systems in a larger system/project procured by Government or Government Agency shall also be covered by the Policy. A “sub-system” is a part of a larger system/project. For example, control system of a power plant may constitute such a sub-system. The policy shall also be applicable to situations where the DMEPs notified under the policy are procured as part of the sub-system. In such cases the preference to DMEPs would be applicable only for the value of notified DMEPs forming part of the sub-system/ project and not on the value of whole sub-system/project.

b. An analysis of the domestic manufacturing base needs to precede the identification of an electronic product for notification under the Policy. Only those electronic products, in respect of which at least one domestic manufacturer exists, shall be notified. Consultation with industry, as necessary, may be carried out.

c. The configuration/ specifications representative of the entire range of a product should be categorized in a single notification after taking into account the functionality/ features/ product complexity. For example, there may be a separate notification for Desktop PCs, Servers and Tablets, but all Desktop PCs, with different configurations, may be clubbed under a single notification.

d. Since identification of all electronic products cannot be taken up simultaneously, the products having high value of procurement in Government and Government agencies may be identified for notification on priority.

e. Ministries/ Departments shall publish their prospective annual demand for Government procurement of electronic products over the next 5 years, with the objective of encouraging development/ investment in manufacturing of such products. Such projections should be based on well considered and approved plans. To the extent possible, the Ministries/ Departments should also include an analysis of their

total procurement to identify the electronic products having high value of procurement vs. the entire portfolio.

3.2 Each Ministry/Department shall notify those electronic products for which preference will be provided in procurement to the DMEP as per the Policy.

3.2.1 Each such “Notification” will specify the date from which the said preference will come into effect.

3.3 While notifying electronic products under clause 3.2.1 above, the Ministry/Department shall

- a. state the technical specifications, as necessary, to describe the electronic products;
- b. specify, percentage of total procurement in value terms, for which preference is provided to DMEP, in terms of clause 2.1.2 of the Policy;
- c. specify product wise, as well as year-wise, the quantum of domestic value-addition which qualifies the electronic product to be DMEP, in terms of clause 2.3 of the Policy;

Provided that the domestic value-addition so prescribed shall not be below the threshold prescribed under the Policy.

Provided further that the value addition required for inputs of the product to be classified as domestically manufactured Bill of Material may also be specified.

Provided further that, “Year 1” as mentioned in Table of the Policy under clause 2.3, shall be reckoned from the date from which the relevant notification providing for preference for a given electronic product comes into effect.

3.3.1 The percentage of total procurement value for which preference to DMEP is to be provided under clause 3.3 (b) may be based on following guidelines:

- a. The minimum percentage of domestic procurement for any electronic product notified is 30%.
- b. The percentage of total procurement value for which preference is provided to DMEP should be so fixed that competition is maximized while at the same time domestic manufacturing is encouraged.
- c. The decision should be taken after an analysis of the domestic manufacturing base including the available production capacities with the indigenous manufacturers (including contract manufacturers) and their numbers as well as that of their suppliers of inputs, which should *inter-alia*, meet the value addition norms proposed to be notified.
- d. This would also depend on the availability of multiple domestic manufacturing units with sufficient capacities, so that the requirement of Government Ministries/Departments and Government agencies can be fulfilled without compromising on timelines and quality. The after-sales service support network of domestic manufacturer/s also needs to be factored in. However, if there is only one domestic manufacturer, the percentage of procurement for which preference to DMEP is provided should normally be 30%.
- e. The percentage of procurement, especially for items being procured in small numbers, with generally high value, may be decided upon practical feasibilities.

3.4 The Department of Electronics and Information Technology (DeitY) would notify generic products, an indicative list of which is at **Annexure 1**.

3.5 The Department of Telecommunications (DOT) would notify generic products relating to Telecom and Networks, an indicative list of which is at **Annexure 2**.

Provided that Ministry of Railways may specify products relating to telecom and networks for use in the Railways.

3.6 The provisions of Clause 3 are applicable to all Ministries/ Departments and agencies under their control but shall not be applicable to Ministry of Defence.

3.7 No notification under the Policy shall have retrospective effect.

4. Prescribing Value-addition of electronic products

4.1 A technical committee may be constituted by the concerned Ministry/ Department to make recommendations on the domestic value addition. The following guidelines may be kept in view:

4.1.1 Identify main inputs for the product to be notified and ascertain the percentage of contribution of each input to the Bill of Material (BOM). The granularity at which the inputs need to be identified (i.e. the number of inputs) should not be large and should be based on industry practices.

4.1.2 DeitY would separately publish from time to time, the inputs that commonly go into electronic products and value addition therein that would be accepted for such input to be classified as domestic BOM.

4.2 Ascertain status of domestic manufacturing of each of the inputs identified in clause 4.1.1 above. Wherever, the input is already included in the list published by DeitY referred to in clause 4.1.2, the norms in value addition specified therein would be adopted. For all other inputs the Committee may ascertain and prescribe what would entitle the input to be classified as domestic. The effort should be to progressively increase the domestic value-addition of each of the inputs to the electronic product.

4.3 The value-addition norm should be so calibrated that it reflects the average/slightly above average manufacturing capability of the domestic industry for that electronic product at a point of time. This should be suitably increased as per the Policy or faster, depending on the depth in manufacturing achieved for the electronic product.

5. Tender procedure for procurement by Government and Government Agencies

5.1 The procuring agencies, whether Government Ministries/Departments or other government agencies, shall follow standard procurement procedures, in accordance with instructions of Ministry of Finance and CVC, while providing preference to DMEP.

5.2 The tender document for procuring notified electronic products should explicitly specify the modalities through which the preference for DMEP shall be operated. The details, apart from usual tender conditions, should specify the following:

- a. The electronic products for which preference will be provided to bidders of DMEP.
- b. Total quantity of procurement and the quantity of procurement for which the preference will be provided to bidders of DMEP.
- c. Percentage of domestic value addition which qualifies the electronic product to be classified as domestically manufactured.
- d. The procedure for certification and assessment of the percentage of domestic value-addition in an electronic product.
- e. The preference to DMEP shall be subject to meeting technical specifications and matching the L1 price.
- f. The procedure for awarding the contract to bidder of DMEP and the treatment of the quantity earmarked for the bidders of DMEP if no bidder of DMEP is available, in accordance with the clause 4.2.2 of the policy.

5.3 For each electronic product proposed to be procured, among all technically qualified bids, the lowest quoted price will be termed as L1 and the rest of the bids shall be ranked in ascending order of price quoted, as L2, L3, L4 and so on. If L1 bid

is from the bidder of DMEP, the said bidder will be awarded full value of the order. If L1 bid is not from the bidder of DMEP, the value of the order awarded to L1 bidder will be the balance of procurement value after reserving specified percentage of the total value of the order for the eligible bidder of DMEP. Thereafter, the lowest bidder among the bidders of DMEP, whether L2, L3, L4 or higher, will be invited to match the L1 bid in order to secure the procurement value of the order earmarked for the DMEP. In case first eligible bidder of DMEP fails to match L1 bid, the bidder of DMEP with next higher bid will be invited to match L1 bid and so on. However, the procuring agency may choose to divide the order amongst more than one successful bidder as long as all such bidders match L1 and the criteria for allocating the tender quantity amongst a number of successful bidders is clearly articulated in the tender document itself. In case all eligible bidders of DMEP fail to match the L1 bid, the actual bidder holding L1 bid will secure the order for full procurement value. Only those bidders of DMEP whose bids are within 20% of the L1 bid would be allowed an opportunity to match the L1 bid.

5.4 The tender conditions would ensure that domestically manufactured electronic products are encouraged and are not subjected to restrictive product specifications or mandatory requirement of prior experience. The procuring agency may also rationally identify and evaluate predatory pricing by any bidder. However, procuring Ministry/ Department or Agency may incorporate such stipulations as may be considered necessary to satisfy themselves of the security, production capability and product quality of the domestic manufacturer.

5.5 The policy for providing preference to domestically manufactured electronic products shall also be applicable to the DMEPs covered in turnkey/ system-integration projects, which have been notified under the policy. In such cases the preference to DMEPs would be applicable only for the value of notified DMEPs forming part of the turnkey/ system-integration projects and not on the value of whole project. It shall be mandatory on the part of the bidders in the tender to quote separately for the notified DMEPs forming part of the turnkey/ system-integration projects.

5.6 Directorate General of Supplies and Disposals (DGS&D) and National Informatics Centre Services Inc. (NICSI) shall ensure compliance to the Policy / Notifications issued thereunder in their procurements / rate contracts in respect of the DMEPs.

5.7 The bidders who are sole selling agents / authorized distributors / authorized dealers / authorized supply houses of the domestic manufacturers of electronic products are eligible to bid on behalf of the domestic manufacturers under the policy. However, this shall be subject to the following conditions:

- a. The bidder shall furnish the authorization certificate by the domestic manufacturer for selling domestically manufactured electronic products.
- b. The bidder shall furnish the Affidavit of self-certification issued by the domestic manufacturer to the procuring agency declaring that the electronic product is domestically manufactured in terms of the domestic value addition prescribed.
- c. It shall be the responsibility of the bidder to furnish other requisite documents required to be issued by the domestic manufacturer to the procuring agency as per the policy.

6. Value addition

6.1 Bill of Material sourced from domestic manufacturers (Dom-BOM) may be calculated based on one of the following depending on data available. Each of these calculations should provide consistent result.

- a. Sum of the costs of all inputs which go into the product (including duties and taxes levied on procurement of inputs except those for which credit / set-off can be taken) and which have not been imported directly or through a domestic trader or an intermediary.
- b. Ex-Factory Price of product minus profit after tax minus sum of imported Bill of Material used (directly or indirectly) as inputs in producing the product (including

duties and taxes levied on procurement of inputs except those for which credit / set-off can be taken) minus warranty costs.

c. Market price minus post-production freight, insurance and other handling costs minus profit after tax minus warranty costs minus sum of Imported Bill of Material used as inputs in producing the product (including duties and taxes levied on procurement of inputs except those for which credit / set-off can be taken) minus sales and marketing expenses.

6.2 Total Bill of Material (Total-BOM) may be calculated based on one of the following depending on data available. Each of these calculations should provide consistent result.

a. sum of the costs of all inputs which go into the product (including duties and taxes levied on procurement of inputs except those for which credit / set-off can be taken).

b. Ex-Factory Price of product minus profit after tax, minus warranty costs.

c. Market price minus post-production freight, insurance and other handling costs minus profit after tax, minus warranty costs minus sales and marketing expenses.

6.3 The percentage of domestic value-addition may be calculated based on information furnished as per the following formula:

$$\text{Percentage of domestic value-addition} = \frac{\text{Dom-BOM} \times 100}{\text{Total-BOM}}$$

It is recommended that each agency assessing should calculate the domestic value-addition using at least two of the above formulae so as to validate the assessments in this regard and ensure that the domestic value addition that is claimed is consistent.

6.4 The Department of Electronics and Information Technology shall constitute one or more Industry Committees which may advise the Department regarding the

profit, freight, insurance and handling charges or typical globally accepted value addition norms for each product/ verticals or any other specific references made to it.

7. Self-Certification

7.1 Each domestic manufacturer shall furnish the Affidavit of self-certification to the procuring agency declaring that the electronic product is domestically manufactured in terms of the domestic value addition prescribed. The bidders who are sole selling agents / authorized distributors / authorized dealers / authorized supply houses of the domestic manufacturers of electronic products are eligible to bid on behalf of domestic manufacturers under the policy. The bidder shall furnish the Affidavit of self-certification issued by the domestic manufacturer to the procuring agency declaring that the electronic product is domestically manufactured in terms of the domestic value addition prescribed. The Affidavit of self-certification shall be furnished in **Form 1** attached to these guidelines.

7.2 It shall be the responsibility of the domestic manufacturer to ensure that the products so claimed are DMEP in terms of the domestic value addition prescribed for the product. The domestic manufacturer shall also be required to provide a value-addition certificate on half-yearly basis (Sep 30 and Mar 31), duly certified by the Statutory Auditors of the domestic manufacturer, that the claims of value-addition made for the product during the preceding 6 months are in accordance with the Policy. Such certificate shall be filed within 60 days of commencement of each half year, to the concerned Ministry / Department.

7.3.1 The procuring agency shall accept the Affidavit of self-certification regarding domestic value addition in an electronic product submitted by a bidder. It shall not normally be the responsibility of procuring agency to verify the correctness of the claim. The responsibility to show the correctness of the same shall be that of the bidder when asked to do so.

7.3.2 In case a complaint is received by the procuring agency or the concerned Ministry / Department against the claim of a bidder regarding domestic value addition in an electronic product, the same shall be referred to STQC/ Telecommunications

Engineering Centre (TEC) (for telecom products) or any other third party testing laboratories or technical auditors accredited by the Department of Electronics and Information Technology / Department of Telecommunications for the purpose.

7.3.3 Any complaint referred to STQC/ TEC (for telecom products) or any other accredited third party testing laboratories or technical auditors shall be disposed of within 4 weeks. The bidder shall be required to furnish the necessary documentation in support of the domestic value addition claimed in an electronic product to STQC/ TEC (for telecom products) or any other accredited third party testing laboratories or technical auditors within 2 weeks. The STQC/ TEC (for telecom products) or any other accredited third party testing laboratories or technical auditors may within another two weeks give its finding. If no information is furnished by the bidder, such laboratories may take further necessary action, to establish the bonafides of the claim.

7.4 The cost of assessing the extent of domestic value addition shall be borne by procuring agency if the domestic value addition is found to be correct as per the certificate. However, if it is found that the domestic value addition as claimed is incorrect, the cost of assessment will be payable by the domestic manufacturer who has furnished an incorrect certificate. The manner of enforcing the same shall be defined in the tender document.

7.5 There would be a complaint fee of Rs.2 Lakh or 1% of the value of the DMEP being procured (subject to a maximum of Rs. 5 Lakh), whichever is higher, to be paid by Demand Draft to be deposited with STQC/TEC of DOT, as the case may be, or any other third party testing laboratories or technical auditors accredited by the DeitY/ DOT along with the complaint by the complainant. In case, the complaint is found to be incorrect, the complaint fee shall be forfeited. In case, the complaint is upheld and found to be substantially correct, deposited fee of the complainant would be refunded without any interest.

7.6 Each Ministry / Department will publish a list of such entities of testing laboratories and agencies from among those accredited by DeitY / DOT, which may be entrusted with the responsibility of assessing domestic value addition of DMEPs, in terms of clause 7.3.2 and 7.3.3 above and to whom reference would be made along

with the timeframe for completion of this activity by those institutions and the charges to be paid to them.

8. Compliance

8.1 Every Ministry/ Department shall monitor the implementation of the policy.

8.2 With respect to preference to DMEP in government procurement each Ministry/ Department shall ensure that

- a. electronic products are notified under Clause 3 of these guidelines
- b. concerned Government Ministries/ Departments and Government agencies provide preference to DMEP as notified.
- c. preference to DMEP is provided at L1 price and without compromise in technical specifications.
- d. restrictive tender conditions are not specified, as per clause 5.4.
- e. aggregation of demand, wherever feasible, is being done.
- f. extended projection of electronic products which can be procured domestically is published for a prospective period of 5 years to enable domestic industry to gear up manufacturing facility for the same.
- g. complaints regarding lack of compliance of the policy are addressed in a time bound manner.
- h. each Ministry/ Department shall clearly define the penalties, in case of mis-declaration by domestic manufacturer of the extent domestic value addition, in the tender document. The penalties may include forfeiting of the EMD and such other penalties, as may be prescribed by the concerned Ministry/ Department in the tender document.

9. Monitoring

9.1 Department of Electronics and Information Technology (DeitY) shall be the nodal Department to monitor the implementation of the scheme. Additionally, Department of Telecommunications (DOT) shall also monitor the implementation of the scheme for all telecom products.

9.2 Each Ministry/ Department shall annually, in the month of June, send a declaration indicating the extent of compliance to the policy and reasons for non-compliance thereof, during the preceding financial year.

10. Reference to Department of Electronics and Information Technology/ Department of Telecommunications

In case of a question whether an item being procured is an electronic product to be covered under the policy, the matter would be referred to the Department of Electronics and Information Technology (DeitY)/ Department of Telecommunications (DOT) for clarification.


(Sanjiv Mittal)
Joint Secretary to Government of India
Tel.: 24363075

New Delhi, Dated: 16.11.2015

Copy to:

- 1. All Ministries/Departments of Government of India**
- 2. Cabinet Secretariat**
- 3. PMO**
- 4. NITI Aayog**
- 5. Comptroller and Auditor General of India**
- 6. JS&FA, Department of Electronics and Information Technology**
- 7. Internal Distribution**


(Sanjiv Mittal)
Joint Secretary to Government of India
Tel.: 24363075

Indicative List of Generic Products

Sl. No.	Items
1	Notebooks and Netbooks
2	Tablets
3	Desktops
4	Servers
5	Printers
6	Keyboards
7	Monitors
8	Storage USBs, Memory Cards
9	CCTV and Surveillance Cameras
10	ATMs
11	Photocopiers
12	Scanners
13	Faxes
14	Smart Cards
15	Mobile Handsets
16	Hand Held Terminals
17	PC Projector
18	POS based devices

Indicative List of Telecom and Network Products

Sl. No.	Items
1	SIM Cards (Personalisation and OS in India)
2	Encryption/UTM platforms (TDM and IP)
3	Core/Edge/Enterprise routers
4	Leased line Network equipment
5	Ethernet Switches (L2 and L3), Hubs, etc.
6	IP based Soft Switches, Media gateways
7	Wireless/Wireline PABXs
8	CPE (including WiFi Access points and Routers, Media Converters), 2G/3G Modems, Leased-line Modems, data cards etc.
9	Set-Top Boxes for gaining access to internet
10	SDH/Carrier-Ethernet/Packet Optical Transport equipments
11	DWDM/CWDM systems
12	GPON equipments
13	Digital Cross-connects/MUXs
14	Small size 2G/3G GSM based Base Station Systems
15	GSM 2G & 3G/4G, CDMA based wireless Access Systems including BTS, BSC, MSC, Media gateway, media server, GGSN, SGSN, Node B , RNC, E Node B, EPC, HLR, SMSC & other subsystems
16	LTE based broadband wireless access systems (eNodeB, EPC etc.)
17	WiFi based broadband wireless access systems (Access Point, Aggregation Block, Core Block, etc.)
18	Microwave Radio systems (IP/Hybrid)
19	Software Defined Radio, Cognitive Radio systems
20	Repeaters (RF/RF-over-Optical), IBS, and Distributed Antenna system
21	Satellite based systems –Hubs, VSAT, etc.
22	Copper access systems (DSL/DSLAM), Optical Fibre, Optical Fibre Cable
23	Network Management systems
24	Security and surveillance communication systems (video and sensors based)

Bidder shall also refer Notification W-43/4/2019-IPHW-Meity dt. 07.09.2020 by Ministry of Electronics and Information Technology

Format for Affidavit of Self Certification regarding Domestic Value Addition in an Electronic Product to be provided on Rs.100/- Stamp Paper

Date:

I _____ S/o, D/o, W/o _____, Resident of _____ do hereby solemnly affirm and declare as under:

That I will agree to abide by the terms and conditions of the policy of Government of India issued vide Notification No: 33(3)/2013-IPHW dated 23.12.2013.

That the information furnished hereinafter is correct to best of my knowledge and belief and I undertake to produce relevant records before the procuring authority or any authority so nominated by the Department of Electronics and Information Technology, Government of India for the purpose of assessing the domestic value-addition.

That the domestic value addition for all inputs which constitute the said electronic product has been verified by me and I am responsible for the correctness of the claims made therein.

That in the event of the domestic value addition of the product mentioned herein is found to be incorrect and not meeting the prescribed value-addition norms, based on the assessment of an authority so nominated by the Department of Electronics and Information Technology, Government of India for the purpose of assessing the domestic value-addition, I will be disqualified from any Government tender for a period of 36 months. In addition, I will bear all costs of such an assessment.

That I have complied with all conditions referred to in the Notification No..... wherein preference to domestically manufactured electronic products in Government procurement is provided and that the procuring authority is hereby authorized to forfeit and adjust my EMD and other security amount towards such assessment cost and I undertake to pay the balance, if any, forthwith.

I agree to maintain the following information in the Company's record for a period of 8 years and shall make this available for verification to any statutory authorities.

- i. Name and details of the Domestic Manufacturer (Registered Office, Manufacturing unit location, nature of legal entity)
- ii. Date on which this certificate is issued
- iii. Electronic Product for which the certificate is produced
- iv. Procuring agency to whom the certificate is furnished

- v. Percentage of domestic value addition claimed
- vi. Name and contact details of the unit of the manufacturer
- vii. Sale Price of the product
- viii. Ex-Factory Price of the product
- ix. Freight, insurance and handling
- x. Total Bill of Material
- xi. List and total cost value of inputs used for manufacture of the electronic product
- xii. List and total cost of inputs which are domestically sourced. Please attach value addition certificates from suppliers, if the input is not in-house.
- xiii. List and cost of inputs which are imported, directly or indirectly

For and on behalf of _____ (Name of firm/entity)

Authorized signatory (To be duly authorized by the Board of Directors)
<Insert Name, Designation and Contact No.>

MINISTRY OF STEEL

NOTIFICATION

New Delhi, the 31st December, 2020

G.S.R. 1(E).—The amendments in the Policy for providing preference to domestically manufactured Iron & Steel products in Government procurement (DMI&SP Policy)—Revised, 2019 is hereby published for general information.

"No. S-13026/1/2020- IDD

Ministry of Steel

ID Division

Udyog Bhawan,

New Delhi 31st December, 2020

Sub.: Amendments / additions to the Policy for Providing Preference to Domestically Manufactured Iron & Steel Products in Government Procurement - revised, 2019

The following amendments / additions to the Policy for Providing Preference to Domestically Manufactured Iron & Steel Products in Government Procurement - revised, 2019 (DMI&SP revised, 2019) are applicable with immediate effect. These amendments / additions shall not apply to any tender or procurement for which notice inviting tender or other form of procurement solicitation has been issued before the issue of this notification.

I - Amendments: Table 1

Sl. No.	Existing Clause in DMI&SP revised, 2019	Amended Clause in DMI&SP revised, 2019
1	Clause 1.3: The policy is applicable to every Ministry or Department of Government and all agencies/entities under their administrative control and to projects funded by these agencies for purchase of iron & steel products for government projects. However, this policy shall not apply for purchase of iron & steel products with a view to commercial resale or with a view to use in the production of goods for commercial sale.	Clause 1.3: The policy is applicable to every Ministry or Department of Government and all agencies/entities under their administrative control and to projects funded by these agencies for purchase of iron & steel products for government projects. <u>All Central Sector Schemes (CS)/Centrally Sponsored Schemes (CSS) for which procurement is made by States and Local Bodies, would come within the purview of this Policy, if that project / scheme is fully / partly funded by Government of India.</u> However, this policy shall not apply for purchase of iron & steel products with a view to commercial resale or with a view to use in the production of goods for commercial sale.
2	Clause 2.13: Domestic value addition shall be the net selling price (invoiced price excluding net domestic taxes and duties) minus the landed cost of imported input materials at the manufacturing plant in India (including all customs duties) as a proportion of the net selling price, in percent. The 'domestic value addition' definition shall be in line with the DPIIT(formerly DIPP) guidelines, and shall be suitably amended in case of any changes by DPIIT in the future. For the purpose of this policy document, domestic value addition and local content have been used interchangeably.	Clause 2.13: Domestic value addition means - <u>amount of value added in India which shall be the total value of the item to be procured / sold (excluding net domestic indirect taxes) minus the value of imported content in the item (including all customs duties) as a proportion of the total value of the item to be procured / sold, in percent.</u> The 'domestic value addition' definition shall be in line with the DPIIT (formerly DIPP) guidelines, and shall be suitably amended in case of any changes by DPIIT in the future. For the purpose of this policy document, domestic value addition and local content have been used interchangeably.

3	Clause 5.1.5 The policy is applicable to all projects funded by Ministry or Department of Government and all agencies/ entities under their administrative control for purchase of iron & steel products.	Clause 5.1.5: The policy is applicable to all projects funded by Ministry or Department of Government and all agencies/ entities under their administrative control for purchase of iron & steel products. <u>All Central Sector Schemes (CS)/Centrally Sponsored Schemes (CSS) for which procurement is made by States and Local Bodies, would come within the purview of this Policy, if that project / scheme is fully / partly funded by Government of India.</u>
4	Clause 5.1.6: The policy shall be applicable to projects where the procurement value of iron and steel products is greater than Rs. 25 crores. The policy shall also be applicable for other procurement (non-project), where annual procurement value of iron and steel products for that Government organization is greater than Rs. 25 crores.	Clause 5.1.6 The policy shall be applicable to projects where the procurement value of iron and steel products (Appendix - A of the DMI&SP Policy) is greater than Rs. 5 lakhs. The policy shall also be applicable for other procurements (non-project), where annual procurement value of iron and steel products for that Government organization is greater than Rs. 5 lakhs. However, it shall be ensured by procuring entities that procurement is not split for the purpose of avoiding the provisions of this policy.
5	Clause 7.2: Domestic value addition shall be the net selling price (invoiced price excluding net domestic taxes and duties) minus the landed cost of imported input materials at the manufacturing plant in India (including all customs duties) as a proportion of the net selling price, in per cent.	Clause 7.2: Domestic value addition means - amount of value added in India which shall be the total value of the item to be procured / sold (excluding net domestic indirect taxes) minus the value of imported content in the item (including all customs duties) as a proportion of the total value of the item to be procured / sold, in percent.
6	Clause 7.3: It is recommended that each bidder participating in the tender process should calculate the domestic value addition using the below formula below so as to ensure the domestic value addition claimed is consistent with the minimum stipulated domestic value addition requirement of the policy. For iron and steel products <u>% domestic value addition</u> <i>Net selling price of final product - landed cost of imported iron or steel at the plant-----</i> <i>----- X 100 %</i> <i>Net selling price of final product</i> For capital goods <u>% domestic value addition</u> <i>Net selling price of final product - landed cost of imported iron or steel at the plant</i> <i>----- X 100 %</i> <i>Net selling price of final product</i>	Clause 7.3: It is recommended that procuring Government agency / bidder participating in the tender process should calculate the domestic value addition using the below formula so as to ensure that the domestic value addition claimed is consistent with the minimum stipulated domestic value addition requirement of the policy. For iron and steel products& capital goods <u>% domestic value addition</u> <i>Total value of the item to be procured / sold (excluding net domestic indirect taxes) - the value of imported content in the item (including all customs duties)</i> <i>----- X 100 %</i> <i>Total value of the item to be procured / sold</i>

II - Following amendment is made to the Appendix A of the DMI&SP revised, 2019 :- Wherever minimum domestic value addition of **15%** is specified in the Appendix - A of the DMI&SP revised, 2019 under the column Minimum domestic value addition requirement, same shall be replaced with **20%** minimum domestic value addition). (Revised Appendix - A is attached)

III - Additions / Insertions: Table 2

Sl. No.	Added / Inserted Clause in DMI&SP revised, 2019
1	Clause 5.1.13 is inserted below Clause 5.1.12 as: Clause 5.1.13: No Global Tender Enquiry (GTE) shall be invited for tenders related to procurement of iron and steel products (Appendix-A of the DMI&SP Policy). No Global Tender Enquiry (GTE) shall be invited for tenders related to procurement of Capital Goods for manufacturing iron & steel products (Appendix- B of the DMI&SP Policy) having estimated value upto Rs. 200 Crore except with the approval of competent authority as designated by Department of Expenditure.
2	Clause 6.9 is inserted below Clause 6.8 as: Clause 6.9: Specifications in Tenders and other procurement solicitations: 6.9.1 Every procuring entity shall ensure that the eligibility conditions in respect of previous experience fixed in any tender or solicitation do not require proof of supply in other countries or proof of exports. 6.9.2 Procuring entities shall endeavour to see that eligibility conditions, including on matters like turnover, production capability and financial strength do not result in unreasonable exclusion of local supplier' who would otherwise be eligible, beyond what is essential for ensuring quality or creditworthiness of the supplier. 6.9.3 Procuring entities shall, within 2 months of the issue of this policy review all existing eligibility norms and conditions with reference to sub-paragraphs 6.9.1 and 6.9.2 above. 6.9.4 If Ministry of Steel is satisfied that Indian suppliers of iron and steel products are not allowed to participate and/ or compete in procurement by any foreign government due to restrictive tender conditions which have direct or indirect effect of barring Indian companies such as registration in the procuring country, execution of project of specific value in the procuring country etc., it may, if deemed appropriate, restrict or exclude bidders from that country from eligibility for procurement of that item and/ or other items relating to Ministry of Steel. 6.9.5 For the purpose of sub-paragraph 6.9.4 above, a supplier or bidder shall be considered to be from a country if (i) the entity is incorporated in that country, or (ii) a majority of its shareholding or effective control of the entity is exercised from that country; or (iii) more than 50% of the value of the item being supplied has been added in that country. Indian suppliers shall mean those entities which meet any of these tests with respect to India. The term 'entity' of a country shall have the same meaning as under the FDI Policy of DPIIT as amended from time to time.
3	Clause 6.10 is inserted below Clause 6.9 as: Clause 6.10: In case restrictive or discriminatory conditions against domestic suppliers are included in bid documents, an inquiry shall be conducted by the Administrative Department undertaking the procurement (including procurement by any entity under its administrative control) to fix responsibility for same. Thereafter, appropriate action, administrative or otherwise, shall be taken against erring officials of procurement entities under relevant provisions. Intimation on all such action shall be sent to the Standing Committee under the DMI&SP Policy.

IV - Revised Appendix A - Exclusive for domestically manufactured products

Sl. No	Indicative list of Iron & Steel Products	Applicable HS code	Minimum domestic value addition requirement
1	Flat-rolled products of iron or non alloy steel, of a width of 600 mm or more, hot rolled, not clad, plated or coated	7208	50%
2	Flat-rolled products of iron or non alloy steel, of a width of 600	7209	50%

	mm or more, cold rolled (cold-reduced), not clad, plated or coated		
3	Flat-rolled products of iron or non alloy steel, of a width of 600 mm or more, clad, plated or coated	7210	50%
4	Flat-rolled products of iron or non alloy steel, of a width of less than 600 mm, not clad, plated or coated	7211	35%
5	Flat-rolled products of iron or non alloy steel, of a width of less than 600 mm, clad, plated or coated	7212	35%
6	Bars and rods, hot-rolled, in irregularly wound coils, of iron or non-alloy steel	7213	35%
7	Other bars and rods of iron or non alloy steel, not further worked than forged, hot rolled, hot-drawn or hot-extruded, but including those twisted after rolling	7214	35%
8	Other bars and rods of iron or non alloy steel	7215	35%
9	Angles, shapes and sections of iron or non-alloy steel	7216	35%
10	Wire of iron or non-alloy steel	7217	50%
11	Flat-rolled products of stainless steel, of a width of 600 mm or more	7219	50%
12	Flat-rolled products of stainless steel, of a width of less than 600 mm	7220	50%
13	Other bars and rods of stainless steel; angles, shapes and sections of stainless steel	7222	50%
14	Wire of other alloy steel	7229	35%
15	Rails, railway or tramway track construction material of iron or steel	7302	50%
16	Tubes, pipes and hollow profiles, of cast iron	7303	35%
17	Tubes, pipes and hollow profiles, seamless, of iron (other than cast iron) or steel	7304	35%
18	Other tubes and pipes (for example, welded, riveted or similarly closed), having circular cross-sections, the external diameter of which exceeds 406.4 mm, of iron or steel	7305	35%
19	Other tubes, pipes and hollow profiles (for example, open seam or welded, riveted or similarly closed), of iron or steel	7306	35%
20	Tube or pipe fittings (for example, connectors/couplings, elbow sleeves), of iron or steel	7307	35%
21	Bars and rods, hot-rolled, in irregularly wound coils, of stainless steel	7221	35%
22	Wire of stainless steel	7223	35%
23	Flat-rolled products of other alloy steel, of a width of 600 mm or more, including electrical steel	7225	35%
24	Flat-rolled products of other alloy steel, of a width of less than 600 mm, including electrical steel	7226	35%
25	Bars and rods, hot-rolled, in irregularly wound coils, of other alloy steel	7227	20%

26	Other bars and rods of other alloy steel; angles, shapes and sections, of other alloy steel; hollow drill bars and rods, of alloy or nonalloy steel	7228	35%
27	Sheet piling of iron or steel, whether or not drilled, punched or made from assembled elements; welded angles, shapes and sections, of iron or steel	7301	20%
28	Structures (excluding prefabricated buildings of heading 9406) and parts of structures	7308	20%
29	Reservoirs, tanks, vats and similar containers for any material (other than compressed or liquefied gas), of iron or steel, of a capacity exceeding 300 whether or not lined or heatinsulated, but not fitted with mechanical or Thermal equipment	7309	20%
30	Tanks, casks, drums, cans, boxes and similar containers, for any material (other than compressed or liquefied gas), of iron or steel, of a capacity not exceeding 300 L, whether or not lined or heat-insulated, but not fitted with mechanical or thermal equipment	7310	20%
31	Containers for compressed or liquefied gas, of iron or steel	7311	20%
32	Stranded wire, ropes, cables, plaited bands, slings and the like, of iron or steel, not electrically insulated	7312	20%
33	Barbed wire of iron or steel; twisted hoop or single flat wire, barbed or not, and loosely twisted double wire, of a kind used for fencing, of iron or steel	7313	20%
34	Grill, netting and fencing, of iron or steel wire; expanded metal of iron or steel	7314	20%
35	Chain and parts thereof, of iron or steel	7315	20%
36	Anchors, grapnels and parts thereof, of iron or steel	7316	20%
37	Articles of iron and steel	7317	20%
38	Articles of iron and steel	7318	20%
39	Articles of iron and steel	7319	20%
40	Springs and leaves for springs, of iron or steel	7320	20%
41	Stoves, ranges, grates, cookers (including those with subsidiary boilers for central heating), barbecues, braziers, gas-rings, plate warmers and similar non-electric domestic appliances, and parts thereof, of iron or steel	7321	20%
42	Radiators for central heating, not electrically heated, and parts thereof, of iron or steel; air heaters and hot air distributors, not electrically heated, incorporating a motor-driven fan or blower, and parts thereof, of iron or steel	7322	20%
43	Tables and similar household articles and parts thereof, of iron or steel	7323	20%
44	Sanitary ware and parts thereof, of iron or steel	7324	20%
45	Other cast articles of iron or steel	7325	20%

46	Electrical steel and other articles of iron or steel	7326	20%
47	Railway or tramway passenger coaches, not self-propelled	8605	50%
48	Railway or tramway goods vans and wagons, not self-propelled	8606	50%
49	Parts of railway or tramway locomotives or rolling-stock; such as bogies, bissel-bogies, axles and forged wheels, and parts thereof	8607	50%

Products included in descriptions are indicative; all products under the specified HS codes are included as part of the appendix. "

[F. No. S-13026/1/2020-IDD]
 RASIKA CHAUBE, Addl. Secy.

MINISTRY OF STEEL

NOTIFICATION

New Delhi, the 29th May, 2019

G.S.R. 385(E).—The revised Policy for providing preference to domestically manufactured Iron & Steel Products in Government procurement is hereby published for general information.

[F. No.3(2)/2018-IDD]

RASIKA CHAUBE, Addl. Secy.

POLICY FOR PROVIDING PREFERENCE TO DOMESTICALLY MANUFACTURED IRON & STEEL PRODUCTS IN GOVERNMENT PROCUREMENT- REVISED, 2019

1 Background

- 1.1 This policy provides preference to Domestically Manufactured Iron and Steel Products (DMI&SP) in Government procurement.
- 1.2 The policy is applicable to iron & steel products as provided in Appendix A and capital goods for manufacturing iron & steel products in Appendix B, produced in compliance to prescribed quality standards, as applicable.
- 1.3 The policy is applicable to every Ministry or Department of Government and all agencies/entities under their administrative control and to projects funded by these agencies for purchase of iron & steel products for government projects. However, this policy shall not apply for purchase of iron & steel products with a view to commercial resale or with a view to use in the production of goods for commercial sale.

2 Definitions

- 2.1 **Bidder** may be a domestic/ foreign manufacturer of iron & steel or their selling agents/ authorized distributors/ authorized dealers/ authorized supply houses or any other company engaged in the bidding of projects funded by Government agencies.
- 2.2 **Domestically Manufactured Iron & Steel Products (DMI&SP)** are those iron and steel products which are manufactured by entities that are registered and established in India, including in Special Economic Zones (SEZs). In addition, such products shall meet the criteria of domestic minimum value-addition as mentioned in Appendix A.
- 2.3 **Domestic Manufacturer** is a manufacturer of iron & steel products conforming to guidelines in section 7 and confirming to the definition of 'manufacturer' as per Central Excise Act.
- 2.4 **Government** for the purpose of the Policy means Government of India.
- 2.5 **Government agencies** include Government PSUs, Societies, Trusts and Statutory bodies set up by the Government.
- 2.6 **MoS** shall mean Ministry of Steel, Government of India.
- 2.7 **Net Selling Price** shall be the invoiced price excluding net domestic taxes and duties
- 2.8 **Semi-Finished Steel** shall mean Ingots, billet, blooms and slabs, which can be subsequently processed to finished steel.
- 2.9 **Finished Steel** shall mean Flat and Long products, which can be subsequently processed into manufactured items.
- 2.10 **L1** means the lowest tender or the lowest bid or the lowest quotation received in a tender, bidding process or other procurement solicitation as adjudged in the evaluation process as per the tender or other procurement solicitation.
- 2.11 **Margin of purchase preference** means the maximum extent to which the price quoted by a domestic supplier may be above L1 for the purpose of purchase preference. In case of DMI&SP policy, the margin of purchase preference shall be 20% for items in Appendix B.
- 2.12 **Iron & Steel Product(s)** shall mean such iron and steel product(s) which are mentioned in Appendix A.
- 2.13 **Domestic value addition** shall be the net selling price (invoiced price excluding net domestic taxes and duties) minus the landed cost of imported input materials at the manufacturing plant in India (including all customs duties) as a proportion of the net selling price, in percent. The 'domestic value addition' definition shall be in line with the DPIIT(formerly DIPP) guidelines, and shall be suitably amended in case of any changes by DPIIT in the future. For the purpose of this policy document, domestic value addition and local content have been used interchangeably.

3 Exclusions

- 3.1 Waivers shall be granted by the Ministry of Steel to all such Government procurements subject to the below conditions.
- 3.1.1 Where specific grades of steel are not manufactured in the country, or
- 3.1.2 Where the quantities as per the demand of the project cannot be met through domestic sources

The exclusion requests shall be submitted to the Standing Committee along with sufficient proof of unavailability of domestically manufactured iron & steel products

4 Standing Committee

A Standing Committee under the Ministry of Steel (MoS) to be chaired by the Secretary (Steel), shall be constituted to oversee the implementation of the policy. The Committee shall comprise of experts drawn from Industry / Industry Association / Government Institution or Body / Ministry of Steel (MoS). The said Committee in MoS shall have the mandate for the following:

- 4.1 Monitoring the implementation of the policy
- 4.2 Review and notify the list of Iron & Steel products and the domestic value addition requirement criteria as mentioned at Appendix A and Appendix B.
- 4.3 Issue necessary clarifications for implementation of the policy including grant of exclusions to procuring agencies as per section 3
- 4.4 Constitute a separate committee to carry out grievance redressal
- 4.5 The Standing Committee shall submit its recommendations for approval to Ministry of Steel.

5 Notifying Iron & Steel Products Procured by Government

- 5.1 The following guidelines may be used for identifying and notifying the aforementioned products under the policy:
- 5.1.1 The policy is applicable to iron & steel products as provided in Appendix A and to capital goods for manufacturing iron & steel products in Appendix B.
- 5.1.2 Appendix A contains list of iron & steel products which are to be exclusively domestically manufactured and cannot be imported without the approval of the Ministry of Steel
- 5.1.3 Appendix B contains a list (non-exhaustive) of capital goods for which purchase preference shall be provided to domestically manufactured capital goods, if their quoted price falls within 20% of the price quoted for corresponding imported capital good.
- 5.1.4 The objective of the policy is to notify all iron & steel products which are procured by Government Agencies for government projects and not with a view to commercial resale or with a view to use in the production of products for commercial sale.
- 5.1.5 The policy is applicable to all projects funded by Ministry or Department of Government and all agencies/entities under their administrative control for purchase of iron & steel products.
- 5.1.6 The policy shall be applicable to projects where the procurement value of iron and steel products is greater than Rs. 25 crores. The policy shall also be applicable for other procurement (non-project), where annual procurement value of iron and steel products for that Government organization is greater than Rs. 25 crores.
- 5.1.7 The policy is applicable to purchase of iron & steel products by private agencies for fulfilling an EPC contract and/or any other requirement of Ministry or Department of Government or their PSUs.
- 5.1.8 Analysis of the availability of various grades of domestic iron and steel products needs to precede for notification under the policy. Only those iron & steel products, in respect of which at least one domestic manufacturer exists, shall be notified. Consultation may be carried out by the Standing Committee.
- 5.1.9 The policy is applicable to capital goods for manufacturing iron & steel products in Appendix B produced in compliance to prescribed quality standards, as applicable.
- 5.1.10 Policy for domestic procurement of capital goods for manufacturing iron and steel products is applicable to all public sector steel manufacturers and all agencies/entities under their administrative control for purchase of capital goods for manufacturing iron & steel products, not with a view to commercial resale.
- 5.1.11 The policy is applicable to purchase of capital goods for manufacturing iron & steel products by private agencies for fulfilling an EPC contract and/or any other requirement of public sector steel manufacturers and all agencies/entities under their administrative control

- 5.1.12 Government agencies which are involved in procurement of iron and steel products, and capital goods for manufacturing of iron and steel products, in cases where the iron and steel products are not mentioned in Appendix A and Appendix B, shall provide description and technical specifications of the product along with prescribed standards to the Standing Committee. The Standing Committee will act as per mandate in section 3 and section 4.
- 5.2 The Ministry of Steel (MoS) would notify iron & steel products along with the minimum prescribed domestic value addition, furnished at Appendix A.
- 5.3 The policy guidelines on capital goods for manufacturing iron & steel products shall be applicable to public sector steel manufacturers for all purchases of capital goods for manufacturing iron & steel products in Appendix B, irrespective of the project size.
- 5.4 Minimum domestic value addition requirement suggested for iron and steel products in Appendix A, and for capital goods for manufacturing iron and steel products in Appendix B have been decided on the basis of factors such as domestic supplier base, number of suppliers and import to consumption ratio.
- 5.5 The domestic value addition requirement norm shall be so calibrated that it reflects the average/above average manufacturing capability of the domestic industry for the iron & steel products at a point of time. This shall be suitably reviewed by the Standing Committee from time to time and amended, if required with the approval of Ministry of Steel.

6 Tender procedure for procurement by government and government agencies

- 6.1 The procuring/ Government agencies shall follow standard procurement procedures, in accordance with instructions of Ministry of Finance and CVC while adhering to DMI&SP. The policy shall come into effect from the date of its notification in all tenders where price bid have not been opened.
- 6.2 The tender document, for procurement of both Goods as well as for EPC contracts, should explicitly outline the qualification criteria for adherence to minimum prescribed domestic value addition by the bidder for iron and steel products and capital goods for manufacturing iron & steel products(as indicated in Appendix A and Appendix B)
- 6.3 In supporting the growth of domestic products, the target of domestic value addition in iron and steel business activities has been set as contained in **Appendix A and Appendix B**.
- 6.4 For iron and steel products in Appendix A, the procurement process shall be open only to the manufacturers / suppliers having the capability of meeting / exceeding the domestic value addition targets. Manufacturers / suppliers not meeting the domestic value addition targets are not eligible to participate in the bidding.
- 6.5 In case of Appendix B items, if in the opinion of the procuring company, the tenders (procured quantity) cannot be divided in the prescribed ratio of 50:50, then they shall have the right to award contract to the eligible domestic manufacturer for quantity not less than 50%, as may be divisible.
- 6.6 In continuation to the above clause, for Appendix B items, if the tendered item is non divisible, (to be included in the tender document by procuring company) the contract can be awarded to the eligible domestic manufacturer for the entire quantity.
- 6.7 In case of Appendix B items, if none of the eligible manufacturers meeting domestic value addition requirements match the L1 bid, the original bidder holding L1 bid shall secure the order for full value of procurement.
- 6.8 The bidders who are selling agents/ authorized distributors/ authorized dealers/ authorized supply houses of the domestic manufacturers of iron & steel products are eligible to bid on behalf of the domestic manufacturers under the policy. However, this shall be subject to the following conditions:
- 6.8.1 The bidder shall furnish the authorization certificate issued by the domestic manufacturer for selling domestically manufactured iron & steel products.
- 6.8.2 In case the procurement is covered under Appendix A of the DMI&SP policy, the bidder shall furnish the Affidavit of self-certification issued by the domestic manufacturer to the procuring agency declaring that the iron & steel products is domestically manufactured in terms of the domestic value addition prescribed.
- 6.8.3 In case the procurement is covered under Appendix B of the DMI&SP policy, the bidder shall furnish the certification issued by the statutory auditor to domestic manufacturer declaring that the capital goods to be used in Iron & Steel industry are domestically manufactured in terms of the domestic value addition prescribed.
- 6.8.4 It shall be the responsibility of the bidder to furnish other requisite documents required to be issued by the domestic manufacturer to the procuring agency as per the policy.

7 Domestic value addition requirement

- 7.1 Minimum domestic value addition requirement to qualify the product as a domestically manufactured iron & steel product or a Capital good are mentioned in Appendix A and B.
- 7.2 Domestic value addition shall be the net selling price (invoiced price excluding net domestic taxes and duties) minus the landed cost of imported input materials at the manufacturing plant in India (including all customs duties) as a proportion of the net selling price, in per cent.
- 7.2.1 In case the iron & steel products are made using domestic input steel (semi-finished/ finished steel), invoices of purchases from the actual domestic producers along with quantities purchased and the other related documents must be furnished to the procuring Government agency.
- 7.2.2 In case the iron & steel products have imported input steel, the invoices of purchases from the actual producers along with quantities purchased and the other related documents must be furnished separately. To derive the extent of domestic value addition, the weighted average of both (imported & domestic) input steel shall be considered to ensure that the minimum stipulated domestic value addition requirement of the policy is complied with.
- 7.3 It is recommended that each bidder participating in the tender process should calculate the domestic value addition using the below formula below so as to ensure the domestic value addition claimed is consistent with the minimum stipulated domestic value addition requirement of the policy.

For Iron and Steel products

% Domestic value addition

$$= \frac{\text{Net selling price of final product} - \text{Landed cost of imported iron or steel at plant}}{\text{Net selling price of final product}} \times 100\%$$

For Capital Goods

% Domestic value addition

$$= \frac{\text{Net selling price of final product} - \text{Landed cost of imported input materials at plant}}{\text{Net selling price of final product}} \times 100\%$$

8 Certification and audit

- 8.1 For products in Appendix A, each domestic manufacturer shall furnish the Affidavit of self-certification to the procuring Government agency declaring that the iron & steel products are domestically manufactured in terms of the domestic value addition prescribed. For capital goods in Appendix B, the bidder shall furnish the certification issued by the statutory auditor to the domestic manufacturer declaring that the capital goods are domestically manufactured in terms of the domestic value addition prescribed. The bidders who are sole selling agents / authorized distributors / authorized dealers / authorized supply houses of the domestic manufacturers of iron & steel products are eligible to bid on behalf of domestic manufacturers under the policy. The bidder shall furnish the Affidavits of self-certification issued by the domestic manufacturers and the certifications issued by the statutory auditors, to the procuring agency declaring that the iron & steel products are domestically manufactured in terms of the domestic value addition prescribed. The Affidavit of self-certification shall be furnished in **Form 1** attached to these guidelines.
- 8.2 It shall be the responsibility of the domestic manufacturer to ensure that the products so claimed are domestically manufactured in terms of the domestic value addition prescribed for the product. The bidder shall also be required to provide a domestic value addition certificate on half-yearly basis (Sep 30 and Mar 31), duly certified by the Statutory Auditors of the domestic manufacturer, that the claims of domestic value addition made for the product during the preceding 6 months are in accordance with the Policy. Such certificate shall be filed within 60 days of commencement of each half year, to the concerned Government agencies and shall continue to be filed till the completion of supply of the said products.
- 8.3 The procuring agency shall accept the Affidavit of self-certification regarding domestic value addition in a steel product submitted by a bidder. It shall not normally be the responsibility of procuring agency to verify the correctness of the claim. The onus of demonstrating the correctness of the same shall be on the bidder when asked to do so.
- 8.4 In case a complaint is received by the procuring agency or the concerned Government Agency against the claim

of a bidder regarding domestic value addition in iron & steel products, the procuring agency shall have full rights to inspect and examine all the related documents and take a decision. In case any clarification is needed, matter may be referred to MoS with a request for technical assistance.

- 8.5 Any complaint referred to the Government Agency shall be disposed off within 4 weeks of the reference along with submission of all necessary documents. The bidder shall be required to furnish the necessary documentation in support of the domestic value addition claimed in iron & steel products to the Government Agency within 2 weeks of filing the complaint.
- 8.6 In case, the matter is referred to the Ministry of Steel, the grievance redressal committee setup under the MoS shall dispose of the complaint within 4 weeks of its reference and receipt of all documents from the bidder after taking in consideration, the view of the Government Agency. The bidder shall be required to furnish the necessary documentation in support of domestic value addition claimed in iron & steel products to the grievance redressal committee under MoS within 2 weeks of the reference of the matter. If no information is furnished by the bidder, the grievance redressal committee may take further necessary action, in consultation with Government Agency to establish bonafides of claim.
- 8.7 The cost of assessing the prescribed extent of domestic value addition shall be borne by the procuring agency if the domestic value addition is found to be correct as per the certificate. However, if it is found that the domestic value addition as claimed is incorrect, the cost of assessment will be payable by the bidder who has furnished an incorrect certificate. The manner of enforcing the same shall be defined in the tender document.

9 Sanctions

- 9.1 Each Government Agency shall clearly define the penalties, in case of wrong declaration by the bidder of the prescribed domestic value addition, in the tender document. The penalties may include forfeiting of the EMD, other financial penalties and blacklisting of such manufacturer/ service provider.
- 9.2 In case of reference of any complaint to MoS by the concerned bidder, there would be a complaint fee of Rs. 10 Lakh or 0.2 % of the value of the DMI&SP being procured (subject to a maximum of Rs. 20 Lakh), whichever is higher, to be paid by Demand Draft deposited with the grievance redressal committee under MoS along with the complaint by the complainant. In case, the complaint is found to be incorrect, the Government Agency reserves the right to forfeit the said amount. In case, the complaint is found to be substantially correct, deposited fee of the complainant would be refunded without any interest.

10 Implementation monitoring by Ministry of Steel

- 10.1 The policy provisions shall be applicable for a period of 5 years from the date of publication. The policy period may further be extended at the discretion of Ministry of Steel.
- 10.2 MoS shall be the nodal ministry to monitor the implementation of the policy.
- 10.3 All applicable agencies under DMI&SP policy shall ensure implementation of the policy and shall annually, in the month of June, send a declaration indicating the extent of compliance to the policy and reasons for noncompliance thereof, during the preceding financial year.

Reference to Ministry of Steel

In case of a question whether an item being procured is a DMI&SP to be covered under the policy, the matter would be referred to the Ministry of Steel for clarification.

Appendix A - Exclusive for domestically manufactured products

Sl. No.	Indicative list of Iron & Steel Products	Applicable HS code	Minimum domestic value addition requirement
1	Flat-rolled products of iron or non alloy steel, of a width of 600 mm or more, hot rolled, not clad, plated or coated	7208	50%
2	Flat-rolled products of iron or non alloy steel, of a width of 600 mm or more, cold rolled (cold-reduced), not clad, plated or coated	7209	50%
3	Flat-rolled products of iron or non alloy steel, of a width of 600 mm or more, clad, plated or coated	7210	50%

4	Flat-rolled products of iron or non alloy steel, of a width of less than 600 mm, not clad, plated or coated	7211	35%
5	Flat-rolled products of iron or non alloy steel, of a width of less than 600 mm, clad, plated or coated	7212	35%
6	Bars and rods, hot-rolled, in irregularly wound coils, of iron or non-alloy steel	7213	35%
7	Other bars and rods of iron or non alloy steel, not further worked than forged, hot rolled, hot-drawn or hot-extruded, but including those twisted after rolling	7214	35%
8	Other bars and rods of iron or non alloy steel	7215	35%
9	Angles, shapes and sections of iron or non-alloy steel	7216	35%
10	Wire of iron or non-alloy steel	7217	50%
11	Flat-rolled products of stainless steel, of a width of 600 mm or more	7219	50%
12	Flat-rolled products of stainless steel, of a width of less than 600 mm	7220	50%
13	Other bars and rods of stainless steel; angles, shapes and sections of stainless steel	7222	50%
14	Wire of other alloy steel	7229	35%
15	Rails, railway or tramway track construction material of iron or steel	7302	50%
16	Tubes, pipes and hollow profiles, of cast iron	7303	35%
17	Tubes, pipes and hollow profiles, seamless, of iron (other than cast iron) or steel	7304	35%
18	Other tubes and pipes (for example, welded, riveted or similarly closed), having circular cross-sections, the external diameter of which exceeds 406.4 mm, of iron or steel	7305	35%
19	Other tubes, pipes and hollow profiles (for example, open seam or welded, riveted or similarly closed), of iron or steel	7306	35%
20	Tube or pipe fittings (for example, connectors/couplings, elbow sleeves), of iron or steel	7307	35%
21	Bars and rods, hot-rolled, in irregularly wound coils, of stainless steel	7221	35%
22	Wire of stainless steel	7223	35%
23	Flat-rolled products of other alloy steel, of a width of 600 mm or more, including electrical steel	7225	35%
24	Flat-rolled products of other alloy steel, of a width of less than 600 mm, including electrical steel	7226	35%
25	Bars and rods, hot-rolled, in irregularly wound coils, of other alloy steel	7227	15%
26	Other bars and rods of other alloy steel; angles, shapes and sections, of other alloy steel; hollow drill bars and rods, of alloy or nonalloy steel	7228	35%
27	Sheet piling of iron or steel, whether or not drilled, punched or made from assembled elements; welded angles, shapes and sections, of iron or steel	7301	15%
28	Structures (excluding prefabricated buildings of heading 9406) and parts of structures	7308	15%
29	Reservoirs, tanks, vats and similar containers for any material (other than compressed or liquefied gas), of iron or steel, of a capacity exceeding 300 whether or not lined or heatinsulated, but not fitted with mechanical or Thermal equipment	7309	15%

30	Tanks, casks, drums, cans, boxes and similar containers, for any material (other than compressed or liquefied gas), of iron or steel, of a capacity not exceeding 300 L, whether or not lined or heat-insulated, but not fitted with mechanical or thermal equipment	7310	15%
31	Containers for compressed or liquefied gas, of iron or steel	7311	15%
32	Stranded wire, ropes, cables, plaited bands, slings and the like, of iron or steel, not electrically insulated	7312	15%
33	Barbed wire of iron or steel; twisted hoop or single flat wire, barbed or not, and loosely twisted double wire, of a kind used for fencing, of iron or steel	7313	15%
34	Grill, netting and fencing, of iron or steel wire; expanded metal of iron or steel	7314	15%
35	Chain and parts thereof, of iron or steel	7315	15%
36	Anchors, grapnels and parts thereof, of iron or steel	7316	15%
37	Articles of iron and steel	7317	15%
38	Articles of iron and steel	7318	15%
39	Articles of iron and steel	7319	15%
40	Springs and leaves for springs, of iron or steel	7320	15%
41	Stoves, ranges, grates, cookers (including those with subsidiary boilers for central heating), barbecues, braziers, gas-rings, plate warmers and similar non-electric domestic appliances, and parts thereof, of iron or steel	7321	15%
42	Radiators for central heating, not electrically heated, and parts thereof, of iron or steel; air heaters and hot air distributors, not electrically heated, incorporating a motor-driven fan or blower, and parts thereof, of iron or steel	7322	15%
43	Tables and similar household articles and parts thereof, of iron or steel	7323	15%
44	Sanitary ware and parts thereof, of iron or steel	7324	15%
45	Other cast articles of iron or steel	7325	15%
46	Electrical steel and other articles of iron or steel	7326	15%
47	Railway or tramway passenger coaches, not self-propelled	8605	50%
48	Railway or tramway goods vans and wagons, not self-propelled	8606	50%
49	Parts of railway or tramway locomotives or rolling-stock; such as bogies, bissel-bogies, axles and forged wheels, and parts thereof	8607	50%

Products included in descriptions are indicative; all products under the specified HS codes are included as part of the appendix

Appendix B

Indicative list of capital goods(non-exhaustive) for manufacturing iron & steel products

Sl. No.	Plant shop	Capital goods	Minimum domestic value addition requirement
1	Raw material handling system	Apron feeder, barrel couplings, heavy duty bearings, hydraulic disc brakes, tanker & container for powdered materials, conveyor belt for pipe conveyors, high angle conveyor system, crushers, crane rail lubrication system, four girder EOT Crane, crane weighing system, crane air conditioning, fluid couplings, fork lift trucks, hydraulic motors, hydraulic system, locking assembly (friction grip), load cells, level sensors, pipe	50%

		conveyor system, plough/ paddle feeder, pneumatic transportation - dense & lean phase, reclaimers, radio remote control, rail fixing arrangements (special), rapid/ flood loading system, stackers, special screen, slew ring bearings, tipplers, transfer cars, tongs (special), vibration, isolation system (spring damper), wagon tipplers, wagon loaders	
2	Mineral beneficiation (iron ore and coal) equipment	Industrial crushers, grinding mills, conventional screens, slurry pumps, hydrate thickeners, filters, hydroclones	50%
3	Coke oven	Coke Oven Silica Refractory, Anchorage System, Waste gas valve with branch pipe, Flash Plate, Door Frame, door body, Minor Casting: Gooseneck, Valve box, AP Lid, Charging & inspection hole lid and frame Reversing mechanism, Centralised lubrication system, Hydrojet Door Cleaning Mechanism, Spillage code conveyor system, skip hoist, Door Lowering Rack, Isolation/ Reversing Cocks, Level II automation, Oven machines	50%
4	By-product plant	Primary Gas Cooler, Electrostatic Tar Precipitator, H ₂ S, NH ₃ & Naphthalene Scrubber, Combi Stripper, Flushing Liquor Pump, Claus Kiln, Claus reactors, Waste Heat Boilers, Decanters	50%
5	Sinter plant equipment	Pallet car, Drive/discharge end Sprocket assembly, Curved rail, Slide rails, Hot sinter breaker and Grizzly, Dip rail & running rail, Impeller assembly for Process fan, Drive assembly of Sinter machine, Hi-intensity Mixer & Noduliser	50%
6	Pellet plant equipment	Pallet car, Drive/discharge end Sprocket assembly, Curved rail, Slide rails, running rail, Vertical roller mill, Impeller assembly for Process fan, Drive assembly of Indurating machine, Hi-intensity Mixer, Balling disc, Single deck roller screen and Double deck roller screen	50%
7	Blast furnace equipment	Bell less top system with Bleeder valve, SG Iron stave coolers, Copper stave coolers, Stock level indicator (Radar Type), Mud gun, Drilling machine and Manipulator, Gas Cleaning Plant system, Top Recovery Turbine system including its by-pass valve, De-bricking Machine, Re-railing equipment, PCI system, Grinding mill for PCI, Stock level indicator, Tuyere Stock assembly, Waste Heat Recovery system, BF & Hot Blast Stoves Technological Valves, Above Burden probes, Slag granulation unit, Tuyere & Tuyere cooler, Torpedo Ladle Car, BF hearth refractory	50%
8	Direct reduction plant equipment	Charge distributor, Upper & lower seal leg, Reformer & Re-cuperator system, Burden feeders, Turbo-expander, Process Gas Compressor, Seal gas compressors & bottom seal gas compressors, Seal gas generators & driers, Process Gas Heater, CO ₂ removal plant	50%
9	Basic oxygen furnace equipment	Main and Maintenance equipment comprising of converter, gunning machine, Refractory/ slag monitoring device, converter vessel, trunnion ring and suspension system, trunnion bearings and housing, Converter bull gear unit and tilt drive system, Rotary joint for converter, bottom stirring system, Lance body with clamping, Lance copper tips, Valve stations for oxygen blowing/ bottom stirring, Sub-lance system, Off gas analyzer with process module i.e. Process software/ hardware, container lab Measurement probes, Switch over station, ID fan for primary gas, Hot metal and steel ladle, Ladle Transfer car, Ladle maintenance equipment, Slag pot, Slag pot transfer car, Scrap boxes, Scrap Transfer car, Lance carriage, Lance guide, Crane & hoist, Lance hoist & trolley, Lance tilting device, Traverse for lifting lances, Bunker of various sizes, Bin Vibrator, Weighing Hopper, Maintenance stands, De dusting suction hood, Teeming/HM, ladle relining stands, Stand Cooling stack inspection device, Hood traverse carriage, Refractories, Bypass & isolation valves, Flare stack & ignition system, Scrubbing tower	50%

		shell - Wet gas cleaning system, Dog house, Ladle drier, ladle pre-heater, ladle cooler, Fume collection hoods, Clean gas stack, Dust silo, Weigh Bridge, Slag retaining device	
10	Electric arc furnace	Furnace proper (includes furnace lower shell, upper shell and roof, Tilting platform, Furnace Gantry) and transformer, Electrode regulation system, Hydraulic system, Refractories, Parts of Level I & Level II Automation system. LF - water cooled ladle roof, electrode mast and arms, electrode regulating system, wire feeding system, Bottom inert gas stirring Valve stand for porous plug and top lance, Emergency lance mechanism, Lance carriage system with drive unit, Automatic temperature, sampling & bath level / O ₂ measurement, Temp. & oxygen immersion lance, lance carriage system with drive unit, Hydraulic system, Refractories, Ladle roof Delta portion, RH proper (includes Ladle transfer car, vacuum vessel, Vessel lifting & lowering system. Hydraulic system, Multi Function lance, Valve racks/station, Electrode clamp unit, conductor of electrode arms, water cooled cable, A R stirring valve rack, lance transport car, Refractory lance, Hydraulic cylinder, Ladle roof lifting cylinder, Lubrication system, Suction hood, damper, Vibro feeder, weighing hopper, wire feeding system, Electrode nipping stand, Cranes, hoist, Temperature & sampling tips, ladle stands, ESP, Deducting hoods, Refractories, bag filter, Cranes etc.	50%
11	Continuous casting equipment	Ladle turret, ladle cover manipulator, Ladle Shroud manipulator, tundish car, Continuous tundish temperature measurement system, Tundish stopper rod mechanism, emergency cut-off gate, mould assembly, Nozzle quick change device, mould oscillator and EMS system, Electro-Magnetic braking system, Strand guide segment, Withdrawal & Straightening unit (WSU), Roll gap checker, Emergency torch cutter, Torch cutting machine, Deburrer, Marking machine, Technological control system & process models, Black Refractories, strand gunde segment, tundish, ladle cover, roller tables & auxiliaries, mould& segment maintenance equipments, tundish maintenance equipments, EMBR system	50%
12	Flat product mills	Large castings and forgings like mill housing, bed plates, work rolls, backup rolls, end spindles; roller tables, backup roll and work roll chucks, coilers / tension reels / uncoilers, AGC cylinders, shears, levelers, lazer welders, packaging machines, non-contact gauges / profile gauges, anti-friction roll neck bearings, oil film bearings, gear boxes, mill motors	50%
13	Long product mills	Mill housing, bed plates, work rolls, backup rolls, spindles; roller tables, coilers / tension reels / uncoilers, shears, billet welder, packaging machines, non-contact gauges / profile gauges, anti-friction roll neck bearings, oil film bearings, finishing blocks, gear boxes, mill motors	50%

**Items in appendix B are an indicative list of capital goods for manufacturing steel, the list is not exhaustive. All capital goods for steel manufacturing shall be considered for purchase preference under the policy with a minimum domestic value addition requirement of 50%*

Form-1

Format for Affidavit of Self Certification regarding Domestic Value Addition in Iron & Steel Products/capital goods to be provided on Rs.100/- Stamp Paper Date:

I _____ S/o, D/o, W/o, _____ Resident of _____
_____ hereby solemnly affirm and declare as under:

That I will agree to abide by the terms and conditions of the policy of Government of India issued vide Notification No: _____.

That the information furnished hereinafter is correct to the best of my knowledge and belief and I undertake to produce relevant records before the procuring agency (ies) for the purpose of assessing the domestic value addition.

That the domestic value addition for all inputs which constitute the said iron & steel products has been verified by me and I am responsible for the correctness of the claims made therein.

That in the event of the domestic value addition of the product mentioned herein is found to be incorrect and not meeting the prescribed value-addition criteria, based on the assessment of procuring agency (ies) for the purpose of assessing the domestic value-addition, I will be disqualified from any Government tender for a period of 36 months. In addition, I will bear all costs of such an assessment.

That I have complied with all conditions referred to in the Notification No. _____ wherein preference to domestically manufactured iron & steel products in Government procurement is provided and that the procuring agency (ies) is hereby authorized to forfeit and my EMD. I also undertake to pay the assessment cost and pay all penalties as specified in the tender document.

I agree to maintain the following information in the Company's record for a period of 8 years and shall make this available for verification to any statutory authority.

- i. Name and details of the Bidder (Registered Office, Manufacturing unit location, nature of legal entity)
- ii. Date on which this certificate is issued
- iii. Iron & Steel Products for which the certificate is produced
- iv. Procuring agency to whom the certificate is furnished
- v. Percentage of domestic value addition claimed and whether it meets the threshold value of domestic value addition prescribed
- vi. Name and contact details of the unit of the manufacturer (s)
- vii. Net Selling Price of the iron & steel products
- viii. Freight, insurance and handling till plant
- ix. List and total cost value of input steel (imported) used to manufacture the iron & steel products
- x. List and total cost of input steel which are domestically sourced.
- xi. Please attach domestic value addition certificates from suppliers, if the input is not in house.
- xii. For imported input steel, landed cost at Indian port with break-up of CIF value, duties & taxes, port handling charges and inland freight cost.

For and on behalf of (Name of firm / entity)

Authorized signatory (To be duly authorized by the Board of Directors)

<Insert Name, Designation and Contact No.>

Sub: Generation of e-invoices for businesses with more than Rs. 50 crore turnover - effective 01.04.2021

GST E-Invoicing has been made applicable from 1st October 2020 to all businesses whose aggregate turnover has exceeded Rs.500 crore limit in any of the preceding financial years from 2017-18 to 2019-20.

Notification No.61/2020 – Central Tax prescribed the turnover limit for the implementation of e-Invoicing from 1st October 2020.

This was brought to the notice of all vide our Circular No.Fin/06/2020-21 dated 25th September 2020

Notification No.71/2020 – Central Tax prescribes the time period considered for determining eligibility under e-Invoicing.

Further, from 1st January 2021, e-Invoicing is applicable to businesses exceeding Rs.100 crore turnover limit in any of the financial years between 2017-18 to 2019-20, as intimated in Notification No.88/2020 – Central Tax.

On 8th March 2021, CBIC notified that **e-Invoicing will be applicable from 1st April 2021 for businesses with a turnover of more than Rs.50 crores** (in any financial year from FY 2017-18 onwards), as intimated in Notification No. 5/2021 – Central Tax.

In respect of the GST Invoices received from the vendors, ***the persons forwarding the invoice to Finance Department shall follow the below mentioned procedure:***

- Details regarding the applicability of e-invoice to a particular GST Registration number can be verified in the website <https://einvoice1.gst.gov.in/>. In case vendor is required to comply with e invoicing procedure, the status will be appearing as “E-Invoice is ENABLED for this Taxpayer”. Otherwise status will be appearing as “E-Invoice is NOT ENABLED for this Taxpayer”.
- In case the vendor has issued e-Invoice with IRN & QR Code, it shall be forwarded to finance in line with existing procedure.
- In case the vendor has not issued e-Invoice with (IRN & QR Code will be missing), it shall be verified from the above-mentioned website whether the Vendor is Enabled for E-Invoice or Not enabled for Enabled for E-Invoice.
- In case the status is shown as “E-Invoice is ENABLED for this Taxpayer” but vendor has submitted conventional invoice without IRN & QR Code, the bills should be returned to the vendor with a request to submit e-Invoice as it is not a valid invoice.
- In case the status is shown as “E-Invoice is NOT ENABLED for this Taxpayer” invoice can be submitted to Finance as per the existing procedure. It shall be specifically mentioned in the invoice / forwarding note of SES/GRN that applicability of E-Invoice to the vendor has been verified.

The above e-invoice applicability shall be strictly complied for invoices dated on or after 01.04.2021.